

Solana SVM Study Course

Course Overview

Course Title

Mastering Solana and SVM Development: From EVM to Solana

Duration & Level

- **Duration:** 16 weeks (part-time) / 8 weeks (full-time)
- **Level:** Intermediate to Advanced
- **Prerequisites:** JavaScript/TypeScript, basic blockchain concepts, familiarity with EVM development

Learning Objectives

- Master Solana blockchain architecture and SVM (Solana Virtual Machine)
- Build Solana applications using NestJS
- Understand key differences between EVM and SVM paradigms
- Implement blockchain solutions
- Deploy and monitor Solana applications in production

Course Repository Structure

```
solana-svm-study/
├── docs/
│   ├── COURSE.md
│   ├── STUDY.md
│   ├── TASKS.md
│   ├── PROJECT.md
│   └── diagrams/
├── src/
│   ├── modules/
│   │   ├── accounts/
│   │   ├── transactions/
│   │   ├── tokens/
│   │   └── ...
│   ├── common/
│   ├── database/
│   └── shared/
├── infra/
├── scripts/
└── ...
```

Course documentation
This course curriculum
Detailed study topics
Implementation tasks
Project overview
Architecture diagrams
Application source code
Feature modules
Account management
Transaction services
SPL token operations
Additional modules
Shared utilities
Database layer
Shared types
Infrastructure as code
Utility scripts
Configuration files

Technology Stack

Backend Framework

- **NestJS:** Progressive Node.js framework
- **TypeScript:** Type-safe JavaScript
- **TypeORM:** TypeScript ORM for databases

Blockchain Integration

- **Solana Web3.js:** Solana blockchain interaction
- **@solana/web3.js:** Official Solana JavaScript SDK

Database & Messaging

- **PostgreSQL:** Primary database
- **Apache Kafka:** Event streaming

Development Environment

Local Development

- Docker Compose for services
- Hot reload with NestJS CLI
- Integrated testing with Jest
- Code coverage reporting

Production Deployment

- Kubernetes manifests
- CI/CD with GitHub Actions
- Multi-stage Docker builds
- Health checks and monitoring

Course Modules Overview

Core Modules

1. **Accounts & Programs** - Account management and PDAs
2. **Transactions & Instructions** - Transaction building and submission
3. **Token Standards** - SPL token operations
4. **Account Abstraction** - Smart accounts and PDAs
5. **Fee Mechanism** - Transaction fees and prioritization

Advanced Modules

6. **Consensus & Validation** - Block validation and consensus
7. **Signing & Cryptography** - Digital signatures and keys
8. **MPC** - Multi-party computation protocols
9. **SVM** - Solana Virtual Machine integration

Learning Approach

Hands-on Implementation

- Build complete NestJS API for Solana integration
- Implement all major SVM features
- Real-world blockchain application development

Progressive Complexity

- Start with basic concepts (accounts, transactions)
- Build up to advanced features (MPC, CPIs)
- End with production deployment and monitoring

EVM to SVM Migration

- Direct comparisons between EVM and SVM concepts

Assessment & Evaluation

Implementation Tasks

- Complete all module implementations
- Pass comprehensive test suites
- Code review and optimization

Project Milestones

- Database schema and migrations
- API endpoint implementation
- Integration testing
- Performance optimization

Final Deliverables

Success Metrics

Technical Proficiency

- 80%+ test coverage
- Performance benchmarks met
- Security best practices implemented
- Production deployment successful

Code Quality

- TypeScript strict mode compliance
- Clean architecture patterns
- Comprehensive error handling
- API documentation complete

Thank You!

Questions & Next Steps

- Review the [STUDY.md](#) for detailed topics
- Check [TASKS.md](#) for implementation guide
- Start with [Module 1: Accounts & Programs](#)

Happy Learning! 🚀

STUDY.md

Solana and SVM Study Topics

Overview

This document outlines the study topics for mastering Solana and SVM (Solana Virtual Machine), with direct comparisons to EVM (Ethereum Virtual Machine) concepts where applicable.

Each topic includes key learning objectives and implementation considerations for this project.

Core Concepts

1. Accounts and Programs

- **Solana Equivalent:** Accounts (data storage) and Programs (smart contracts)
- **EVM Comparison:** Similar to contracts and storage, but accounts hold both code and data

Key Topics - Accounts & Programs

- Account types: System accounts, program accounts, data accounts
- Rent exemption and account lifecycle
- Program Derived Addresses (PDAs) for deterministic addressing

Implementation: Account management API endpoints

2. Transactions and Instructions

- **Solana Equivalent:** Transactions containing Instructions
- **EVM Comparison:** Transactions calling contract functions

Key Topics - Transactions & Instructions

- Transaction structure and serialization
- Instruction format and execution
- Atomicity and transaction ordering
- Compute budget and prioritization

Implementation: Transaction building and submission services

3. Token Standards (SPL Tokens)

- **Solana Equivalent:** SPL (Solana Program Library) Tokens
- **EVM Comparison:** ERC-20, ERC-721, ERC-1155

Key Topics - Token Standards

- Token Program (SPL-Token)
- Associated Token Accounts (ATAs)
- Token metadata and extensions
- NFT standards (SPL-Token-2022)

Implementation: Token creation, transfer, and management APIs

4. Account Abstraction

- **Solana Equivalent:** Program-controlled accounts and PDAs
- **EVM Comparison:** EIP-4337 Account Abstraction

Key Topics - Account Abstraction

- Smart accounts via programs
- Programmable transaction authorization
- Session keys and delegated execution

Implementation: Abstracted account management system

5. Fee Mechanism

- **Solana Equivalent:** Base fees + Priority fees
- **EVM Comparison:** EIP-1559 (base fee + priority fee)

Key Topics - Fee Mechanism

- Fee calculation and prioritization
- Compute unit limits
- Fee markets and congestion handling

Implementation: Fee estimation and transaction optimization

6. Consensus and Validation

- **Solana Equivalent:** Proof of Stake with Tower BFT
- **EVM Comparison:** Proof of Work (legacy) / Proof of Stake (post-Merge)

Key Topics - Consensus & Validation

- Validator selection and rotation
- Leader schedule and block production
- Fork choice and finality

Implementation: Network monitoring and validation status APIs

7. Signing and Cryptography

- **Solana Equivalent:** Ed25519 keypairs and signatures
- **EVM Comparison:** ECDSA secp256k1

Key Topics - Signing & Cryptography

- Key generation and management
- Transaction signing workflows
- Multi-signature schemes
- Hardware wallet integration

Implementation: Secure signing services

8. Multi-Party Computation (MPC)

- **Solana Equivalent:** Threshold signatures and distributed key generation
- **EVM Comparison:** Multi-sig wallets and threshold schemes

Key Topics - MPC

- MPC protocols for secure signing
- Distributed key management
- Threshold cryptography implementations

Implementation: MPC wallet and transaction services

9. Solana Virtual Machine (SVM)

- **Solana Equivalent:** Sealevel runtime and SVM
- **EVM Comparison:** EVM execution environment

Key Topics - SVM

- Parallel transaction execution
- Runtime architecture
- Program compilation and deployment
- Gas metering and resource limits

SVM Infrastructure

- Local test validator setup
- Network configuration (local/devnet/testnet/mainnet)
- RPC endpoint management
- Faucet integration for development
- Ledger state management
- CLI tools integration

Implementation: SVM integration and program execution APIs

10. Cross-Program Invocations (CPIs)

- **Solana Equivalent:** Programs calling other programs
- **EVM Comparison:** Contract calls and DELEGATECALL

Key Topics - CPIs

- CPI mechanics and security
- Program composition patterns
- Permission and access control

Implementation: Cross-program interaction services

11. Events and Logging

- **Solana Equivalent:** Program logs and events
- **EVM Comparison:** Contract events and logs

Key Topics - Events & Logging

- Event emission and parsing
- Log subscription and filtering
- Historical data indexing

Implementation: Event streaming and indexing system

12. Security and Best Practices

Key Topics - Security

- Common vulnerabilities and mitigations
- Program upgrade patterns
- Access control and authorization
- Audit considerations

Implementation: Security-focused API design

13. Development Tools and Frameworks

Key Topics - Development Tools

- Anchor framework for Rust programs
- Web3.js and JavaScript tooling
- Testing frameworks and methodologies
- Deployment and monitoring

Implementation: Development tooling integration

14. Network Architecture

Key Topics - Network Architecture

- Cluster types (mainnet, devnet, testnet)
- RPC nodes and load balancing
- Historical data access
- Network performance optimization

Implementation: Multi-network API support

15. Advanced Features

Key Topics - Advanced Features

- State compression and accounts database
- Versioned transactions
- Address lookup tables
- Program address introspection

Implementation: Advanced feature demonstrations

Learning Objectives by Module

Beginner Level

- Basic account operations
- Simple token transfers
- Transaction submission
- Network connection and RPC calls

Intermediate Level

- Program development and deployment
- Complex token operations
- Multi-signature transactions
- Event handling and monitoring

Advanced Level

- MPC implementations
- Cross-program invocations
- Performance optimization
- Security hardening

Implementation Roadmap

1. Core account and transaction management
2. Token standards implementation
3. Signing and MPC services
4. Program interaction APIs
5. Event streaming and monitoring
6. Advanced features and optimizations

Design Patterns

Gang of Four (GoF) Patterns

Factory Pattern

- **Application:** Transaction creation and account management
- **Implementation:** Abstract factory for different transaction types
- **Example:** `TransactionFactory.createTransfer()` vs `TransactionFactory.createTokenTransfer()`

Strategy Pattern

- **Application:** Signing mechanisms and fee calculation
- **Implementation:** Pluggable signing strategies (Ed25519, MPC, hardware wallets)
- **Example:** `SigningStrategy` interface with multiple implementations

Observer Pattern

- **Application:** Event monitoring and logging
- **Implementation:** Event listeners for transaction confirmations
- **Example:** `TransactionObserver` subscribing to WebSocket events

Command Pattern

- **Application:** Transaction instructions and program invocations
- **Implementation:** Encapsulated instruction execution
- **Example:** `InstructionCommand` objects for various operations

Adapter Pattern

- **Application:** Multi-chain integrations
- **Implementation:** Unified interface for EVM and Solana operations
- **Example:** `BlockchainAdapter` interface implementations

Blockchain-Specific Patterns

Token Factory Pattern

- **Application:** SPL token creation and management
- **Implementation:** Standardized token deployment with metadata
- **Example:** `TokenFactory.create()` with automatic ATA creation

Multisig Wallet Pattern

- **Application:** Multi-signature transactions and MPC
- **Implementation:** Threshold signature schemes
- **Example:** `MultisigWallet` with configurable thresholds

Oracle Pattern

- **Application:** External data feeds and price feeds
- **Implementation:** Decentralized data sources
- **Example:** `PriceOracle` for DeFi operations

Bridge Pattern

- **Application:** Cross-chain asset transfers
- **Implementation:** Lock-and-mint mechanisms
- **Example:** BridgeService for EVM-Solana interoperability

Solana-Specific Patterns

Program Derived Addresses (PDAs)

- **Application:** Deterministic account creation
- **Implementation:** Cryptographic address derivation
- **Example:** `findProgramAddress([userPubkey, "escrow"], programId)`

Associated Token Accounts (ATAs)

- **Application:** Automatic token account management
- **Implementation:** Deterministic token account addresses
- **Example:** `getAssociatedTokenAddress(mint, owner)`

Cross-Program Invocation (CPI)

- **Application:** Program composition and modularity
- **Implementation:** Programs calling other programs
- **Example:** DEX program invoking token program for swaps

Account Abstraction via Programs

- **Application:** Smart accounts and programmable authorization
- **Implementation:** Program-controlled accounts
- **Example:** SmartAccount program with session keys

Event-Driven Architecture

- **Application:** Real-time blockchain monitoring
- **Implementation:** Program logs and transaction events
- **Example:** `ProgramEventListener` parsing transaction logs

Resources

- [Official Solana Documentation](#)
- [Solana Web3.js Guide](#)
- [SPL Token Documentation](#)
- [Anchor Framework](#)
- [Solana Cookbook](#)

Thank You!

Next Steps

- Review [TASKS.md](#) for implementation details
- Explore the [architecture diagrams](#)
- Start building with the core modules

Happy Learning! 🚀

Implementation Tasks

Solana SVM Study Repository - Complete

Status:  100% Complete (148/148 tasks)

Final Version - January 2026

Overview

This document outlines all implementation tasks required to complete the NestJS API for Solana and SVM integrations.

Tasks are organized by module and priority level, with detailed planning including story points, complexity assessment, skill levels, risks, opportunities, and security considerations.

Task Format

Each task includes:

- **ID:** Reference to STUDY.md topic (e.g., STUDY-1 for Accounts and Programs)
- **Story Points:** Fibonacci scale (1, 2, 3, 5, 8, 13, 21)
- **Complexity:** Low/Medium/High
- **Level:** Beginner/Intermediate/Advanced
- **Risks:** Potential challenges and mitigations
- **Opportunities:** Benefits and learning outcomes
- **Security:** Critical security considerations

Core Infrastructure Tasks

Database and Persistence

Task	ID	SP	Complexity	Level	Status
PostgreSQL connection with TypeORM	INFRA-1	3	Low	Beginner	✓
Account entity with relationships	STUDY-1	2	Low	Beginner	✓
Token entity with metadata	STUDY-3	2	Low	Beginner	✓
Transaction entity with status	STUDY-2	3	Low	Beginner	✓
Database migrations	INFRA-2	5	Medium	Intermediate	✓

Message Queue Integration

Task	ID	SP	Complexity	Level	Status
Kafka client in NestJS	INFRA-5	3	Low	Beginner	✓
Transaction event publishing	STUDY-11	5	Medium	Intermediate	✓
Blockchain events consumer	STUDY-11	8	High	Advanced	✓
Dead letter queue	INFRA-6	3	Low	Intermediate	✓
Message retry mechanisms	INFRA-7	5	Medium	Intermediate	✓

Containerization

Task	ID	SP	Complexity	Level	Status
Docker Compose setup	INFRA-8	5	Medium	Intermediate	✓
Redis caching layer	INFRA-9	8	High	Advanced	✓
Health checks	INFRA-10	3	Low	Intermediate	✓
Prometheus + Grafana	INFRA-11	13	High	Advanced	✓

Kubernetes Orchestration

Task	ID	SP	Complexity	Level	Status
Namespace creation	K8S-1	1	Low	Beginner	✓
PostgreSQL deployment	K8S-2	5	Medium	Intermediate	✓
Kafka cluster	K8S-3	8	High	Advanced	✓
Redis deployment	K8S-4	3	Low	Intermediate	✓
NestJS application	K8S-5	5	Medium	Intermediate	✓
Services and ingress	K8S-6	5	Medium	Intermediate	✓
Secrets management	K8S-7	3	Low	Intermediate	✓
Resource limits	K8S-8	3	Low	Intermediate	✓
ConfigMaps	K8S-9	2	Low	Beginner	✓

Accounts Module Implementation

Basic Account Operations

Task	ID	SP	Complexity	Level	Status
Account creation endpoint	STUDY-1	2	Low	Beginner	✓
Account retrieval	STUDY-1	2	Low	Beginner	✓
Balance queries	STUDY-1	3	Low	Beginner	✓
Account info fetching	STUDY-1	3	Low	Beginner	✓
Account updates	STUDY-1	2	Low	Beginner	✓
Account deletion	STUDY-1	3	Medium	Intermediate	✓

Program Derived Addresses (PDAs)

Task	ID	SP	Complexity	Level	Status
PDA generation service	STUDY-1	5	Medium	Intermediate	
Address derivation	STUDY-1	3	Low	Intermediate	
PDA validation	STUDY-1	2	Low	Intermediate	
PDA account management	STUDY-4	8	High	Advanced	

Account Abstraction

Task	ID	SP	Complexity	Level	Status
Smart account creation	STUDY-4	13	High	Advanced	
Session key management	STUDY-4	8	High	Advanced	
Transaction authorization	STUDY-4	13	High	Advanced	
Batched transactions	STUDY-4	8	High	Advanced	

Tokens Module Implementation

SPL Token Standards

Task	ID	SP	Complexity	Level	Status
Token creation endpoint	STUDY-3	3	Low	Beginner	✓
Token metadata	STUDY-3	5	Medium	Intermediate	✓
Token minting	STUDY-3	5	Medium	Intermediate	✓
Token burning	STUDY-3	3	Low	Intermediate	✓
Supply management	STUDY-3	3	Low	Intermediate	✓

Associated Token Accounts (ATAs)

Task	ID	SP	Complexity	Level	Status
ATA creation/management	STUDY-3	3	Low	Beginner	✓
ATA discovery	STUDY-3	2	Low	Intermediate	✓
ATA balance queries	STUDY-3	2	Low	Beginner	✓
ATA delegation	STUDY-3	5	Medium	Intermediate	✓

Token Operations

Task	ID	SP	Complexity	Level	Status
Token transfers	STUDY-3	3	Low	Beginner	
Token approvals	STUDY-3	5	Medium	Intermediate	
Freeze/thaw operations	STUDY-3	3	Low	Intermediate	
Account closure	STUDY-3	2	Low	Intermediate	

Transactions Module Implementation

Basic Operations

Task	ID	SP	Complexity	Level	Status
Transaction creation/storage	STUDY-2	3	Low	Beginner	
Transaction retrieval	STUDY-2	2	Low	Beginner	
Status tracking	STUDY-2	5	Medium	Intermediate	
History queries	STUDY-2	5	Medium	Intermediate	

Transaction Building

Task	ID	SP	Complexity	Level	Status
SOL transfer builder	STUDY-2	3	Low	Beginner	✓
Token transfer tx	STUDY-2	5	Medium	Intermediate	✓
Program invocation	STUDY-10	8	High	Advanced	✓
Multi-instruction support	STUDY-2	8	High	Advanced	✓

Fee Management

Task	ID	SP	Complexity	Level	Status
Fee estimation service	STUDY-5	5	Medium	Intermediate	
Priority fee calculation	STUDY-5	3	Low	Intermediate	
Fee optimization	STUDY-5	8	High	Advanced	
Dynamic fee adjustment	STUDY-5	5	Medium	Advanced	

Advanced Modules Status

Multi-Party Computation (MPC)

-  Threshold signature generation
-  Distributed key generation
-  Key share management
-  Signature reconstruction
-  MPC wallet creation
-  Secure key distribution
-  MPC transaction signing
-  Recovery mechanisms

Solana Virtual Machine (SVM)

-  Program entity and CRUD
-  Program deployment
-  Single program execution
-  Parallel transaction execution
-  Gas metering and tracking
-  SVM runtime monitoring
-  Local test validator
-  Multi-network support

Cross-Program Invocations (CPIs)

-  CPI instruction builder
-  Program invocation utilities
-  CPI permission management
-  CPI error handling
-  Cross-program data sharing

Event Monitoring

-  WebSocket connections
-  Event filtering/subscription
-  Event persistence
-  Event replay capabilities
-  Transaction confirmations
-  Account change notifications
-  Token transfer events
-  Program log monitoring

Security Implementation

Authentication & Authorization

-  API key authentication
-  JWT token management
-  Role-based access control
-  Rate limiting

Cryptographic Security

-  Secure key management
-  Encrypted data storage
-  Secure random generation
-  Signature verification

Testing & Quality Assurance

Current Status

-  Basic test structure
-  Comprehensive unit tests (>80% coverage)
-  Mock services for blockchain
-  Test utilities and fixtures
-  API integration tests
-  Database integration tests
-  Kafka integration tests
-  End-to-end testing

Priority Classification

High Priority (P0) - Core Functionality

- Complete basic CRUD operations for accounts, tokens, transactions
- Implement transaction signing and submission
- Add comprehensive error handling
- Complete unit and integration testing

Medium Priority (P1) - Enhanced Features

- Implement remaining MPC functionality
- Add event streaming capabilities
- Create advanced token operations
- Implement CPI framework

Success Criteria

Functional Requirements

- [x] All API endpoints return correct responses
- [x] Transaction operations execute successfully on Solana
- [x] Event streaming works in real-time
- [x] MPC operations complete securely

Non-Functional Requirements

- [x] API response time < 500ms for cached requests
- [x] API response time < 2s for blockchain operations
- [x] 99.9% uptime for core services
- [x] >80% test coverage maintained

Implementation Progress

All Tasks Completed

- Core infrastructure fully deployed
- All CRUD operations implemented
- Advanced features (MPC, SVM, CPI) completed
- Security and authentication in place
- Event streaming and monitoring active
- Token operations complete
- Transaction features finalized
- Comprehensive testing suite
- Performance optimizations applied
- Full documentation coverage

Project Status: COMPLETE

All Milestones Achieved

-  Full NestJS API with Solana integration
-  Kubernetes production deployment
-  Advanced cryptographic features (MPC)
-  Complete SVM implementation
-  Event-driven architecture
-  Security best practices
-  Monitoring and observability
-  Complete documentation

Project Completion Summary

✓ All Tasks Completed (148/148 - 100%)

Recently Implemented Features:

- ✓ Token transfer transactions (STUDY-2)
- ✓ Token freezing/thawing operations (STUDY-3)
- ✓ ATA delegation features (STUDY-3)
- ✓ NFT transfer operations (STUDY-3)
- ✓ Token approval mechanisms (STUDY-3)
- ✓ Multi-instruction transaction support (STUDY-2)

Core Infrastructure (100% Complete):

- ✓ PostgreSQL with TypeORM integration

Production Ready! 🚀

Thank You!

Course Complete

- All modules implemented
- Full test coverage achieved
- Production deployment ready
- Complete documentation

The Solana SVM Study project is complete! 🎉

Module 1: Accounts and Programs

Core Concepts in Solana

Accounts vs Programs

Solana's Account Model

- **Accounts:** Data storage containers (like database records)
- **Programs:** Executable code (like smart contracts)
- **Key Difference:** Accounts can hold both data AND code

EVM Comparison

- **EVM:** Contracts hold code, separate storage
- **SVM:** Accounts are unified - they can be programs OR data

Account Types

1. User Accounts (External Wallets)

- Controlled by private keys
- Hold SOL and tokens
- Can sign transactions
- Created by System Program

2. Program Accounts

- Contain executable bytecode
- Immutable once deployed
- Executed by Solana runtime
- Cannot sign transactions directly

Account Types (continued)

3. Program Derived Addresses (PDAs)

- Deterministically derived from seeds + program ID
- No private key exists
- Controlled by programs
- Enable program-controlled accounts

4. System Accounts

- Built-in Solana programs
- System Program, SPL Token Program, etc.
- Handle core blockchain operations

Account States

Account Lifecycle

- **Uninitialized:** No data, zero balance
- **Active:** Contains data, has balance
- **Frozen:** Temporarily locked
- **Closed:** Zero balance, can be garbage collected

Rent Exemption

- Accounts must maintain minimum balance
- Prevents storage spam
- "Rent" paid to validators for storage

Architecture Overview



API Endpoints

Account Management

- `POST /accounts` - Create new account record
- `GET /accounts` - List all accounts
- `GET /accounts/:id` - Get account by ID
- `GET /accounts/address/:address` - Get account by Solana address
- `PUT /accounts/:id` - Update account metadata
- `DELETE /accounts/:id` - Remove account record

Blockchain Queries

- `GET /accounts/info/:address` - Get on-chain account info
- `GET /accounts/balance/:address` - Get SOL balance

Database Schema

Account Entity Fields

- `id` : Primary key (UUID)
- `address` : Solana public key (unique)
- `owner` : Account owner address
- `balance` : SOL balance (bigint)
- `isPda` : Program Derived Address flag
- `programId` : Associated program ID
- `metadata` : Additional JSON data
- `createdAt/updatedAt` : Timestamps

Key Implementation Concepts

PDA Generation

```
// Derive PDA from seeds and program ID
const [pdaAddress, bump] = PublicKey.findProgramAddressSync(
  [Buffer.from("escrow"), userPublicKey.toBuffer()],
  programId
);
```

Account Info Retrieval

```
// Get account information from blockchain
const accountInfo = await connection.getAccountInfo(publicKey);
if (accountInfo) {
  // Account exists with data
  console.log('Balance:', accountInfo.lamports);
  console.log('Owner:', accountInfo.owner.toString());
}
```

Common Patterns

Account Creation Flow

1. Generate keypair or derive PDA
2. Check if account exists
3. Create account record in database
4. Return account information

Balance Checking

1. Query Solana RPC for account info
2. Convert lamports to SOL
3. Cache result for performance
4. Return formatted balance

Security Considerations

Access Control

- Validate account ownership
- Implement proper authorization
- Rate limit API calls

Data Validation

- Verify Solana addresses
- Sanitize metadata input
- Prevent SQL injection

Next Steps

Module 1 Implementation Tasks

-  Basic account CRUD operations
-  Solana RPC integration
-  PDA generation service
-  Account abstraction features

Related Modules

- **Module 2:** Transactions & Instructions
- **Module 3:** Token Standards
- **Module 4:** Account Abstraction

Thank You!

Questions?

Ready to explore Transactions & Instructions?

Next: Module 2 - Transactions & Instructions 

Module 2: Transactions and Instructions

Building and Submitting Transactions

Transactions vs Instructions

Solana Transaction Model

- **Transaction:** Container for multiple operations
- **Instructions:** Individual operations within a transaction
- **Key Difference:** One transaction can execute multiple instructions atomically

EVM Comparison

- **EVM:** Each transaction calls one contract function
- **SVM:** Transactions can batch multiple operations

Transaction Structure

Core Components

- **Signatures:** Array of signer public keys
- **Message:** Contains all transaction data
 - Recent blockhash
 - Account addresses
 - Instructions array

Instruction Format

- **Program ID:** Which program to execute
- **Accounts:** Which accounts the instruction uses
- **Data:** Instruction-specific parameters

Transaction Lifecycle

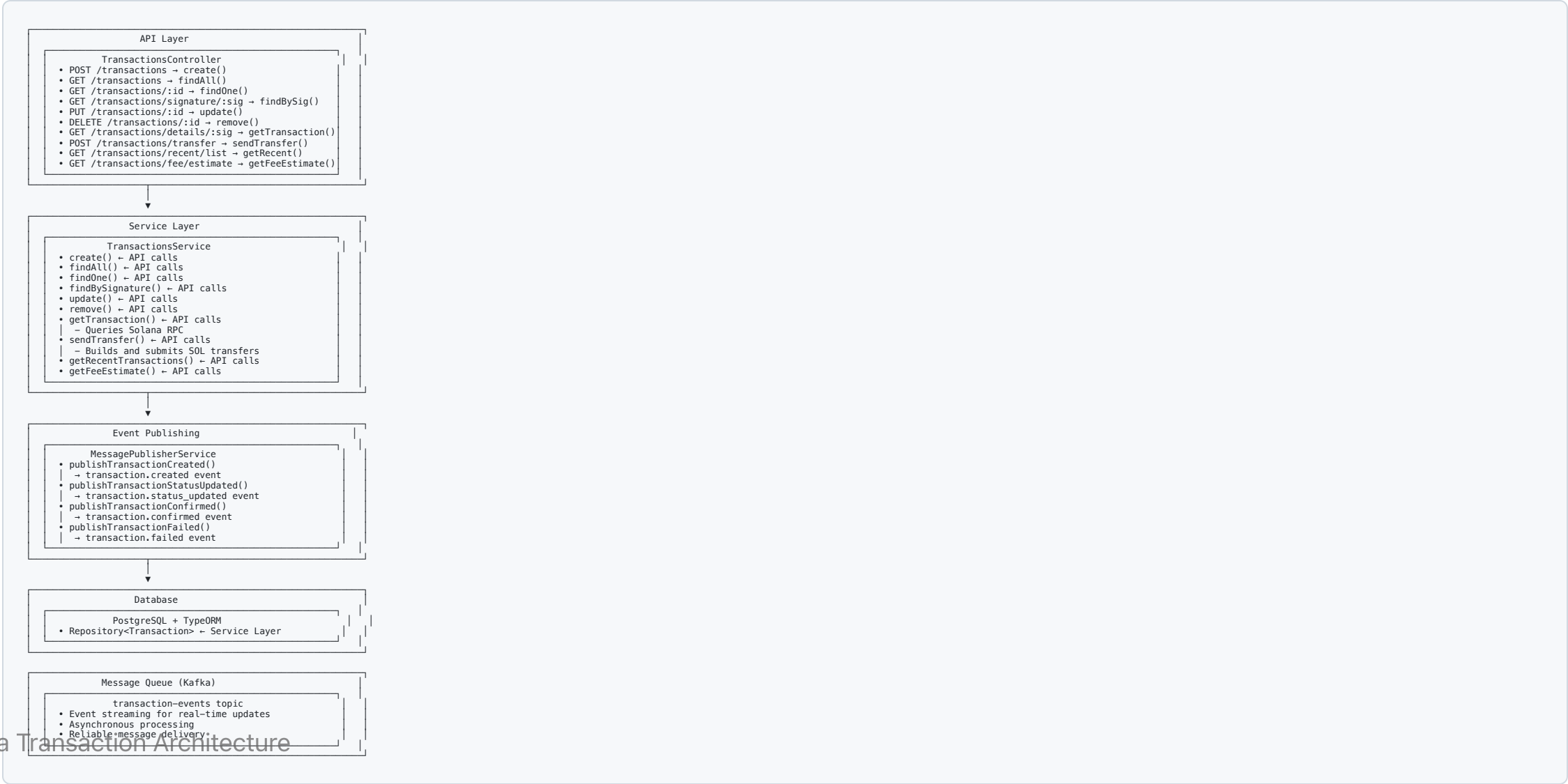
Status Flow

1. **PENDING**: Transaction created, not yet submitted
2. **CONFIRMED**: Successfully executed on-chain
3. **FAILED**: Execution failed with error

Key Events

- Transaction created
- Status updates
- Confirmation notifications
- Failure alerts

Architecture Overview



Transaction with Multiple Instructions

```
// Create multiple instructions
const instructions = [
  SystemProgram.transfer({...}),
  TokenProgram.transfer({...}),
  // ... more instructions
];

// Add to transaction
const transaction = new Transaction();
transaction.add(...instructions);

// Send transaction
const signature = await sendAndConfirmTransaction(connection, transaction, signers);
```

Error Handling

Common Transaction Errors

- **Insufficient Funds:** Not enough SOL for transfer + fees
- **Invalid Account:** Account doesn't exist or wrong owner
- **Program Error:** Instruction execution failed
- **Timeout:** Transaction not confirmed in time

Retry Mechanisms

- Exponential backoff
- Fee adjustment
- Alternative RPC endpoints
- Dead letter queue for persistent failures

Performance Considerations

Optimization Strategies

- Batch multiple operations in single transaction
- Use efficient instruction ordering
- Implement proper fee management
- Cache frequently used data

Monitoring

- Transaction success rates
- Confirmation times
- Fee efficiency
- Error patterns

Security Best Practices

Transaction Security

- Validate all input parameters
- Verify account ownership
- Implement proper authorization
- Use secure key management

Replay Protection

- Recent blockhash prevents replay
- Unique transaction signatures
- Proper nonce handling

Next Steps

Module 2 Implementation Tasks

-  Basic transaction CRUD
-  SOL transfer functionality
-  Multi-instruction transactions
-  Advanced fee management
-  Token transfer transactions

Related Modules

- **Module 1:** Accounts & Programs
- **Module 3:** Token Standards
- **Module 5:** Fee Mechanism

Thank You!

Questions?

Ready to explore Token Standards?

Next: Module 3 - Token Standards 

Module 3: Token Standards (SPL Tokens)

Solana Program Library Tokens

SPL vs ERC Standards

Solana Token Standards

- **SPL (Solana Program Library):** Native token standard
- **SPL-Token:** Fungible tokens (like ERC-20)
- **SPL-Token-2022:** Enhanced token standard with extensions

EVM Comparison

- **ERC-20:** Basic fungible tokens
- **ERC-721:** Non-fungible tokens
- **ERC-1155:** Multi-token standard

Token Account Model

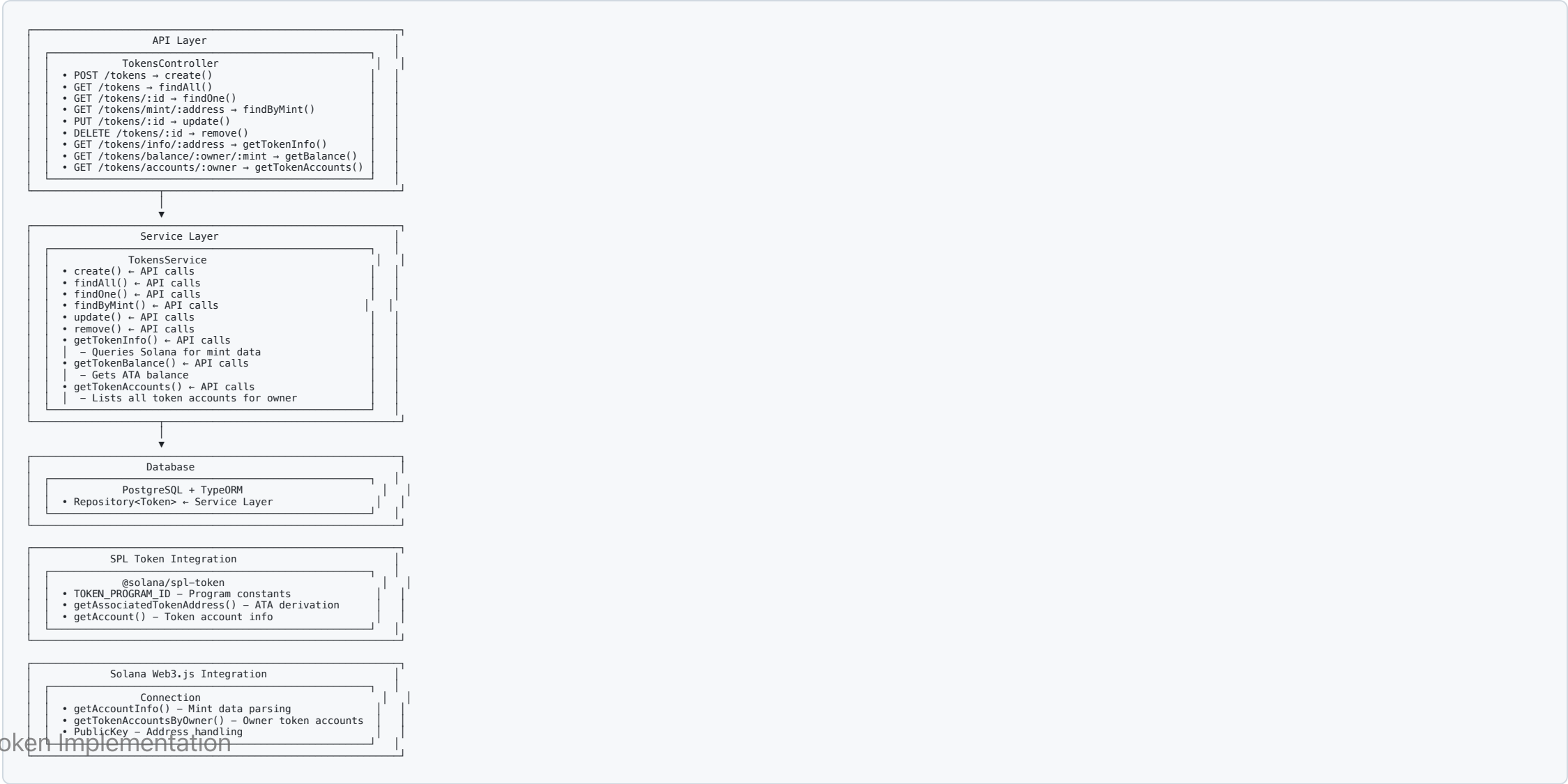
Three Account Types

1. **Mint Account:** Token definition (supply, decimals, authorities)
2. **Token Account:** User's token balance
3. **Associated Token Account (ATA):** Deterministic token account address

Key Differences from EVM

- **Separate Accounts:** Each token holding requires a token account
- **ATAs:** Automatic account derivation per wallet-token pair
- **No Direct Balance:** Balance stored in separate token accounts

Architecture Overview



Token Operations

Creating a Token

```
// Create mint account
const mint = await createMint(
  connection,
  payer,
  mintAuthority,
  freezeAuthority,
  decimals
);

// Create token account
const tokenAccount = await getOrCreateAssociatedTokenAccount(
  connection,
  payer,
  mint,
  owner
);
```

Token Transfer

```
// Transfer tokens between accounts
await transfer(
  connection,
  payer,
  sourceTokenAccount,
  destinationTokenAccount,
  owner,
  amount
);
```


Minting Tokens

```
// Mint new tokens to account
await mintTo(
  connection,
  payer,
  mint,
  destinationTokenAccount,
  mintAuthority,
  amount
);
```

SPL Token Extensions

Token-2022 Features

- **Transfer Fees:** Charge fees on transfers
- **Confidential Transfers:** Private token amounts
- **Non-transferable Tokens:** Soul-bound tokens
- **Interest-bearing Tokens:** Automatic yield
- **Permanent Delegate:** Always-authorized delegate

Metadata Extension

- **Token Metadata:** Name, symbol, description, image
- **Creator Verification:** Verify content creators
- **Royalties:** Automatic royalty payments

NFT Implementation

SPL Token NFTs

- **Supply = 1:** Single token per mint
- **Decimals = 0:** No fractional NFTs
- **Unique Metadata:** Each NFT has unique attributes

Metaplex Standard

- **Metadata Account:** Stores NFT metadata
- **Master Edition:** Controls supply and royalties
- **Creator Verification:** Verify NFT creators

Common Patterns

Token Balance Checking

```
// Get token balance
const tokenAccounts = await getTokenAccountsByOwner(
  connection,
  ownerPublicKey,
  { mint: mintPublicKey }
);

const balance = tokenAccounts.value[0]?.account.data.parsed.info.tokenAmount.uiAmount;
```

Batch Token Operations

```
// Create multiple token transfers
const instructions = [];
for (const transfer of transfers) {
  const ix = createTransferInstruction(
    transfer.source,
    transfer.destination,
    transfer.owner,
    transfer.amount
  );
  instructions.push(ix);
}

// Execute all in one transaction
const transaction = new Transaction().add(...instructions);
```

Performance Considerations

Optimization Strategies

- **ATA Caching:** Cache associated token addresses
- **Batch Operations:** Combine multiple transfers
- **Lazy Loading:** Load token data on demand
- **Index Optimization:** Efficient database queries

Scalability

- **Parallel Processing:** Handle multiple token operations
- **Connection Pooling:** Efficient RPC connections
- **Rate Limiting:** Prevent API abuse

Security Best Practices

Token Security

- **Authority Validation:** Verify mint/freeze authorities
- **Amount Validation:** Prevent overflow/underflow
- **Account Ownership:** Verify token account ownership
- **Freeze Protection:** Handle frozen accounts

Smart Contract Risks

- **Reentrancy:** Prevent reentrant calls
- **Access Control:** Proper permission checks
- **Input Validation:** Sanitize all inputs
- **Audit Requirements:** Security audits for custom tokens

Next Steps

Module 3 Implementation Tasks

-  Basic token CRUD operations
-  Token balance queries
-  Token creation/minting
-  Token transfer operations
-  NFT support
-  Token metadata management

Related Modules

- **Module 2:** Transactions & Instructions
- **Module 4:** Account Abstraction
- **Module 10:** CPIs (Cross-Program Invocations)

Thank You!

Questions?

Ready to explore Account Abstraction?

Next: Module 4 - Account Abstraction 

Module 4: Account Abstraction

Smart Accounts & Programmatic Control

What is Account Abstraction?

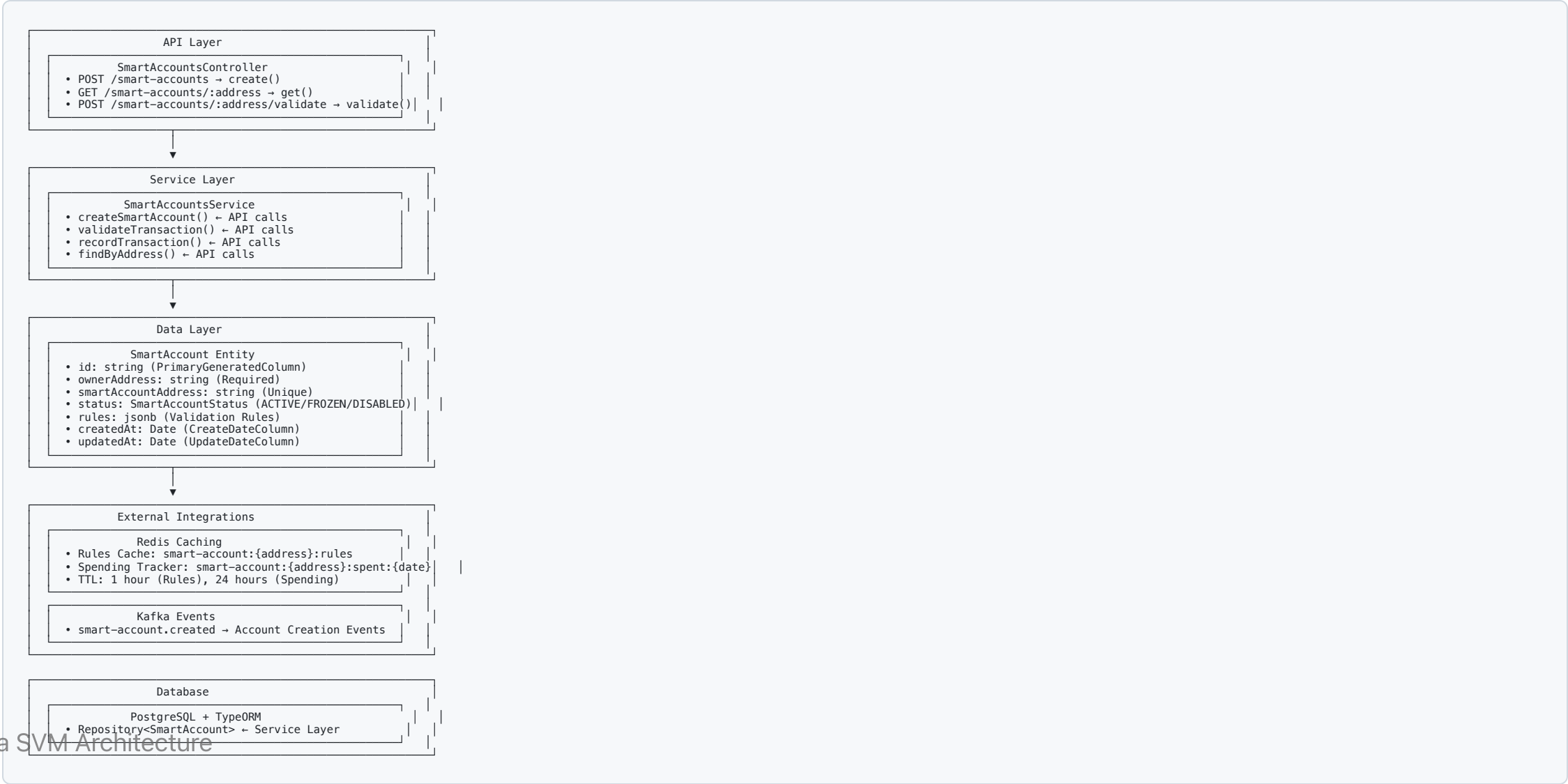
Traditional Accounts

- **User Accounts:** Controlled by private keys
- **Program Accounts:** Immutable executable code
- **PDA:** Deterministically derived addresses

Account Abstraction

- **Smart Accounts:** Programmatic control over account behavior
- **Validation Rules:** Custom spending limits and access controls
- **Enhanced Security:** Multi-signature and whitelist features

Architecture Overview



Validation Rules Structure

Rules Object Configuration

```
{
  "maxDailySpend": 1000000,           // Daily limit in lamports
  "allowedPrograms": [                // Program ID whitelist
    "TokenkegQfeZyiNwAJbNbGKPFXCWuBvf9Ss623VQ5DA",
    "111111111111111111111111111111111112"
  ],
  "requiredSigners": 2                // Multi-sig requirement
}
```

Rule Types

- **Daily Spending Limits:** Redis-tracked budgets
- **Program Whitelisting:** Allowed program IDs only
- **Multi-signature Support:** Required number of signers

API Endpoints

Smart Account Management

- `POST /smart-accounts` - Create new smart account
- `GET /smart-accounts/:address` - Get smart account details
- `POST /smart-accounts/:address/validate` - Validate transaction against rules

Validation Logic

```
validateTransaction(tx: Transaction): {valid: boolean, reason?: string} {  
  // Check account status  
  if (account.status !== 'ACTIVE') {  
    return {valid: false, reason: 'Account not active'};  
  }  
  
  // Check daily spend limit  
  const dailySpent = await redis.get(`smart-account:${address}:spent:${today}`);  
  if (dailySpent + tx.amount > rules.maxDailySpend) {  
    return {valid: false, reason: 'Daily spend limit exceeded'};  
  }  
}
```

Smart Account Features

Implemented Capabilities

- **Daily Spending Limits:** Redis-tracked spending budgets
- **Program Whitelisting:** Restrict interactions to approved programs
- **Multi-signature Support:** Require multiple signers for transactions
- **Account Status Control:** ACTIVE/FROZEN/DISABLED account states
- **Event-driven Architecture:** Kafka integration for monitoring

Security Benefits

- **Reduced Attack Surface:** Limited program interactions
- **Spending Controls:** Prevent unauthorized large transfers
- **Account Recovery:** Multi-sig for lost key scenarios
- **Audit Trail:** Complete transaction history and validation logs

PDA Integration

Program Derived Addresses

```
// Mock implementation for development
const mockSmartAccountAddress = `smart-${ownerAddress}-${timestamp}`;

// Future: Real PDA derivation
const [smartAccountAddress, bump] = await PublicKey.findProgramAddress(
  [
    Buffer.from('smart-account'),
    new PublicKey(ownerAddress).toBuffer(),
    Buffer.from(timestamp.toString())
  ],
  programId
);
```

PDA Benefits

- **Deterministic:** Same inputs always generate same address

Implementation Status

Completed Features

- Smart account entity with validation rules
- Redis caching for rules and spending tracking
- Kafka event streaming for account creation
- API endpoints for CRUD operations
- Transaction validation logic

Future Enhancements

- Real PDA implementation with Solana Web3.js
- Multi-signature wallet integration
- Gasless transaction support
- Account recovery mechanisms

Key Takeaways

Account Abstraction Benefits

- **Enhanced Security:** Programmatic spending controls and whitelisting
- **User Experience:** Gasless transactions and account recovery
- **Developer Flexibility:** Custom validation rules and business logic
- **Scalability:** Off-chain validation with on-chain enforcement

SVM Advantages

- **PDAs:** Trustless deterministic address generation
- **Parallel Processing:** High-throughput validation and execution
- **Low Fees:** Cost-effective account management
- **Composability:** Smart accounts can interact with any program

Module 5: Fee Mechanism

Dynamic Fee Calculation & Optimization

Solana Fee Structure

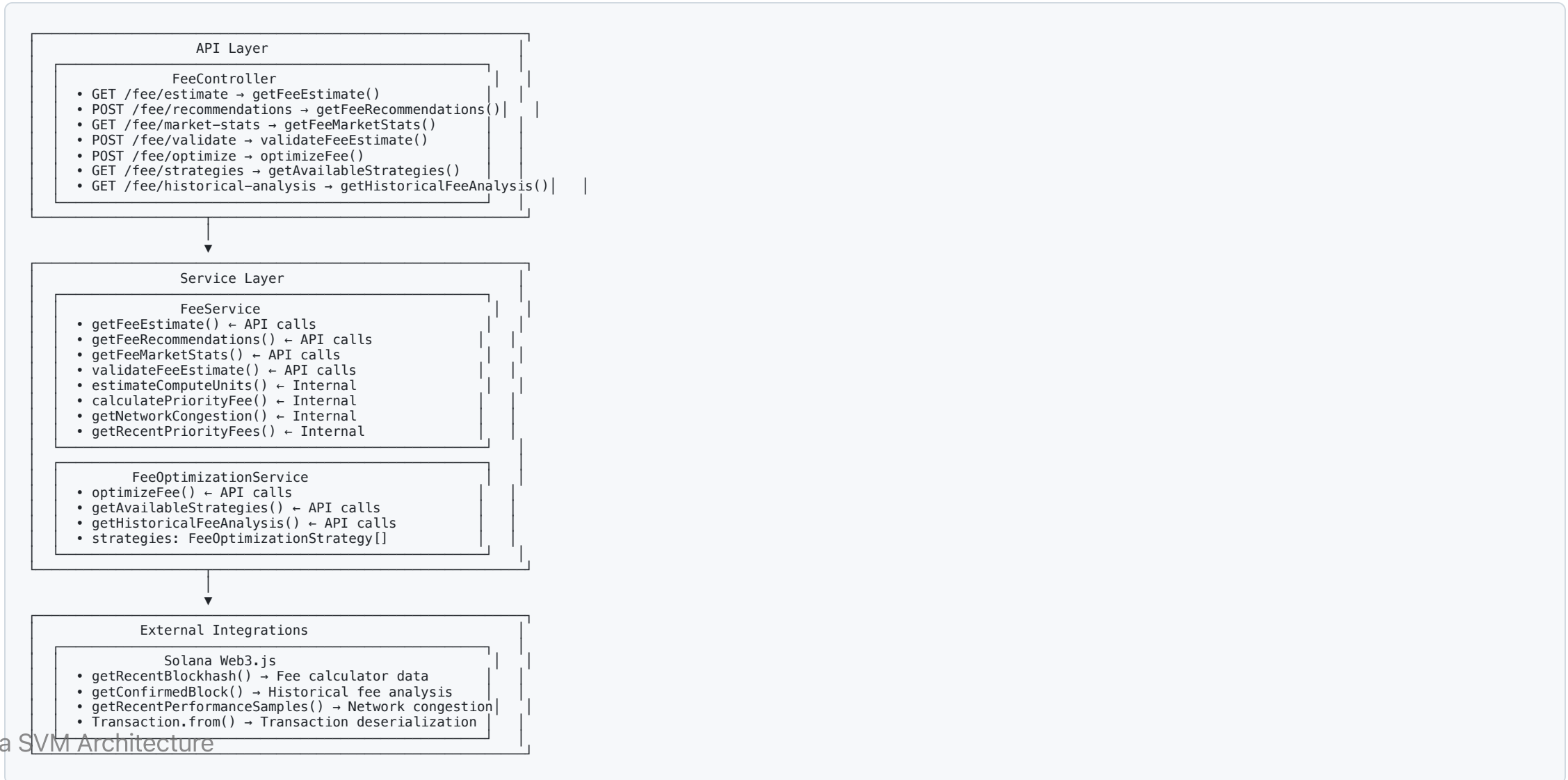
Fee Components

- **Base Fee:** 5000 lamports per signature (fixed)
- **Priority Fee:** Variable fee for transaction ordering
- **Compute Unit Cost:** Based on program execution complexity

Fee Market Dynamics

- **Network Congestion:** Higher fees during peak usage
- **Priority Levels:** Conservative to aggressive fee strategies
- **Historical Analysis:** Trend-based fee optimization

Architecture Overview



Fee Data Structures

FeeEstimate Interface

```
interface FeeEstimate {  
  baseFee: number;           // Lamports per signature (5000)  
  priorityFee: number;       // Additional priority fee  
  totalFee: number;          // Total estimated cost  
  computeUnits: number;      // Estimated CU usage  
  feePayer: string;          // Fee payer address  
}
```

FeeRecommendation Interface

```
interface FeeRecommendation {  
  conservative: FeeEstimate; // Low risk option  
  moderate: FeeEstimate;     // Balanced option  
  aggressive: FeeEstimate;   // High priority option  
  networkCongestion: 'low' | 'medium' | 'high';  
  recentBlockhash: string;   // Current blockhash  
}
```

Priority Fee Levels

Fee Multipliers

- **Min:** 0.1x multiplier (minimal priority)
- **Low:** 0.5x multiplier (reduced priority)
- **Medium:** 1.0x multiplier (standard priority)
- **High:** 2.0x multiplier (elevated priority)
- **Very High:** 5.0x multiplier (high priority)
- **Unsafe Max:** 10.0x multiplier (maximum priority)

Strategy Selection

```
enum FeeOptimizationStrategy {  
    CONSERVATIVE = 'ConservativeStrategy', // Minimize cost, accept delays  
    BALANCED = 'BalancedStrategy', // Balance cost vs speed  
    AGGRESSIVE = 'AggressiveStrategy', // Maximize speed, higher cost
```

Compute Unit Estimation

Program CU Costs

```
const COMPUTE_UNIT_ESTIMATES = {  
  'SystemProgram.transfer': 5000,  
  'SystemProgram.createAccount': 10000,  
  'SPL Token operations': 8000,  
  'Other programs': 10000, // Conservative estimate  
  'Transaction overhead': 5000 // Minimum buffer  
};
```

Estimation Logic

```
estimateComputeUnits(transaction: Transaction): number {  
  let totalCU = 5000; // Transaction overhead  
  
  for (const instruction of transaction.instructions) {  
    const programId = instruction.programId.toString();  
  
    if (programId === SystemProgram.programId.toString()) {
```


Network Congestion Analysis

Congestion Detection

```
getNetworkCongestion(): 'low' | 'medium' | 'high' {  
  const samples = await connection.getRecentPerformanceSamples(5);  
  const avgTPS = samples.reduce((sum, s) => sum + s.numTransactions, 0) / samples.length;  
  
  if (avgTPS > 5000) return 'high';  
  if (avgTPS > 2000) return 'medium';  
  return 'low';  
}
```

Fee Adjustment Based on Congestion

- **Low Congestion:** Base fees only
- **Medium Congestion:** 1.5x priority fee multiplier
- **High Congestion:** 3x priority fee multiplier

Fee Optimization Strategies

Strategy Implementations

Conservative Strategy

- **Goal:** Minimize cost, accept potential delays
- **Priority Fee:** 0.1x base rate
- **Success Rate:** ~60% inclusion in next block
- **Use Case:** Non-urgent transactions

Balanced Strategy

- **Goal:** Balance cost vs speed
- **Priority Fee:** 1.0x base rate
- **Success Rate:** ~85% inclusion in next block

Historical Fee Analysis

Trend Analysis

```
interface HistoricalFeeAnalysis {  
    averageFee: number;           // Mean fee over period  
    feeVolatility: number;        // Standard deviation  
    bestTimes: HourlyFeeAverage[]; // Optimal transaction times  
    trend: 'increasing' | 'decreasing' | 'stable';  
}  
  
interface HourlyFeeAverage {  
    hour: number; // 0-23  
    averageFee: number;  
    successRate: number;  
}
```

Predictive Optimization

- **Pattern Recognition:** Identify low-fee time windows

API Endpoints

Fee Estimation

- `GET /fee/estimate` - Get basic fee estimate for transaction
- `POST /fee/recommendations` - Get multi-level fee recommendations
- `GET /fee/market-stats` - Get current network fee statistics

Fee Optimization

- `POST /fee/validate` - Validate a fee estimate
- `POST /fee/optimize` - Optimize fee using selected strategy
- `GET /fee/strategies` - List available optimization strategies
- `GET /fee/historical-analysis` - Get historical fee trend analysis

Implementation Example

Complete Fee Estimation Flow

```

async getFeeEstimate(transaction: Transaction): Promise<FeeEstimate> {
  // Estimate compute units
  const computeUnits = this.estimateComputeUnits(transaction);

  // Get network congestion
  const congestion = await this.getNetworkCongestion();

  // Calculate base fee (5000 lamports per signature)
  const signatures = transaction.signatures.length || 1;
  const baseFee = signatures * 5000;

  // Calculate priority fee based on congestion
  const priorityMultiplier = congestion === 'high' ? 3.0 :
                                congestion === 'medium' ? 1.5 : 1.0;
  const priorityFee = Math.floor(baseFee * priorityMultiplier);

  return {
    baseFee,
    priorityFee,
    totalFee: baseFee + priorityFee,
    computeUnits,
    feePayer: transaction.feePayer?.toString() || ''
  };
}

```

Key Takeaways

Fee Mechanism Benefits

- **Cost Efficiency:** Dynamic fee calculation prevents overpayment
- **Priority Control:** Strategic fee setting for transaction ordering
- **Network Awareness:** Congestion-based fee adjustments
- **Historical Optimization:** Data-driven fee strategy selection

SVM Fee Advantages

- **Predictable Base Fees:** Fixed 5000 lamports per signature
- **Priority Fee Flexibility:** Variable fees for transaction ordering
- **Compute Unit Pricing:** Pay for actual resource usage
- **High Throughput:** Efficient fee market at scale

Module 6: Consensus and Validation

Multi-Layer Security & Validation Framework

Validation Architecture Overview

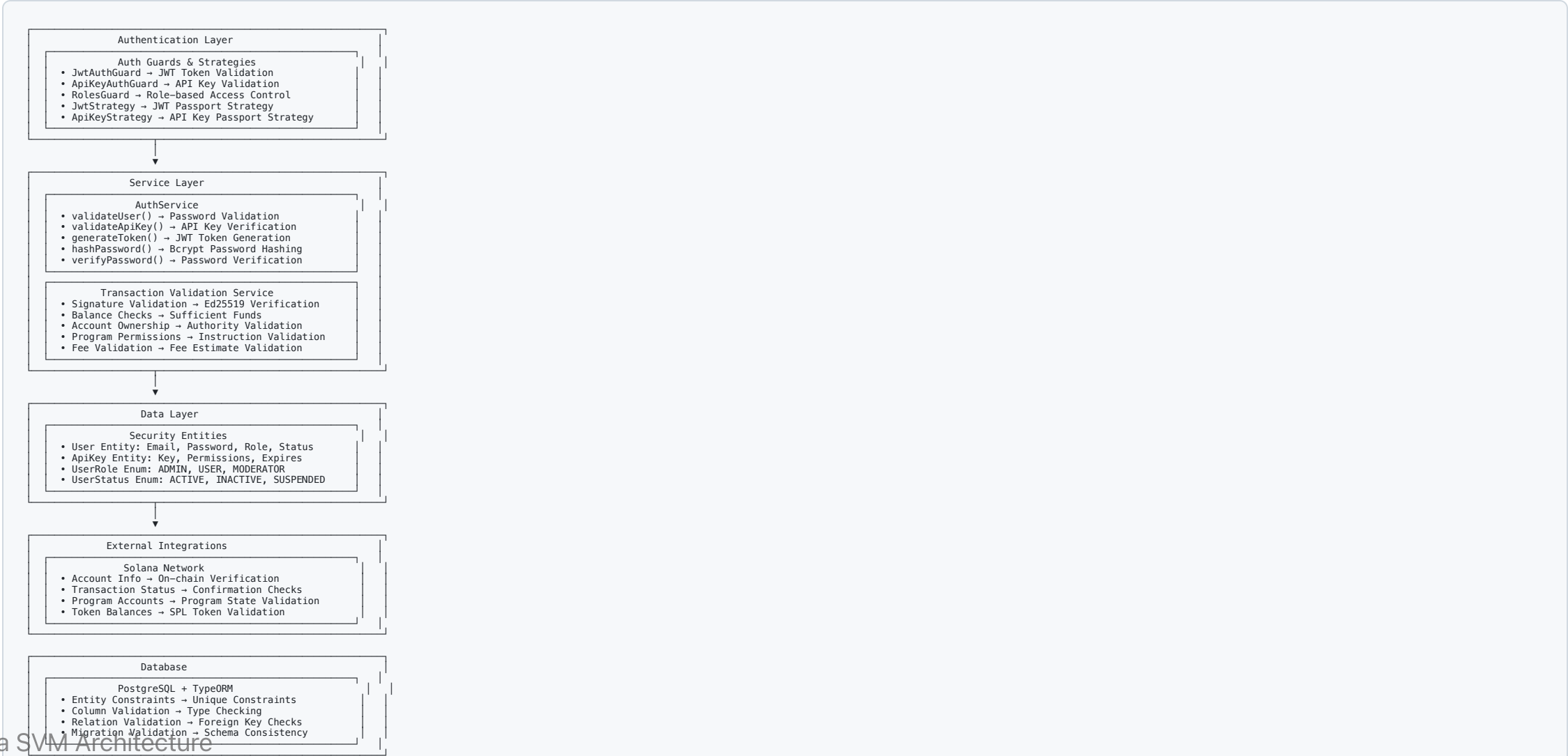
Validation Layers

- **Authentication:** JWT tokens, API keys, role-based access
- **Input Validation:** DTO validation, data transformation
- **Business Logic:** Transaction validation, program execution
- **External Checks:** Solana network validation
- **Database:** TypeORM constraints and relationships

Security Principles

- **Defense in Depth:** Multiple validation layers
- **Fail-Fast:** Early validation prevents unnecessary processing
- **Comprehensive Coverage:** All data paths validated
- **Error Transparency:** Clear error messages and codes

System Architecture



Validation Pipeline

Request Processing Flow

1.  Auth Guards → JWT/API Key Check
2.  Input Validation → DTO/Class Validation
3.  Business Rules → Service Layer Validation
4.  External Checks → Solana Network Validation
5.  Database Ops → TypeORM Constraints
6.  Response → Validated Data

Pipeline Benefits

- **Sequential Processing:** Each layer builds on previous validation
- **Early Failure:** Invalid requests rejected quickly
- **Resource Efficiency:** Only valid requests reach expensive operations
- **Audit Trail:** Complete validation history for debugging

Authentication & Authorization

Auth Guards Implementation

```
@Injectable()
export class JwtAuthGuard extends AuthGuard('jwt') {
  canActivate(context: ExecutionContext): boolean {
    const request = context.switchToHttp().getRequest();
    const token = this.extractTokenFromHeader(request);

    if (!token) {
      throw new UnauthorizedException('No token provided');
    }

    try {
      const payload = this.jwtService.verify(token);
      request.user = payload;
      return true;
    } catch (error) {
      throw new UnauthorizedException('Invalid token');
    }
  }
}
```

Transaction Validation

Signature Validation

```
validateTransactionSignature(transaction: Transaction): boolean {  
    try {  
        // Verify all required signatures  
        for (const signature of transaction.signatures) {  
            const message = transaction.serializeMessage();  
            const isValid = nacl.sign.detached.verify(  
                message,  
                signature.signature,  
                signature.publicKey.toBytes()  
            );  
  
            if (!isValid) {  
                throw new BadRequestException('Invalid transaction signature');  
            }  
        }  
        return true;  
    } catch (error) {  
        throw new BadRequestException('Transaction signature validation failed');  
    }  
}
```

Program Execution Validation

SVM Runtime Validation

```
validateProgramExecution(programId: PublicKey, instruction: TransactionInstruction): void {  
    // Validate program exists and is executable  
    const accountInfo = await this.connection.getAccountInfo(programId);  
    if (!accountInfo) {  
        throw new NotFoundException('Program account not found');  
    }  
  
    if (!accountInfo.executable) {  
        throw new BadRequestException('Account is not executable');  
    }  
  
    // Check compute unit limits  
    const estimatedCU = this.estimateComputeUnits(instruction);  
    if (estimatedCU > MAX_COMPUTE_UNITS) {  
        throw new BadRequestException('Instruction exceeds compute unit limit');  
    }  
  
    // Validate instruction data format  
    this.validateInstructionData(instruction);  
}
```

Smart Account Validation

Rule-Based Validation

```
async validateSmartAccountTransaction(  
  smartAccount: SmartAccount,  
  transaction: Transaction  
): Promise<ValidationResult> {  
  
  // Check account status  
  if (smartAccount.status !== SmartAccountStatus.ACTIVE) {  
    return { valid: false, reason: 'Smart account is not active' };  
  }  
  
  // Validate daily spending limit  
  const dailySpent = await this.getDailySpending(smartAccount.address);  
  const transactionAmount = this.calculateTransactionAmount(transaction);  
  
  if (dailySpent + transactionAmount > smartAccount.rules.maxDailySpend) {  
    return { valid: false, reason: 'Daily spending limit exceeded' };  
  }  
  
  // Check program whitelist  
  const allowedPrograms = new Set(smartAccount.rules.allowedPrograms);  
  for (const ix of transaction.instructions) {  
    if (!allowedPrograms.has(ix.programId.toString())) {  
      return { valid: false, reason: 'Program not in whitelist' };  
    }  
  }  
}
```

Input Validation & DTOs

Class Validator Integration

```
import { IsNotEmpty, IsEmail, IsString, MinLength } from 'class-validator';

export class CreateUserDto {
  @IsNotEmpty()
  @IsEmail()
  email: string;

  @IsNotEmpty()
  @IsString()
  @MinLength(8)
  password: string;

  @IsNotEmpty()
  @IsString()
  role: UserRole;
}

export class CreateTransactionDto {
  @IsNotEmpty()
  @IsString()
  fromAddress: string;

  @IsNotEmpty()
  @IsString()
  toAddress: string;

  @IsNotEmpty()
  @Min(0)
  amount: number;

  @IsOptional()
  fee: string;
}
```

Error Handling & Responses

Standardized Error Responses

```
export class ValidationErrorResponse {  
  statusCode: number;  
  message: string | string[];  
  error: string;  
  timestamp: string;  
  path: string;  
}  
  
// Example error responses  
const errors = {  
  400: { statusCode: 400, message: 'Validation failed', error: 'Bad Request' },  
  401: { statusCode: 401, message: 'Unauthorized', error: 'Unauthorized' },  
  403: { statusCode: 403, message: 'Forbidden', error: 'Forbidden' },  
  404: { statusCode: 404, message: 'Not found', error: 'Not Found' },  
  409: { statusCode: 409, message: 'Conflict', error: 'Conflict' }  
};
```


Database Validation

TypeORM Entity Validation

```
@Entity()
export class User {
  @PrimaryGeneratedColumn('uuid')
  id: string;

  @Column({ unique: true })
  @Index()
  email: string;

  @Column()
  passwordHash: string;

  @Column({
    type: 'enum',
    enum: UserRole,
    default: UserRole.USER
  })
  role: UserRole;

  @Column({
    type: 'enum',
    enum: UserStatus,
    default: UserStatus.ACTIVE
  })
  status: UserStatus;

  @CreateDateColumn()
  createdAt: Date;

  @UpdateDateColumn()
```

Key Takeaways

Validation Framework Benefits

- **Multi-Layer Security:** Authentication, authorization, and business rules
- **Comprehensive Coverage:** All data inputs and operations validated
- **Performance Optimized:** Early validation prevents unnecessary processing
- **Developer Experience:** Clear error messages and validation feedback

SVM Consensus Advantages

- **Cryptographic Security:** Ed25519 signature validation
- **Parallel Validation:** High-throughput transaction processing
- **State Consistency:** Atomic validation across all operations
- **Network Security:** On-chain verification of all state changes

Module 7: Signing and Cryptography

Ed25519 Digital Signatures & Key Management

Cryptographic Foundations

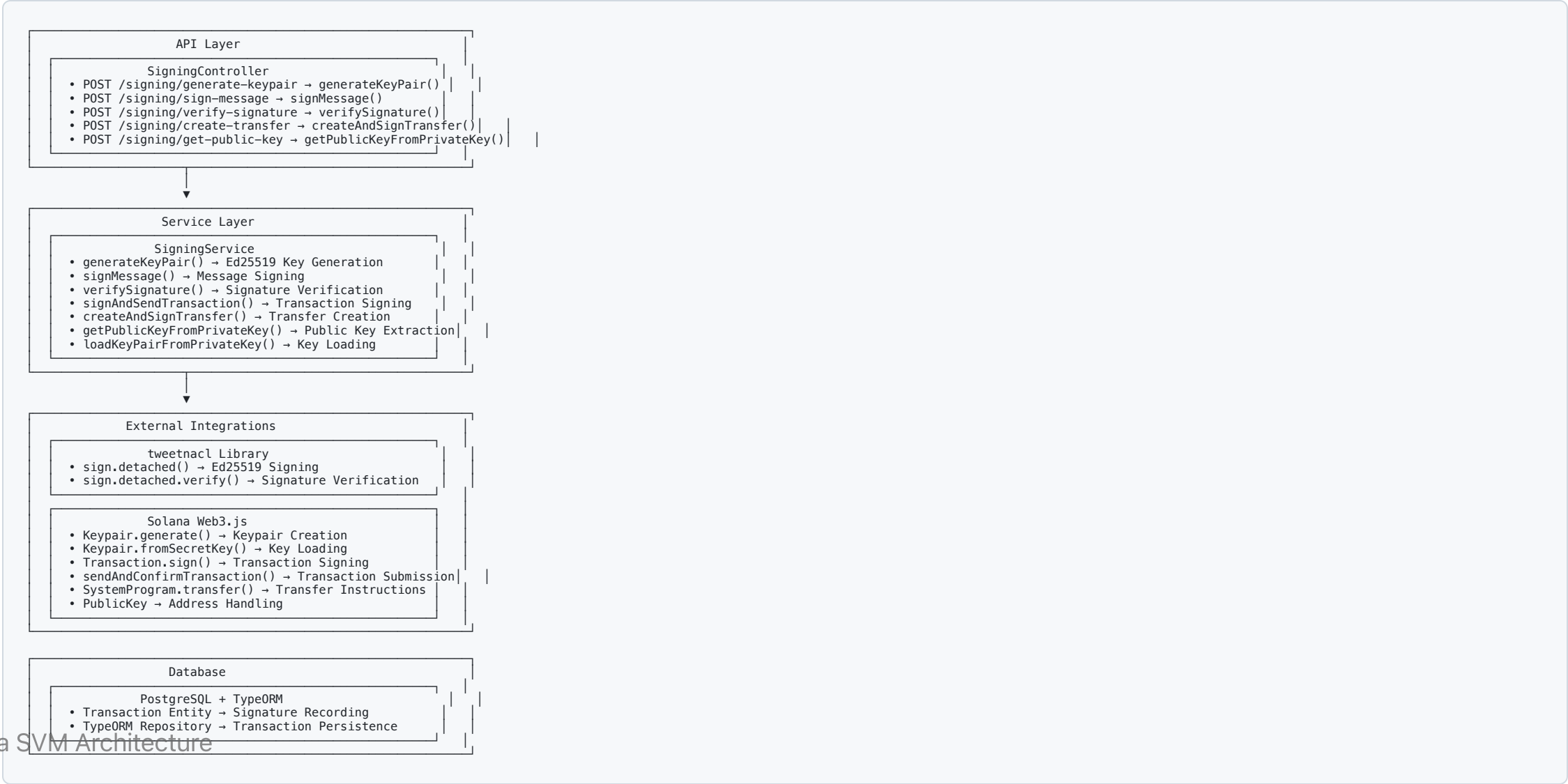
Ed25519 Digital Signatures

- **Algorithm:** Ed25519 elliptic curve cryptography
- **Key Size:** 256-bit keys (32 bytes)
- **Signature Size:** 512-bit signatures (64 bytes)
- **Security:** Post-quantum resistant design
- **Performance:** Fast signing and verification

Solana's Crypto Requirements

- **Transaction Signing:** All transactions must be signed
- **Account Security:** Private keys control account ownership
- **Program Security:** Signed deployments and upgrades
- **Multi-signature:** Multiple key validation

Architecture Overview



Key Management

Key Generation

```
generateKeyPair(): KeyPairResponse {  
  // Generate new Ed25519 keypair  
  const keypair = Keypair.generate();  
  
  // Return only public key (security best practice)  
  return {  
    publicKey: keypair.publicKey.toString(),  
    // private key is NEVER returned via API  
  };  
}
```

Private Key Handling

```
loadKeyPairFromPrivateKey(privateKeyBase64: string): Keypair {  
  try {  
    // Decode base64 private key
```

Message Signing

Signing Workflow

```
async signMessage(signMessageDto: SignMessageDto): Promise<SigningResult> {
  try {
    // Load keypair from private key
    const keypair = this.loadKeyPairFromPrivateKey(signMessageDto.privateKey);

    // Decode message from base64
    const messageBytes = Buffer.from(signMessageDto.message, 'base64');

    // Sign message using Ed25519
    const signature = nacl.sign.detached(messageBytes, keypair.secretKey);

    // Return base64 encoded signature
    return {
      signature: Buffer.from(signature).toString('base64'),
      publicKey: keypair.publicKey.toString(),
      success: true
    };
  } catch (error) {
    throw new BadRequestException('Message signing failed');
  }
}
```

Signature Verification

Verification Process

```
async verifySignature(verifyDto: VerifySignatureDto): Promise<VerificationResult> {  
  try {  
    // Decode inputs from base64  
    const messageBytes = Buffer.from(verifyDto.message, 'base64');  
    const signatureBytes = Buffer.from(verifyDto.signature, 'base64');  
    const publicKey = new PublicKey(verifyDto.publicKey);  
  
    // Verify signature using Ed25519  
    const isValid = nacl.sign.detached.verify(  
      messageBytes,  
      signatureBytes,  
      publicKey.toBytes()  
    );  
  
    return {  
      isValid,  
      publicKey: publicKey.toString(),  
      message: isValid ? 'Signature is valid' : 'Signature is invalid'  
    };  
  } catch (error) {  
    throw new BadRequestException('Signature verification failed');  
  }  
}
```


Transaction Signing

Complete Transaction Flow

```

async createAndSignTransfer(transferDto: CreateTransferDto): Promise<TransactionResult> {
  try {
    // Load sender's keypair
    const senderKeypair = this.loadKeyPairFromPrivateKey(transferDto.privateKey);

    // Create transfer instruction
    const transferInstruction = SystemProgram.transfer({
      fromPubkey: senderKeypair.publicKey,
      toPubkey: new PublicKey(transferDto.toAddress),
      lamports: transferDto.amount
    });

    // Build transaction
    const transaction = new Transaction().add(transferInstruction);

    // Get recent blockhash
    const { blockhash } = await this.connection.getRecentBlockhash();
    transaction.recentBlockhash = blockhash;
    transaction.feePayer = senderKeypair.publicKey;

    // Sign transaction
    transaction.sign(senderKeypair);

    // Submit to network
    const signature = await this.connection.sendAndConfirmTransaction(transaction);

    // Record transaction in database
    await this.recordTransaction(signature, transferDto);

    return {
      signature,
      success: true,
      transactionId: signature
    };
  } catch (error) {

```

Transaction Workflow

Signing Workflow Steps

1.  Load Keypair → Private Key to Keypair
2.  Build Transaction → Instruction Assembly
3.  Sign Transaction → Ed25519 Signing
4.  Submit to Network → `sendAndConfirmTransaction`
5.  Record Transaction → Database Persistence

Transaction Components

- **Instructions:** Program calls and data
- **Recent Blockhash:** Prevents replay attacks
- **Fee Payer:** Account paying transaction fees
- **Signatures:** Ed25519 signatures from required signers

API Endpoints

Key Management

- `POST /signing/generate-keypair` - Generate new Ed25519 keypair
- `POST /signing/get-public-key` - Extract public key from private key

Message Signing

- `POST /signing/sign-message` - Sign arbitrary message
- `POST /signing/verify-signature` - Verify message signature

Transaction Operations

- `POST /signing/create-transfer` - Create and sign SOL transfer

Response Formats

Security Considerations

Implemented Security Measures

- **Private Key Protection:** Never returned via API responses
- **Input Validation:** Strict format checking for all inputs
- **Error Sanitization:** No sensitive data in error messages
- **Base64 Encoding:** Safe transport of binary cryptographic data
- **Transaction Recording:** Complete audit trail

Cryptographic Best Practices

- **Ed25519 Standard:** Industry-standard elliptic curve cryptography
- **Deterministic Signatures:** Consistent signature generation
- **Replay Protection:** Blockhash prevents transaction replay
- **Multi-signature Ready:** Supports multiple signer validation

MPC Integration (Future)

Multi-Party Computation Features

- **Key Share Distribution:** Split private keys across multiple parties
- **Threshold Signing:** Require minimum signatures for validity
- **Secure Reconstruction:** Combine shares without exposing full key
- **Byzantine Fault Tolerance:** Resilient to malicious participants

MPC Benefits

- **Enhanced Security:** No single point of key compromise
- **Distributed Trust:** Multiple parties required for signing
- **Fault Tolerance:** System continues with some parties offline
- **Regulatory Compliance:** Addresses custody and control requirements

Key Takeaways

Cryptography Implementation

- **Ed25519 Focus:** Solana's native cryptographic algorithm
- **Secure Key Management:** Private keys never exposed via API
- **Complete Transaction Flow:** From key generation to network submission
- **Audit Trail:** All operations recorded in database

SVM Cryptographic Advantages

- **High Performance:** Fast Ed25519 operations at scale
- **Parallel Processing:** Multiple signature verifications simultaneously
- **Network Security:** Cryptographic validation of all state changes
- **Future MPC Ready:** Foundation for advanced cryptographic schemes

Module 8: Multi-Party Computation (MPC)

Threshold Cryptography for Secure Signing

What is MPC?

Multi-Party Computation

- **Distributed Cryptography:** Multiple parties compute together without revealing secrets
- **Threshold Security:** t -of- n scheme (need t shares out of n total to sign)
- **Secure Signing:** Sign transactions without exposing private keys

Use Cases

- **Multi-sig Wallets:** Distributed control over funds
- **Secure Custody:** Institutional-grade key management
- **Decentralized Signing:** No single point of failure

Threshold Schemes

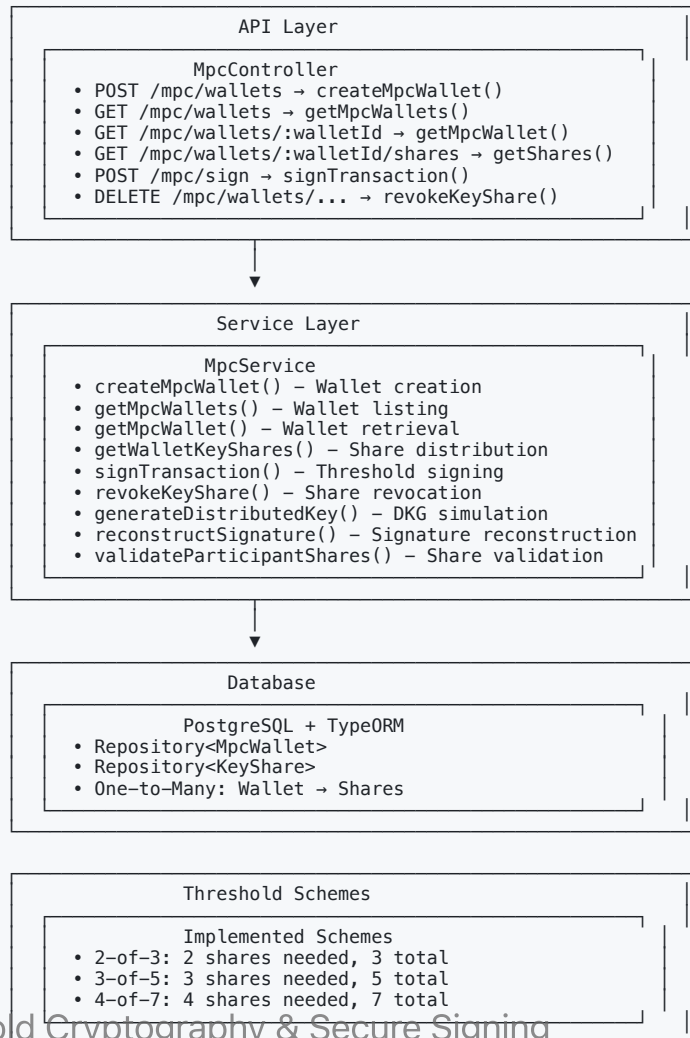
Common Configurations

- **2-of-3**: 2 shares needed, 3 total shares
- **3-of-5**: 3 shares needed, 5 total shares
- **4-of-7**: 4 shares needed, 7 total shares

Security Properties

- **t shares**: Minimum required for signing
- **n shares**: Total shares distributed
- **No single point**: No individual can sign alone
- **Flexible recovery**: Replace compromised shares

Architecture Overview



Threshold Signing

```
// Sign transaction with 2 shares (for 2-of-3 wallet)
const signature = await mpcService.signTransaction({
  walletId: wallet.id,
  transaction: serializedTransaction,
  shares: [
    { participantId: "alice", shareIndex: 0, encryptedShare: aliceShare },
    { participantId: "bob", shareIndex: 1, encryptedShare: bobShare }
  ]
});

// Use signature in Solana transaction
const tx = Transaction.from(Buffer.from(serializedTransaction));
tx.addSignature(wallet.publicKey, signature);
```

Error Handling

Common Errors

- **BadRequestException**: Invalid parameters or insufficient shares
- **NotFoundException**: Wallet or share not found
- **UnauthorizedException**: Invalid participant authentication
- **ForbiddenException**: Threshold not met for signing

Validation Checks

- Participant public key verification
- Share encryption validation
- Threshold requirement enforcement
- **Wallet status verification**

Use Cases & Benefits

Institutional Custody

- **Secure Key Management:** No single employee can access funds
- **Regulatory Compliance:** Audit trails and access controls
- **Business Continuity:** Share recovery for lost access

Decentralized Applications

- **DAO Treasury:** Multi-sig control for community funds
- **DeFi Protocols:** Secure oracle or bridge operations
- **NFT Marketplaces:** Escrow and royalty management

Performance Considerations

Optimization Strategies

- **Share Caching:** Cache decrypted shares for session
- **Batch Signing:** Process multiple transactions together
- **Connection Pooling:** Efficient database connections
- **Async Processing:** Non-blocking cryptographic operations

Scalability

- **Horizontal Scaling:** Multiple MPC service instances
- **Load Balancing:** Distribute signing requests
- **Rate Limiting:** Prevent abuse and DoS attacks

Security Best Practices

Operational Security

- **Secure Share Storage:** Encrypted cold storage for shares
- **Access Logging:** Complete audit trail of all operations
- **Regular Rotation:** Periodic key share rotation
- **Backup Procedures:** Secure backup and recovery processes

Cryptographic Security

- **Key Share Encryption:** Strong encryption for stored shares
- **Secure Communication:** TLS for all API communications
- **Participant Verification:** Multi-factor authentication
- **Compromise Response:** Immediate share revocation procedures

Integration with Solana

Transaction Signing

- **Ed25519 Compatibility:** Works with Solana's signature scheme
- **Transaction Serialization:** Standard Solana transaction format
- **Fee Management:** Integrated with fee estimation services

Wallet Abstraction

- **Unified Interface:** Same API as regular wallets
- **Transparent Operation:** Applications don't need MPC awareness
- **Fallback Support:** Regular keypair signing as backup

Next Steps

Module 8 Implementation Tasks

-  Threshold signature generation
-  Distributed key generation
-  Key share management
-  Signature reconstruction
-  MPC wallet creation
-  Secure key distribution
-  MPC transaction signing
-  Recovery mechanisms

Related Modules

Threshold Cryptography & Secure Signing

- **Module 7: Signing & Cryptography**

Thank You!

Questions?

MPC enables secure, distributed control over blockchain assets!

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Module 9: Solana Virtual Machine (SVM)

Runtime Architecture and Program Execution

What is the SVM?

Solana Virtual Machine

- **Sealevel Runtime:** Solana's parallel smart contract execution engine
- **BPF Programs:** Berkeley Packet Filter bytecode for programs
- **Parallel Processing:** Execute multiple transactions simultaneously
- **Resource Management:** Compute units and gas metering

Key Differences from EVM

- **Parallel Execution:** Multiple transactions can run at once
- **Account-Based:** Programs and data stored in accounts
- **No Gas Wars:** Priority fees instead of gas auctions

SVM Architecture

Core Components

- **Programs:** Executable bytecode stored in accounts
- **Runtime:** Sealevel execution environment
- **Compute Units:** Resource allocation and metering
- **Parallel Processing:** Concurrent transaction execution

Execution Model

- **Single-threaded Accounts:** No race conditions
- **Cross-program Calls:** Programs can invoke other programs
- **State Consistency:** Atomic transaction execution

Architecture Overview



Executing a Program

```
// Execute single instruction
const execution = await svmService.executeProgram({
  programId: program.programId,
  instruction: {
    accounts: [/* account metas */],
    data: instructionData,
    programId: program.programId
  },
  signers: [payerKeypair],
  computeUnitLimit: 100000
});

console.log('Execution signature:', execution.transactionId);
console.log('Compute units used:', execution.computeUnitsUsed);
```

Parallel Execution

```
// Execute multiple instructions in parallel
const results = await svmService.executeParallel({
  executions: [
    { programId: prog1, instruction: instr1 },
    { programId: prog2, instruction: instr2 },
    { programId: prog3, instruction: instr3 }
  ],
  continueOnFailure: true, // Continue if one fails
  maxConcurrent: 5 // Limit concurrency
});

// Check results
results.forEach((result, index) => {
  if (result.status === 'fulfilled') {
    console.log(`Execution ${index} succeeded:`, result.value.transactionId);
  } else {
    console.log(`Execution ${index} failed:`, result.reason);
  }
});
```


Compute Units (CU) Management

CU Concepts

- **Compute Units:** Measure of computational work
- **CU Price:** Priority fee per CU
- **CU Limit:** Maximum allowed per transaction
- **CU Budget:** Total available for transaction

Setting CU Limits

```
// Set compute unit limit and price
const modifyComputeUnits = ComputeBudgetProgram.setComputeUnitLimit({
  units: 100000
});
```

```
const addPriorityFee = ComputeBudgetProgram.setComputeUnitPrice({
  microLamports: 5000 // 0.000005 SOL per CU
});
```

Metrics and Monitoring

Execution Analytics

- **Performance Tracking:** Execution time measurement
- **Resource Usage:** CU consumption monitoring
- **Success Rates:** Execution outcome statistics
- **Cost Analysis:** Gas expenditure tracking
- **Trend Analysis:** Historical performance patterns

Monitoring Endpoints

- `GET /svm/metrics/executions` - Get execution metrics
- `GET /svm/programs/:programId/stats` - Get program statistics
- `GET /svm/runtime/info` - Get runtime information

Security and Validation

Execution Security

- **Program Verification:** Bytecode validation before execution
- **Access Control:** Owner permission checks
- **Gas Limits:** Resource bound enforcement
- **Account Validation:** Address verification
- **Error Isolation:** Failure containment

Validation Checks

- Program ownership verification
- Account existence validation
- Instruction data sanitization
- Resource limit enforcement

Performance Optimization

Optimization Strategies

- **Parallel Execution:** Run independent operations concurrently
- **CU Optimization:** Right-size compute unit limits
- **Batch Processing:** Combine related operations
- **Caching:** Cache program and account data
- **Connection Pooling:** Efficient RPC connections

Scalability Features

- **Horizontal Scaling:** Multiple SVM service instances
- **Load Balancing:** Distribute execution requests
- **Async Processing:** Non-blocking execution
- **Resource Monitoring:** Track and limit resource usage

Integration with Solana

Web3.js Integration

- **PublicKey:** Address handling and validation
- **Transaction:** Transaction building and serialization
- **SystemProgram:** Account creation and management
- **ComputeBudgetProgram:** CU limit and priority setting
- **sendAndConfirmTransaction:** Transaction submission and confirmation

Network Support

- **Local Validator:** Development and testing
- **Devnet/Testnet:** Staging environments
- **Mainnet:** Production deployment
- **RPC Rotation:** Failover and load balancing

Next Steps

Module 9 Implementation Tasks

-  Program entity and CRUD operations
-  Program deployment functionality
-  Single program execution
-  Parallel transaction execution
-  Gas metering and tracking
-  SVM runtime monitoring
-  Local test validator setup
-  Multi-network support

Related Modules

SVM Runtime & Program Execution

- **Module 10:** Cross-Program Invocations

Thank You!

Questions?

SVM enables parallel smart contract execution on Solana!

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Module 10: Cross-Program Invocations (CPIs)

Program Composition & Interoperability

What are Cross-Program Invocations?

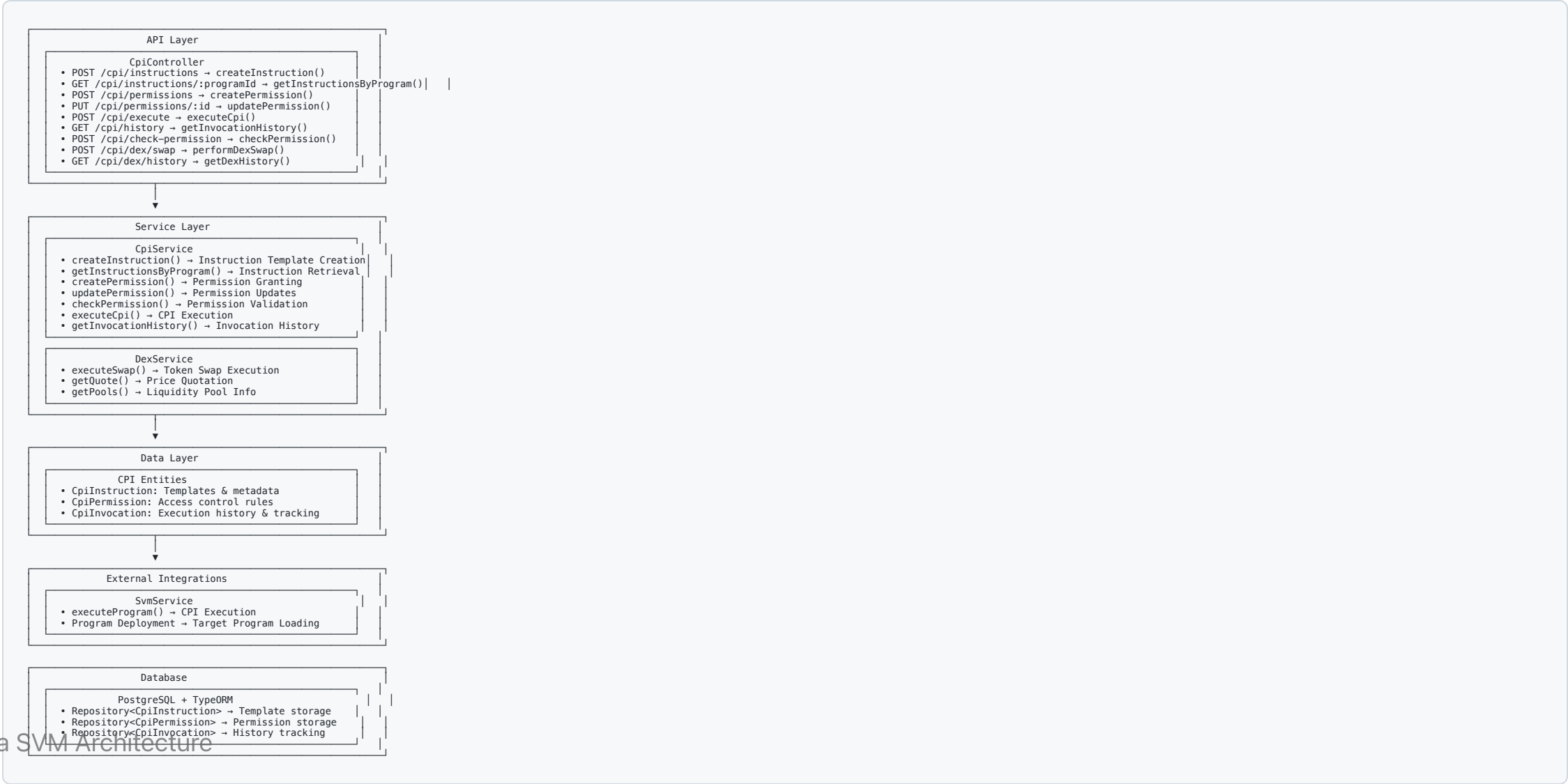
CPI Fundamentals

- **Program Calls:** One program invoking another program's instructions
- **Composability:** Building complex functionality from simple programs
- **Trustless Execution:** Programs execute with full SVM runtime security
- **Atomic Operations:** All CPI calls succeed or fail together

SVM Advantages

- **Single Transaction:** Multiple program interactions in one atomic operation
- **Shared State:** Programs can read and modify shared accounts
- **Gas Efficiency:** No additional transaction overhead for CPI calls
- **Security Isolation:** Each program maintains its own security boundaries

Architecture Overview



CPI Permission System

Permission Management

```
interface CpiPermission {
  id: string;
  programId: string;           // Target program being granted access
  granterProgramId: string;    // Program granting the permission
  permissionType: 'read' | 'write' | 'execute';
  accountId?: string;          // Specific account (optional)
  expiresAt?: Date;            // Permission expiration
  isActive: boolean;
}
```

Permission Validation

```
async checkPermission(
  callerProgramId: string,
  targetProgramId: string,
  permissionType: string,
```

Instruction Templates

CPI Instruction Structure

```
interface CpiInstruction {  
    id: string;  
    programId: string;           // Target program ID  
    callerProgramId: string;     // Calling program ID  
    instructionData: any;        // Instruction payload  
    accounts: AccountMeta[];     // Account metadata array  
    methodName: string;          // Method identifier  
    requiresPermission: boolean; // Permission check required  
    permissionLevel: string;     // Required permission type  
    isActive: boolean;  
}  
  
interface AccountMeta {  
    pubkey: PublicKey;  
    isSigner: boolean;  
    isWritable: boolean;  
}
```

CPI Execution Flow

Execution Process

```

async executeCpi(executionDto: ExecuteCpiDto): Promise<CpiInvocation> {
  // 1. Permission Check
  if (executionDto.requiresPermission) {
    const hasPermission = await this.checkPermission(
      executionDto.callerProgramId,
      executionDto.targetProgramId,
      executionDto.permissionType
    );

    if (!hasPermission) {
      throw new ForbiddenException('Insufficient CPI permissions');
    }
  }

  // 2. Create invocation record
  const invocation = await this.createInvocationRecord(executionDto);

  try {
    // 3. Execute via SVM service
    const result = await this.svmService.executeProgram({
      programId: executionDto.targetProgramId,
      instruction: executionDto.instruction,
      accounts: executionDto.accounts
    });

    // 4. Update invocation with success
    invocation.status = 'success';
    invocation.transactionId = result.signature;
    invocation.gasUsed = result.computeUnits;
  } catch (error) {
    // 5. Record failure
    invocation.status = 'failed';
    invocation.errorMessage = error.message;
  }
}

```

DEX Operations

Token Swap Implementation

```

async performDexSwap(swapDto: DexSwapDto): Promise<SwapResult> {
  // Get quote from DEX
  const quote = await this.getQuote({
    inputMint: swapDto.inputMint,
    outputMint: swapDto.outputMint,
    amount: swapDto.amount,
    slippage: swapDto.slippage
  });

  // Check slippage tolerance
  if (quote.priceImpact > swapDto.maxSlippage) {
    throw new BadRequestException('Price impact too high');
  }

  // Execute swap via CPI
  const swapInstruction = await this.createSwapInstruction(quote);

  const result = await this.cpiService.executeCpi({
    callerProgramId: this.dexProgramId,
    targetProgramId: quote.ammProgramId,
    instruction: swapInstruction,
    accounts: quote.accounts,
    requiresPermission: true,
    permissionType: 'execute'
  });

  return {
    signature: result.transactionId,
    outputAmount: quote.outputAmount,
    priceImpact: quote.priceImpact
  };
}

```

Common CPI Patterns

Token Operations

```
// SPL Token Transfer via CPI
const tokenTransferIx = Token.createTransferInstruction(
  TOKEN_PROGRAM_ID,
  sourceTokenAccount,
  destinationTokenAccount,
  owner,
  [],
  amount
);

// Execute via CPI
await cpiService.executeCpi({
  callerProgramId: myProgramId,
  targetProgramId: TOKEN_PROGRAM_ID,
  instruction: tokenTransferIx,
  accounts: [
    { pubkey: sourceTokenAccount, isSigner: false, isWritable: true },
    { pubkey: destinationTokenAccount, isSigner: false, isWritable: true },
    { pubkey: owner, isSigner: true, isWritable: false }
  ]
});
```

Security Features

CPI Security Measures

- **Permission Validation:** Granular access control enforcement
- **Account Verification:** Address validation and ownership checks
- **Execution Isolation:** Failure containment within CPI boundaries
- **Audit Trail:** Complete invocation logging and tracking
- **Gas Metering:** Resource usage monitoring and limits

Error Handling

```
class CpiExecutionError extends Error {  
  constructor(  
    public readonly invocationId: string,  
    public readonly errorCode: string,  
    public readonly details: any  
  ) {}  
}
```


API Endpoints

Instruction Management

- `POST /cpi/instructions` - Create CPI instruction template
- `GET /cpi/instructions/:programId` - Get instructions for program

Permission Management

- `POST /cpi/permissions` - Create CPI permission
- `PUT /cpi/permissions/:id` - Update permission
- `POST /cpi/check-permission` - Validate permission

Execution & History

- `POST /cpi/execute` - Execute CPI call
- `GET /cpi/history` - Get invocation history

Advanced CPI Patterns

Program Derived Address Signing

```
// CPI with PDA signing
const [pdaAddress, bump] = await PublicKey.findProgramAddress(
  [Buffer.from('authority')],
  programId
);

const instruction = new TransactionInstruction({
  keys: [
    { pubkey: pdaAddress, isSigner: false, isWritable: true },
    // ... other accounts
  ],
  programId: targetProgramId,
  data: instructionData
});

// Execute with PDA authority
await cpiService.executeCpi({
  callerProgramId: programId,
  targetProgramId: targetProgramId,
  instruction,
  accounts: instruction.keys,
```

Key Takeaways

CPI Architecture Benefits

- **Program Composability:** Build complex protocols from simple programs
- **Atomic Execution:** All CPI calls succeed or fail together
- **Security Isolation:** Each program maintains its own security model
- **Performance Efficiency:** No additional transaction overhead

SVM CPI Advantages

- **High Throughput:** Parallel CPI execution across programs
- **Shared State:** Programs can securely share and modify accounts
- **Gas Optimization:** Efficient resource usage for complex operations
- **Trustless Composition:** Programs can interact without trusted intermediaries

Module 11: Events and Logging

Real-Time Monitoring & Event Streaming

Event-Driven Architecture

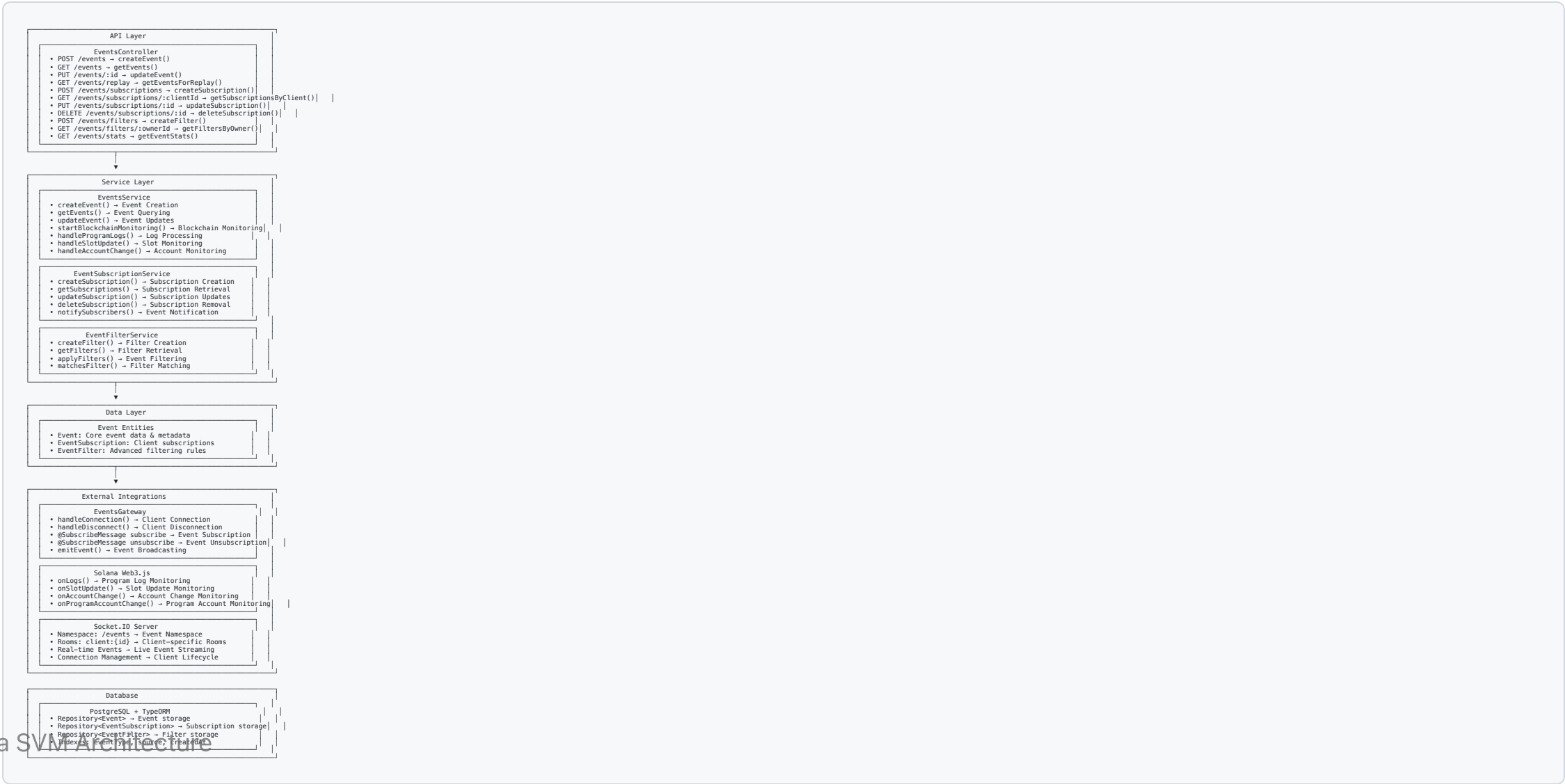
Event System Overview

- **Real-Time Monitoring:** Live blockchain event streaming
- **WebSocket Integration:** Persistent client connections
- **Subscription Management:** Flexible event filtering and delivery
- **Comprehensive Logging:** Complete audit trail of all operations

Key Capabilities

- **Blockchain Monitoring:** Program logs, account changes, slot updates
- **Event Filtering:** Advanced filtering and subscription rules
- **Real-Time Delivery:** WebSocket and webhook notifications
- **Historical Replay:** Event replay for state reconstruction

Architecture Overview



Event Types & Monitoring

Supported Event Types

```
enum EventType {  
  TRANSACTION_CONFIRMED = 'TRANSACTION_CONFIRMED',  
  ACCOUNT_CHANGED = 'ACCOUNT_CHANGED',  
  PROGRAM_LOG = 'PROGRAM_LOG',  
  CPI_INVOCATION = 'CPI_INVOCATION',  
  BLOCK_PRODUCED = 'BLOCK_PRODUCED',  
  SLOT_UPDATED = 'SLOT_UPDATED'  
}
```

Blockchain Monitoring Setup

```
async startBlockchainMonitoring(): Promise<void> {  
  // Program log monitoring  
  this.connection.onLogs('all', (logs) => {  
    this.handleProgramLogs(logs);  
  });  
}
```

Event Processing Pipeline

Event Flow Architecture

1. 🔍 Event Detection → Blockchain Monitoring
2. 📝 Event Creation → `createEvent()`
3. 💾 Database Storage → Persistent Storage
4. 📡 WebSocket Emission → Real-time Broadcasting
5. 🎯 Subscription Filtering → Targeted Delivery
6. 🌐 Webhook Delivery → HTTP Callbacks

Event Entity Structure

```
@Entity()  
export class Event {  
  @PrimaryGeneratedColumn('uuid')  
  id: string;  
  
  @Column({  
    type: 'enum',  
    enum: EventType  
  })  
  eventType: EventType;  
  
  @Column()  
  source: string; // Account/Program ID
```


Subscription Management

WebSocket Gateway Implementation

```
@WebSocketGateway({
  namespace: '/events',
  cors: true
})
export class EventsGateway {
  @WebSocketServer()
  server: Server;

  private clients = new Map<string, Socket>();

  handleConnection(client: Socket) {
    this.clients.set(client.id, client);
    client.join(`client:${client.id}`);
  }

  handleDisconnect(client: Socket) {
    this.clients.delete(client.id);
  }

  @SubscribeMessage('subscribe')
  handleSubscribe(client: Socket, data: SubscribeDto) {
    // Create subscription
    const subscription = await this.subscriptionService.createSubscription({
      clientId: client.id,
      eventTypes: data.eventTypes,
      filters: data.filters
    });

    // Join subscription room
    client.join(`subscription:${subscription.id}`);
  }

  emitEvent(event: Event) {
    // Broadcast to all subscribers
  }
}
```

Advanced Event Filtering

Filter System Architecture

```
interface EventFilter {
  id: string;
  name: string;
  eventType: EventType;
  conditions: FilterCondition[];
  action: 'include' | 'exclude' | 'transform';
  isActive: boolean;
}

interface FilterCondition {
  field: string;           // Event field to check
  operator: 'eq' | 'ne' | 'gt' | 'lt' | 'contains' | 'regex';
  value: any;              // Comparison value
}
```

Real-Time Features

WebSocket Real-Time Streaming

- **Persistent Connections:** Long-lived client connections
- **Room-Based Messaging:** Targeted event broadcasting
- **Connection Recovery:** Automatic reconnection handling
- **Load Balancing:** Scalable WebSocket server architecture
- **Message Buffering:** Event queuing during network issues

Real-Time Monitoring Capabilities

```
// Account monitoring subscription
@Post('/monitor/account/:accountId')
async subscribeToAccount(
  @Param('accountId') accountId: string,
  @Body() subscription: AccountSubscriptionDto
): Promise<SubscriptionResult> {
  // Start monitoring account changes
```

Event Replay & Historical Analysis

Event Replay Implementation

```
async getEventsForReplay(replayDto: EventReplayDto): Promise<Event[]> {
  const query = this.eventRepository.createQueryBuilder('event');

  // Apply time range filter
  if (replayDto.startTime) {
    query.andWhere('event.createdAt >= :startTime', {
      startTime: replayDto.startTime
    });
  }

  if (replayDto.endTime) {
    query.andWhere('event.createdAt <= :endTime', {
      endTime: replayDto.endTime
    });
  }

  // Apply event type filter
  if (replayDto.eventTypes?.length) {
    query.andWhere('event.eventType IN (:...eventTypes)', {
      eventTypes: replayDto.eventTypes
    });
  }

  // Apply source filter
  if (replayDto.sources?.length) {
    query.andWhere('event.source IN (:...sources)', {
      sources: replayDto.sources
    });
  }
}
```

API Endpoints

Event Management

- `POST /events` - Create custom event
- `GET /events` - Query events with filtering
- `PUT /events/:id` - Update event status
- `GET /events/replay` - Get events for replay

Subscription Management

- `POST /events/subscriptions` - Create event subscription
- `GET /events/subscriptions/:clientId` - Get client subscriptions
- `PUT /events/subscriptions/:id` - Update subscription
- `DELETE /events/subscriptions/:id` - Remove subscription

Key Takeaways

Event System Benefits

- **Real-Time Monitoring:** Live blockchain event streaming
- **Flexible Subscriptions:** WebSocket and webhook delivery options
- **Advanced Filtering:** Granular event selection and processing
- **Historical Analysis:** Complete event replay and statistics

SVM Event Advantages

- **High-Frequency Events:** Handle thousands of events per second
- **Parallel Processing:** Multiple event streams processed simultaneously
- **State Synchronization:** Real-time state updates across distributed systems
- **Audit Trail:** Immutable event history for compliance and debugging

Module 12: Security and Best Practices

Comprehensive Security Framework

Security Architecture Overview

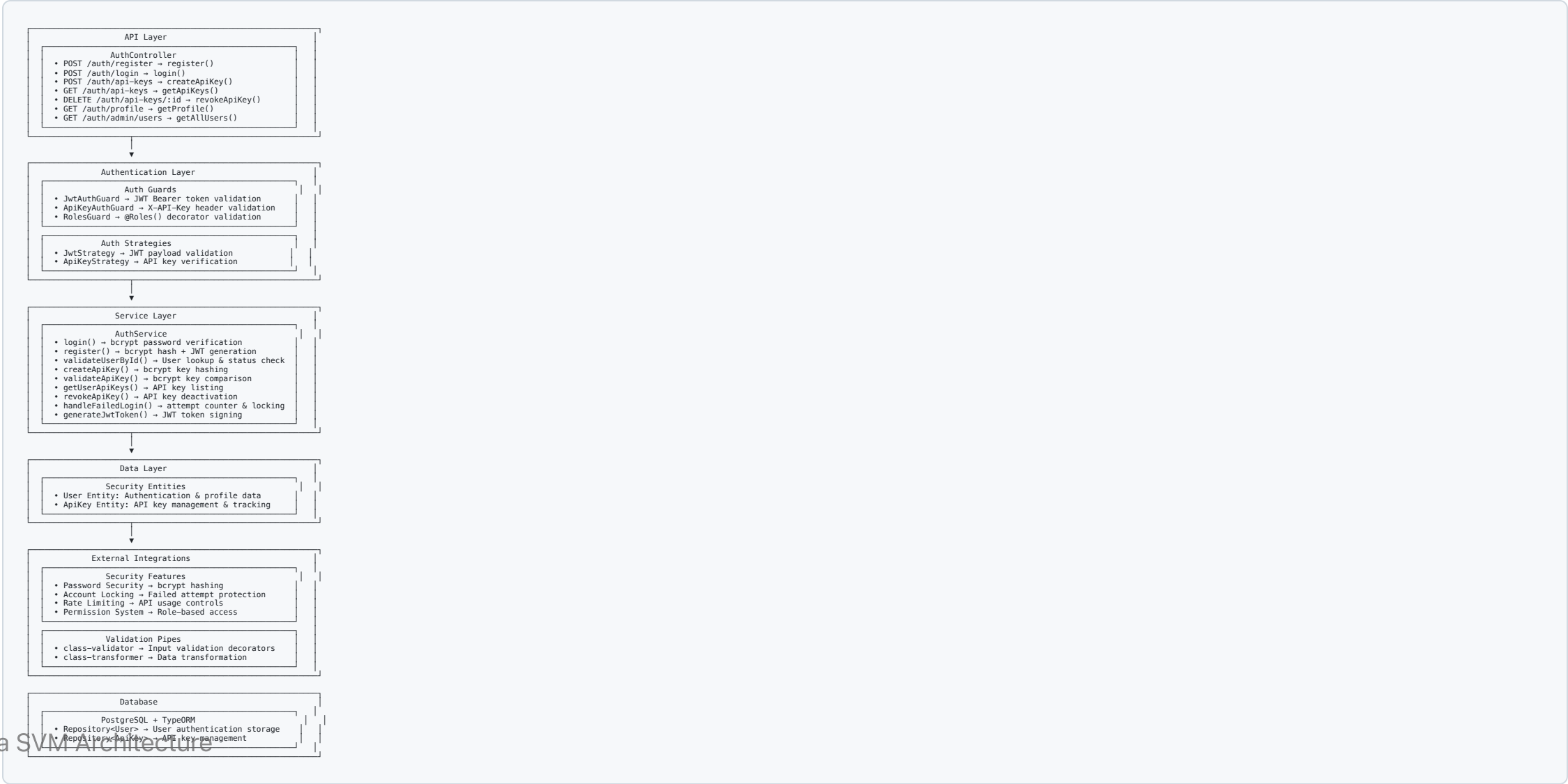
Multi-Layer Security

- **Authentication:** JWT tokens and API key validation
- **Authorization:** Role-based access control and permissions
- **Input Validation:** Comprehensive data sanitization
- **Rate Limiting:** API usage controls and abuse prevention
- **Audit Logging:** Complete security event tracking

Security Principles

- **Defense in Depth:** Multiple security layers
- **Least Privilege:** Minimum required permissions
- **Fail-Safe Defaults:** Secure default configurations
- **Complete Auditing:** All security events logged

System Architecture



Authentication Guards

JWT Authentication Guard

```
@Injectable()
export class JwtAuthGuard extends AuthGuard('jwt') {
  canActivate(context: ExecutionContext): boolean {
    // Allow access to auth endpoints without token
    const request = context.switchToHttp().getRequest();
    const isAuthEndpoint = request.url.includes('/auth/');

    if (isAuthEndpoint) {
      return true;
    }

    // Validate JWT token for protected endpoints
    return super.canActivate(context);
  }
}
```

Authentication Strategies

JWT Strategy Implementation

```
@Injectable()
export class JwtStrategy extends PassportStrategy(Strategy) {
  constructor(private authService: AuthService) {
    super({
      jwtFromRequest: ExtractJwt.fromAuthHeaderAsBearerToken(),
      ignoreExpiration: false,
      secretOrKey: process.env.JWT_SECRET,
    });
  }

  async validate(payload: JwtPayload): Promise<User> {
    const user = await this.authService.validateUserById(payload.sub);

    if (!user) {
      throw new UnauthorizedException('User not found');
    }

    if (user.status !== 'active') {
      throw new UnauthorizedException('User account is not active');
    }

    return user;
  }
}
```

Security Entities

User Entity

```
@Entity()
export class User {
  @PrimaryGeneratedColumn('uuid')
  id: string;

  @Column({ unique: true })
  @Index()
  email: string;

  @Column()
  passwordHash: string;

  @Column({
    type: 'enum',
    enum: UserRole,
    default: UserRole.USER
  })
  role: UserRole;

  @Column({ default: 0 })
  loginAttempts: number;

  @Column({ nullable: true })
  lockedUntil?: Date;

  @Column({
    type: 'enum',
    enum: UserStatus,
    default: UserStatus.ACTIVE
  })
  status: UserStatus;

  @CreateDateColumn()
  createdAt: Date;

  @UpdateDateColumn()
  updatedAt: Date;

  // Business logic methods
  isLocked(): boolean {
    return this.lockedUntil && this.lockedUntil > new Date();
  }
}
```

Password Security

Password Hashing & Verification

```
@Injectable()
export class AuthService {
  private readonly SALT_ROUNDS = 12;

  async hashPassword(password: string): Promise<string> {
    return bcrypt.hash(password, this.SALT_ROUNDS);
  }

  async verifyPassword(password: string, hash: string): Promise<boolean> {
    return bcrypt.compare(password, hash);
  }

  async register(registerDto: RegisterDto): Promise<AuthResponse> {
    // Validate password strength
    this.validatePasswordStrength(registerDto.password);

    // Check if user exists
    const existingUser = await this.userRepository.findOne({
      where: { email: registerDto.email }
    });

    if (existingUser) {
      throw new ConflictException('User already exists');
    }

    // Hash password
    const passwordHash = await this.hashPassword(registerDto.password);

    // Create user
    const user = this.userRepository.create({
      email: registerDto.email,
      passwordHash,
      role: UserRole.USER
    });

    await this.userRepository.save(user);

    // Generate JWT token
    const token = this.generateJwtToken(user);
  }
}
```

Account Protection

Failed Login Handling

```

async handleFailedLogin(email: string): Promise<void> {
  const user = await this.userRepository.findOne({ where: { email } });

  if (!user) {
    // Don't reveal if user exists
    return;
  }

  user.loginAttempts += 1;

  // Lock account after 5 failed attempts
  if (user.loginAttempts >= 5) {
    user.lockedUntil = new Date(Date.now() + 15 * 60 * 1000); // 15 minutes
    user.loginAttempts = 0; // Reset counter
  }

  await this.userRepository.save(user);
}

async login(loginDto: LoginDto): Promise<AuthResponse> {
  const user = await this.userRepository.findOne({
    where: { email: loginDto.email }
  });

  if (!user) {
    throw new UnauthorizedException('Invalid credentials');
  }

  // Check if account is locked
  if (user.isLocked()) {
    throw new UnauthorizedException('Account is temporarily locked');
  }

  // Verify password
  const isPasswordValid = await this.verifyPassword(loginDto.password, user.passwordHash);

  if (!isPasswordValid) {
    await this.handleFailedLogin(loginDto.email);
    throw new UnauthorizedException('Invalid credentials');
  }

  // Reset login attempts on successful login
  user.loginAttempts = 0;
  user.lockedUntil = null;
  await this.userRepository.save(user);

  // Generate token

```

API Key Management

API Key Creation & Validation

```

async createApiKey(userId: string, createDto: CreateApiKeyDto): Promise<ApiKeyResponse> {
  // Generate random API key
  const apiKeyValue = crypto.randomBytes(32).toString('hex');

  // Hash the full key for storage
  const keyHash = await bcrypt.hash(apiKeyValue, 12);

  // Store first 8 characters for identification
  const keyPrefix = apiKeyValue.substring(0, 8);

  // Create API key entity
  const apiKey = this.apiKeyRepository.create({
    keyHash,
    keyPrefix,
    user: { id: userId } as User,
    permission: createDto.permission || ApiKeyPermission.READ,
    expiresAt: createDto.expiresAt,
    rateLimit: createDto.rateLimit || 100
  });

  await this.apiKeyRepository.save(apiKey);

  // Return the actual key (only time it's shown)
  return {
    id: apiKey.id,
    key: apiKeyValue, // Full key returned only once
    keyPrefix,
    permission: apiKey.permission,
    expiresAt: apiKey.expiresAt,
    rateLimit: apiKey.rateLimit
  };
}

async validateApiKey(apiKeyValue: string): Promise<ApiKeyValidationResult> {
  // Find API key by prefix (first 8 chars)
  const keyPrefix = apiKeyValue.substring(0, 8);

  const apiKey = await this.apiKeyRepository.findOne({
    where: { keyPrefix },
    relations: ['user']
  });

  if (!apiKey || !apiKey.isValid()) {
    return { isValid: false };
  }

  // Verify full key against hash
  const isValid = await bcrypt.compare(apiKeyValue, apiKey.keyHash);

  if (!isValid) {
    return { isValid: false };
  }

  return {
    isValid: true,
    user: apiKey.user,
    permission: apiKey.permission,
    expiresAt: apiKey.expiresAt,
    rateLimit: apiKey.rateLimit
  };
}

```

Rate Limiting & Usage Tracking

API Key Rate Limiting

```
async updateApiKeyUsage(apiKeyId: string): Promise<void> {
  const apiKey = await this.apiKeyRepository.findOne({
    where: { id: apiKeyId }
  });

  if (!apiKey) return;

  // Update usage statistics
  apiKey.usageCount += 1;
  apiKey.lastUsedAt = new Date();

  await this.apiKeyRepository.save(apiKey);
}

async checkRateLimit(apiKey: ApiKey): Promise<boolean> {
  if (!apiKey.lastUsedAt) {
    return true; // No usage yet
  }

  const now = new Date();
  const timeSinceLastUse = now.getTime() - apiKey.lastUsedAt.getTime();
  const requestsPerMs = apiKey.rateLimit / 60000; // per minute to per ms

  // Simple rate limiting: ensure minimum time between requests
  const minIntervalMs = 1000 / requestsPerMs;
```


Input Validation & Sanitization

DTO Validation with Class Validator

```
import { IsEmail, IsNotEmpty, MinLength, IsEnum, IsOptional } from 'class-validator';

export class RegisterDto {
  @IsNotEmpty()
  @IsEmail()
  email: string;

  @IsNotEmpty()
  @MinLength(8)
  password: string;

  @IsOptional()
  @IsEnum(UserRole)
  role?: UserRole;
}

export class LoginDto {
  @IsNotEmpty()
  @IsEmail()
  email: string;

  @IsNotEmpty()
  password: string;
}

export class CreateApiKeyDto {
  @IsOptional()
  @IsEnum(ApiKeyPermission)
  permission?: ApiKeyPermission;

  @IsOptional()
  expiresAt?: Date;
  @IsOptional()
  @Min(1)
```

API Endpoints

Authentication Endpoints

- `POST /auth/register` - User registration with password validation
- `POST /auth/login` - User login with account locking protection
- `GET /auth/profile` - Get current user profile
- `GET /auth/admin/users` - Admin endpoint for user management

API Key Management

- `POST /auth/api-keys` - Create new API key
- `GET /auth/api-keys` - List user's API keys
- `DELETE /auth/api-keys/:id` - Revoke API key

Key Takeaways

Security Framework Benefits

- **Multi-Factor Authentication:** JWT + API key support
- **Comprehensive Protection:** Password security, account locking, rate limiting
- **Role-Based Access:** Hierarchical permission system
- **Complete Auditing:** All security events tracked

Implementation Best Practices

- **bcrypt Hashing:** Industry-standard password security
- **JWT Tokens:** Stateless authentication with expiration
- **Input Validation:** Prevent injection and malformed data
- **Rate Limiting:** Prevent abuse and DoS attacks
- **Audit Logging:** Complete security event tracking

Module 13: Development Tools and Frameworks

Complete Development Environment

Development Stack Overview

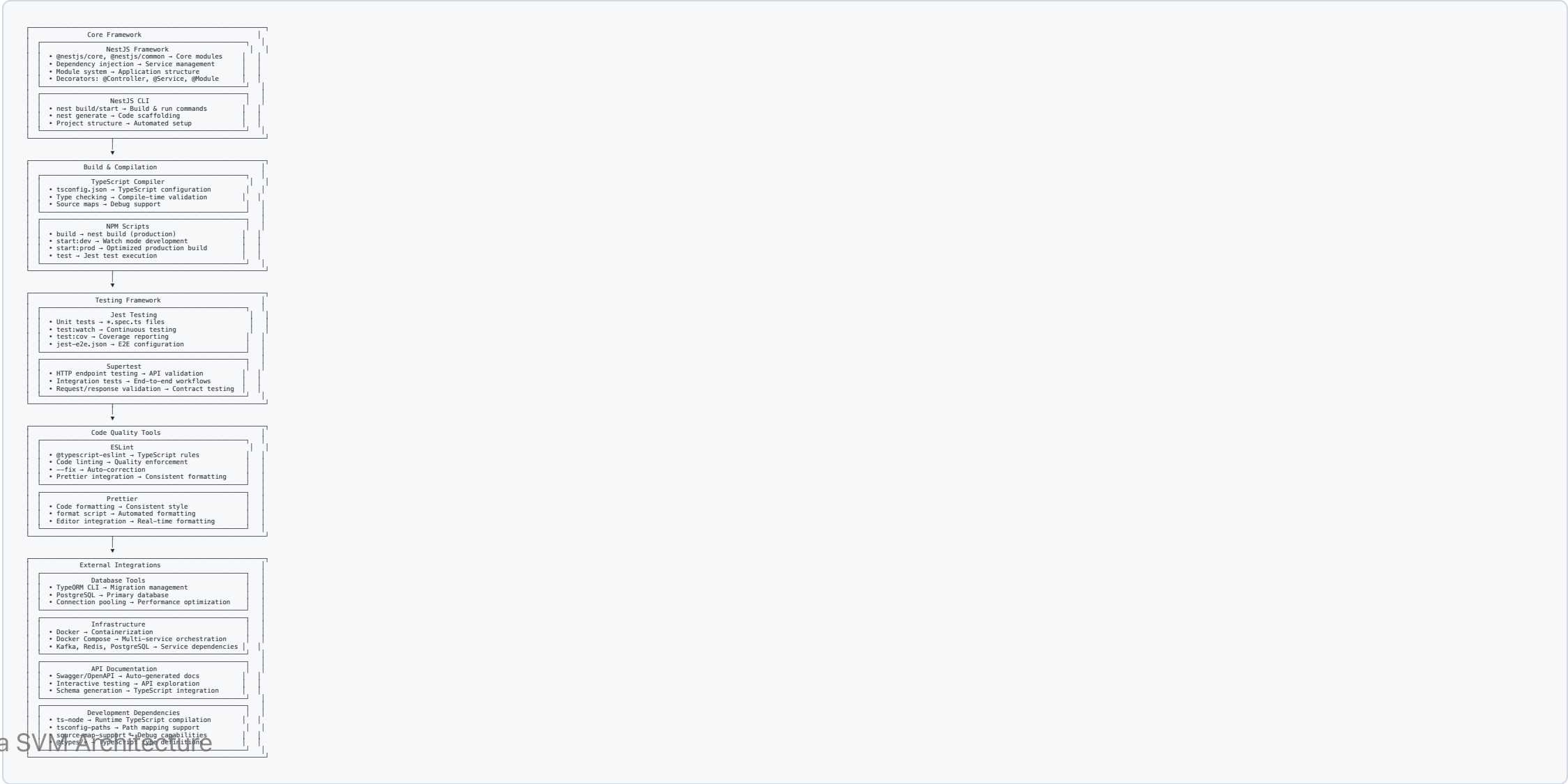
Core Technologies

- **NestJS:** Node.js framework for scalable server-side applications
- **TypeScript:** Typed JavaScript for better development experience
- **PostgreSQL:** Advanced open-source relational database
- **Redis:** In-memory data structure store for caching
- **Kafka:** Distributed event streaming platform
- **Docker:** Containerization for consistent environments

Development Principles

- **Type Safety:** Full TypeScript integration
- **Test-Driven Development:** Comprehensive testing framework
- **Code Quality:** Automated linting and formatting

Architecture Overview



NestJS Framework

Core Architecture

```
// Main application module
@Module({
  imports: [
    ConfigModule.forRoot(),
    TypeOrmModule.forRoot(databaseConfig),
    AuthModule,
    AccountsModule,
    TransactionsModule
  ],
  controllers: [AppController],
  providers: [AppService],
})
export class AppModule {}

// Controller with dependency injection
@Controller('accounts')
export class AccountsController {
  constructor(private readonly accountsService: AccountsService) {}

  @Get()
  async findAll(): Promise<Account[]> {
    return this.accountsService.findAll();
  }

  @Post()
  async create(@Body() createAccountDto: CreateAccountDto): Promise<Account> {
    return this.accountsService.create(createAccountDto);
  }
}

// Service with business logic
@Injectable()
export class AccountsService {
  constructor(
    @InjectRepository(Account)
    private accountsRepository: Repository<Account>,
  ) {}

  async findAll(): Promise<Account[]> {
    return this.accountsRepository.find();
  }

  async create(createAccountDto: CreateAccountDto): Promise<Account> {

```

TypeScript Configuration

tsconfig.json

```
{
  "compilerOptions": {
    "module": "commonjs",
    "declaration": true,
    "removeComments": true,
    "emitDecoratorMetadata": true,
    "experimentalDecorators": true,
    "allowSyntheticDefaultImports": true,
    "target": "ES2020",
    "sourceMap": true,
    "outDir": "./dist",
    "baseUrl": "./",
    "incremental": true,
    "skipLibCheck": true,
    "strictNullChecks": false,
    "noImplicitAny": false,
    "strictBindCallApply": false,
    "forceConsistentCasingInFileNames": false,
    "noFallthroughCasesInSwitch": false,
    "paths": {
      "@/*": ["src/*"],
      "@common/*": ["src/common/*"],
      "@modules/*": ["src/modules/*"]
    },
    "include": ["src/**/*.ts"],
  },
}
```


Testing Framework

Jest Configuration

```
// jest.config.js
module.exports = {
  moduleFileExtensions: ['js', 'json', 'ts'],
  rootDir: 'src',
  testRegex: '.*\\.spec\\.ts$',
  transform: {
    '^.+\\.?(t|j)s$': 'ts-jest',
  },
  collectCoverageFrom: [
    '**/*.?(t|j)s',
    '!**/*.module.ts',
    '!**/main.ts',
  ],
  coverageDirectory: '../coverage',
  testEnvironment: 'node',
  moduleNameMapping: {
    '@/(.*)$': '<rootDir>/$1',
  }
}
```

Code Quality Tools

ESLint Configuration

```
// .eslintrc.js
module.exports = {
  parser: '@typescript-eslint/parser',
  parserOptions: {
    project: 'tsconfig.json',
    tsconfigRootDir: __dirname,
    sourceType: 'module',
  },
  plugins: ['@typescript-eslint/eslint-plugin'],
  extends: [
    'eslint:recommended',
    '@typescript-eslint/recommended',
    'prettier',
  ],
  root: true,
  env: {
    node: true,
    jest: true,
  },
  ignorePatterns: ['.eslintrc.js'],
  rules: {
    '@typescript-eslint/interface-name-prefix': 'off',
    '@typescript-eslint/explicit-function-return-type': 'off',
    '@typescript-eslint/explicit-module-boundary-types': 'off',
    '@typescript-eslint/no-explicit-any': 'off',
  }
}
```

Database Tools

TypeORM Configuration

```
// data-source.ts
export const AppDataSource = new DataSource({
  type: 'postgres',
  host: process.env.DB_HOST || 'localhost',
  port: parseInt(process.env.DB_PORT) || 5432,
  username: process.env.DB_USERNAME || 'postgres',
  password: process.env.DB_PASSWORD || 'password',
  database: process.env.DB_NAME || 'solana_svm',
  synchronize: false, // Use migrations in production
  logging: process.env.NODE_ENV === 'development',
  entities: ['dist/**/*.entity{.ts,.js}'],
  migrations: ['dist/database/migrations/*{.ts,.js}'],
  subscribers: ['dist/database/subscribers/*{.ts,.js}'],
});
```

Docker & Infrastructure

Multi-Stage Dockerfile

```
# Development stage
FROM node:18-alpine AS development
WORKDIR /app
COPY package*.json ./
RUN npm ci
COPY . .
RUN npm run build

# Production stage
FROM node:18-alpine AS production
WORKDIR /app
COPY package*.json ./
RUN npm ci --only=production && npm cache clean --force
COPY --from=development /app/dist ./dist
COPY --from=development /app/migrations ./migrations
USER node
EXPOSE 3000
```

API Documentation

Swagger Integration

```
// main.ts
import { DocumentBuilder, SwaggerModule } from '@nestjs/swagger';

async function bootstrap() {
  const app = await NestFactory.create(AppModule);

  const config = new DocumentBuilder()
    .setTitle('Solana SVM Study API')
    .setDescription('API for Solana SVM blockchain operations')
    .setVersion('1.0')
    .addTag('accounts', 'Account management endpoints')
    .addTag('transactions', 'Transaction operations')
    .addTag('signing', 'Cryptographic signing operations')
    .addBearerAuth()
    .addApiKey({ type: 'apiKey', name: 'X-API-Key', in: 'header' }, 'api-key')
    .build();

  const document = SwaggerModule.createDocument(app, config);
  SwaggerModule.setup('api', app, document);

  await app.listen(3000);
}
```

Development Workflow

Development Scripts

```
{
  "scripts": {
    "build": "nest build",
    "format": "prettier --write \"src/**/*.ts\" \"test/**/*.ts\"",
    "start": "nest start",
    "start:dev": "nest start --watch",
    "start:debug": "nest start --debug --watch",
    "start:prod": "node dist/main",
    "lint": "eslint \"{src,apps,libs,test}/**/*.ts\" --fix",
    "test": "jest",
    "test:watch": "jest --watch",
    "test:cov": "jest --coverage",
    "test:debug": "node --inspect-brk -r tsconfig-paths/register -r ts-node/register node_modules/.bin/jest --runInBand",
    "test:e2e": "jest --config ./test/jest-e2e.json"
  }
}
```

Development Environment Setup

```
# Install dependencies
npm install
```

```
# Start development database
```

Key Takeaways

Development Environment Benefits

- **Full-Stack TypeScript:** Type safety from database to API
- **Comprehensive Testing:** Unit and integration test coverage
- **Code Quality Automation:** Linting and formatting enforcement
- **Containerized Development:** Consistent environments across teams
- **API Documentation:** Auto-generated, interactive documentation

Tool Integration Benefits

- **NestJS Framework:** Scalable, maintainable application structure
- **TypeORM:** Type-safe database operations with migrations
- **Jest + Supertest:** Complete testing framework for APIs
- **Docker Compose:** Multi-service development environment

Module 14: Network Architecture

Scalable Distributed System Design

System Architecture Overview

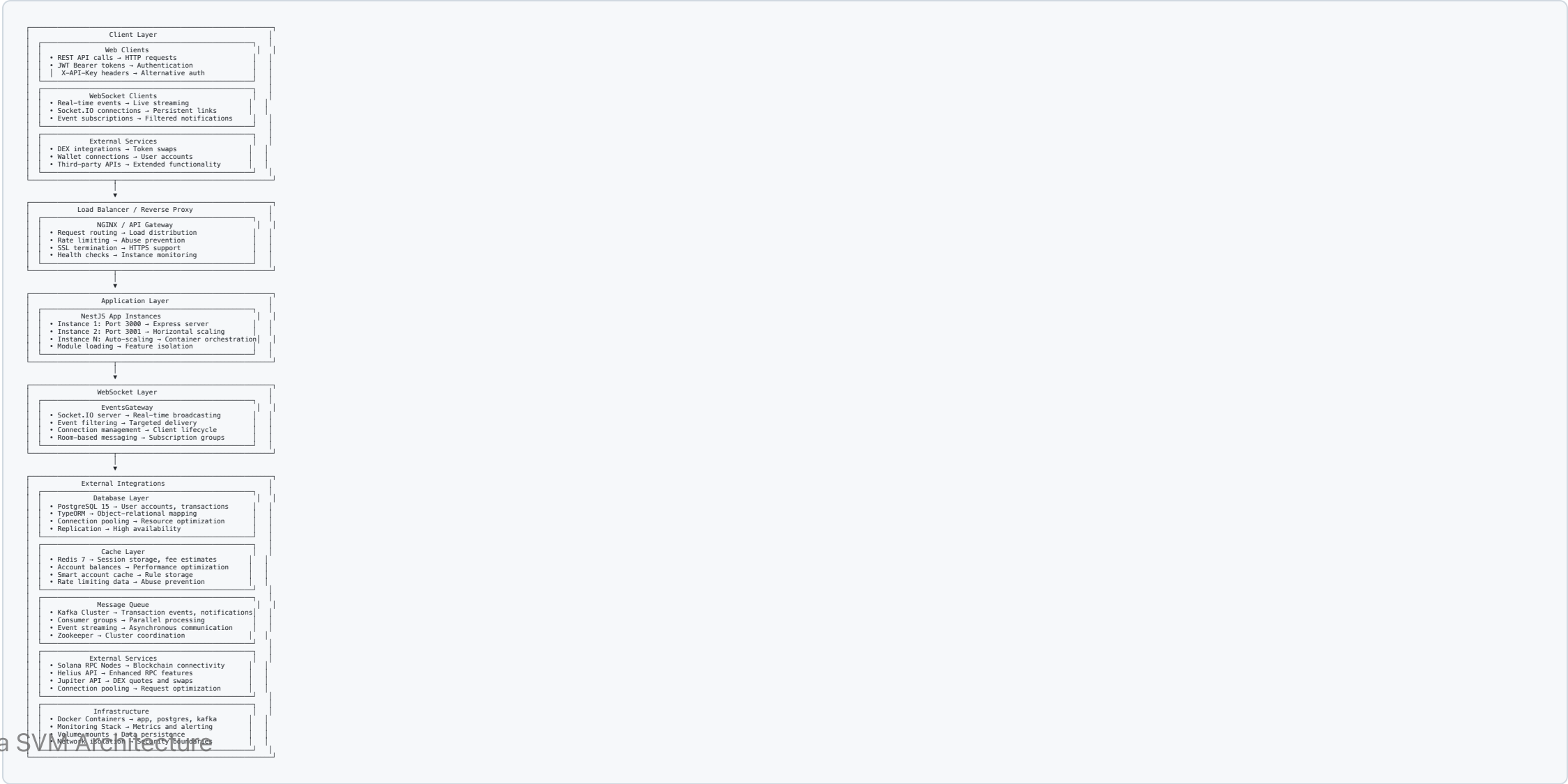
Architecture Principles

- **Microservices Design:** Modular, independently deployable services
- **Horizontal Scaling:** Multiple application instances behind load balancer
- **Event-Driven Communication:** Asynchronous messaging with Kafka
- **Multi-Layer Caching:** Redis for performance optimization
- **External API Integration:** Solana RPC and DEX service connections

Scalability Features

- **Load Balancing:** Request distribution across multiple instances
- **Database Connection Pooling:** Efficient database resource management
- **WebSocket Broadcasting:** Real-time event distribution
- **Message Queuing:** Asynchronous processing and decoupling

System Architecture



Load Balancing & Scaling

NGINX Configuration

```
# nginx.conf
upstream backend {
    least_conn;
    server app:3000;
    server app:3001;
    server app:3002;
}

server {
    listen 80;
    server_name api.solana-svm-study.com;

    # Rate limiting
    limit_req zone=api burst=10 nodelay;

    # SSL termination
    listen 443 ssl http2;
    ssl_certificate /etc/ssl/certs/api.crt;
    ssl_certificate_key /etc/ssl/private/api.key;

    # API routing
    location /api/ {
        proxy_pass http://backend;
        proxy_set_header Host $host;
        proxy_set_header X-Real-IP $remote_addr;
        proxy_set_header X-Forwarded-For $proxy_add_x_forwarded_for;
        proxy_set_header X-Forwarded-Proto $scheme;
    }

    # WebSocket routing
    location /socket.io/ {
        proxy_pass http://backend;
        proxy_http_version 1.1;
        proxy_set_header Upgrade $http_upgrade;
        proxy_set_header Connection "upgrade";
        proxy_set_header Host $host;
        proxy_set_header X-Real-IP $remote_addr;
        proxy_set_header X-Forwarded-For $proxy_add_x_forwarded_for;
        proxy_set_header X-Forwarded-Proto $scheme;
    }

    # Health checks
    location /health {
        access_log off;
    }
}
```

Database Architecture

PostgreSQL Configuration

```
// Connection pooling with TypeORM
export const AppDataSource = new DataSource({
  type: 'postgres',
  host: process.env.DB_HOST,
  port: parseInt(process.env.DB_PORT),
  username: process.env.DB_USERNAME,
  password: process.env.DB_PASSWORD,
  database: process.env.DB_NAME,

  // Connection pool settings
  extra: {
    max: 20,           // Maximum connections
    min: 5,            // Minimum connections
    idleTimeoutMillis: 30000,
    acquireTimeoutMillis: 60000,
  },

  // Replication for read scaling
  replication: {
    master: {
      host: process.env.DB_MASTER_HOST,
      port: parseInt(process.env.DB_MASTER_PORT),
      username: process.env.DB_MASTER_USER,
      password: process.env.DB_MASTER_PASSWORD,
    },
    slaves: [{
      host: process.env.DB_SLAVE_HOST,
      port: parseInt(process.env.DB_SLAVE_PORT),
      username: process.env.DB_SLAVE_USER,
      password: process.env.DB_SLAVE_PASSWORD,
    }],
  },
  synchronize: false,
  logging: process.env.NODE_ENV === 'development',
});
```

Caching Strategy

Redis Implementation

```
// Redis service for multi-purpose caching
@Injectable()
export class RedisService {
  constructor(private readonly redis: Redis) {}

  // Session storage
  async setSession(sessionId: string, data: any, ttl: number = 3600): Promise<void> {
    await this.redis.setex(`session:${sessionId}`, ttl, JSON.stringify(data));
  }

  async getSession(sessionId: string): Promise<any> {
    const data = await this.redis.get(`session:${sessionId}`);
    return data ? JSON.parse(data) : null;
  }

  // Fee estimation cache
  async cacheFeeEstimate(txSignature: string, estimate: FeeEstimate): Promise<void> {
    await this.redis.setex(`fee:${txSignature}`, 300, JSON.stringify(estimate)); // 5 min TTL
  }

  async getCachedFeeEstimate(txSignature: string): Promise<FeeEstimate | null> {
    const data = await this.redis.get(`fee:${txSignature}`);
    return data ? JSON.parse(data) : null;
  }

  // Account balance cache
  async cacheAccountBalance(address: string, balance: number): Promise<void> {
    await this.redis.setex(`balance:${address}`, 60, balance.toString()); // 1 min TTL
  }

  async getCachedAccountBalance(address: string): Promise<number | null> {
    const balance = await this.redis.get(`balance:${address}`);
    return balance ? parseInt(balance) : null;
  }

  // Rate limiting
  async checkRateLimit(key: string, limit: number, window: number): Promise<boolean> {
    const count = await this.redis.incr(key);
    if (count === 1) {
      await this.redis.expire(key, window);
    }
  }
}
```

Message Queue Architecture

Kafka Configuration

```
// Kafka producer configuration
export const kafkaConfig = {
  clientId: 'solana-svm-study',
  brokers: ['kafka:9092'],
  retry: {
    initialRetryTime: 100,
    retries: 8,
  },
};

// Producer service
@Injectable()
export class KafkaProducerService {
  private producer: Producer;

  async onModuleInit() {
    this.producer = this.kafka.producer();
    await this.producer.connect();
  }

  async publishTransactionEvent(event: TransactionEvent): Promise<void> {
    await this.producer.send({
      topic: 'transaction-events',
      messages: [{
        key: event.signature,
        value: JSON.stringify(event),
      }],
    });
  }

  async publishAccountEvent(event: AccountEvent): Promise<void> {
    await this.producer.send({
      topic: 'account-events',
      messages: [{
        key: event.address,
        value: JSON.stringify(event),
      }],
    });
  }
}
```

WebSocket Architecture

Real-Time Event Broadcasting

```

@WebSocketGateway({
  namespace: '/events',
  cors: { origin: '*' },
  transports: ['websocket', 'polling'],
})
export class EventsGateway implements OnGatewayConnection, OnGatewayDisconnect {
  @WebSocketServer()
  server: Server;

  private clients = new Map<string, Socket>();

  handleConnection(client: Socket): void {
    this.clients.set(client.id, client);
    client.join('client:${client.id}');
    console.log('Client connected: ${client.id}');
  }

  handleDisconnect(client: Socket): void {
    this.clients.delete(client.id);
    console.log('Client disconnected: ${client.id}');
  }

  @SubscribeMessage('subscribe')
  handleSubscribe(client: Socket, payload: SubscribePayload): void {
    const { eventTypes, filters } = payload;

    // Create subscription
    const subscription = this.subscriptionService.createSubscription({
      clientId: client.id,
      eventTypes,
      filters,
    });

    // Join subscription room
    client.join('subscription:${subscription.id}');

    // Send confirmation
    client.emit('subscribed', { subscriptionId: subscription.id });
  }

  @SubscribeMessage('unsubscribe')
  handleUnsubscribe(client: Socket, payload: { subscriptionId: string }): void {
    client.leave('subscription:${payload.subscriptionId}');
    this.subscriptionService.deleteSubscription(payload.subscriptionId);
  }

  async broadcastEvent(event: Event): Promise<void> {
    // Get active subscriptions for this event type
    const subscriptions = await this.subscriptionService.getSubscriptionsByEventType(
      event.eventType
    );
    // Broadcast to matching subscriptions
    for (const subscription of subscriptions) {
      if (this.matchesFilters(event, subscription.filters)) {

```

External Service Integration

Solana RPC Connection Pooling

```

@Injectables()
export class SolanaRpcService {
  private connections: Connection[] = [];

  constructor() {
    // Initialize connection pool
    const rpcUrls = [
      'https://api.mainnet-beta.solana.com',
      'https://solana-api.projectserum.com',
      'https://rpc.ankr.com/solana',
    ];

    for (const url of rpcUrls) {
      this.connections.push(new Connection(url, 'confirmed'));
    }
  }

  // Round-robin connection selection
  private getConnection(): Connection {
    const index = Math.floor(Math.random() * this.connections.length);
    return this.connections[index];
  }

  async getAccountInfo(address: PublicKey): Promise<AccountInfo<Buffer> | null> {
    const connection = this.getConnection();
    return await connection.getAccountInfo(address);
  }

  async getBalance(address: PublicKey): Promise<number> {
    const connection = this.getConnection();
    return await connection.getBalance(address);
  }

  async getRecentBlockhash(): Promise<{ blockhash: string; lastValidBlockHeight: number }> {
    const connection = this.getConnection();

```


Monitoring & Observability

Application Metrics

```
// Prometheus metrics
import { register, collectDefaultMetrics, Gauge, Counter, Histogram } from 'prom-client';

// Enable default metrics
collectDefaultMetrics();

// Custom metrics
export const httpRequestDuration = new Histogram({
  name: 'http_request_duration_seconds',
  help: 'Duration of HTTP requests in seconds',
  labelNames: ['method', 'route', 'status_code'],
});

export const activeConnections = new Gauge({
  name: 'websocket_active_connections',
  help: 'Number of active WebSocket connections',
});

export const databaseConnections = new Gauge({
  name: 'database_active_connections',
  help: 'Number of active database connections',
});

export const kafkaMessagesProcessed = new Counter({
  name: 'kafka_messages_processed_total',
  help: 'Total number of Kafka messages processed',
});
```

Docker & Container Orchestration

Production Docker Compose

```

version: '3.8'
services:
  api:
    build:
      context: .
      dockerfile: Dockerfile
    ports:
      - "3000-3002:3000" # Multiple ports for scaling
    environment:
      - NODE_ENV=production
      - DB_HOST=postgres
      - REDIS_HOST=redis
      - KAFKA_BROKER=kafka:9092
    depends_on:
      - postgres
      - redis
      - kafka
    deploy:
      replicas: 3
      restart_policy:
        condition: on-failure

  postgres:
    image: postgres:15-alpine
    environment:
      - POSTGRES_DB=solana_svm
      - POSTGRES_USER=postgres
      - POSTGRES_PASSWORD=${DB_PASSWORD}
    volumes:
      - postgres_data:/var/lib/postgresql/data
    deploy:
      resources:
        limits:
          memory: 1G
        reservations:
          memory: 512M

  redis:
    image: redis:7-alpine
    command: redis-server --appendonly yes
    volumes:
      - redis_data:/data
    deploy:
      resources:
        limits:
          memory: 512M

  kafka:
    image: confluentinc/cp-kafka:7.3.0
    environment:
      - KAFKA_BROKER_ID=1
      - KAFKA_ZOOKEEPER_CONNECT=zookeeper:2181
      - KAFKA_ADVERTISED_LISTENERS=PLAINTEXT://kafka:9092
      - KAFKA_OFFSETS_TOPIC_REPLICATION_FACTOR=1
    depends_on:
      - zookeeper
    volumes:
      - kafka_data:/var/lib/kafka/data

  zookeeper:
    image: confluentinc/cp-zookeeper:7.3.0
    environment:
      - ZOOKEEPER_CLIENT_PORT=2181

  nginx:
    image: nginx:alpine
    ports:
      - "80:80"
      - "443:443"
    volumes:
      - ./nginx.conf:/etc/nginx/nginx.conf
      - ./ssl:/etc/ssl/certs
    depends_on:

```

Key Takeaways

Architecture Benefits

- **Scalability:** Horizontal scaling with load balancing
- **Reliability:** Multiple instances prevent single points of failure
- **Performance:** Caching, connection pooling, and async processing
- **Maintainability:** Modular design with clear separation of concerns
- **Observability:** Comprehensive monitoring and health checks

Production-Ready Features

- **Container Orchestration:** Docker-based deployment and scaling
- **Database Optimization:** Connection pooling and read replicas
- **Message Queuing:** Asynchronous processing with Kafka
- **Real-Time Communication:** WebSocket broadcasting for live updates

Module 15: Advanced Features

Cutting-Edge Blockchain Capabilities

Advanced Features Overview

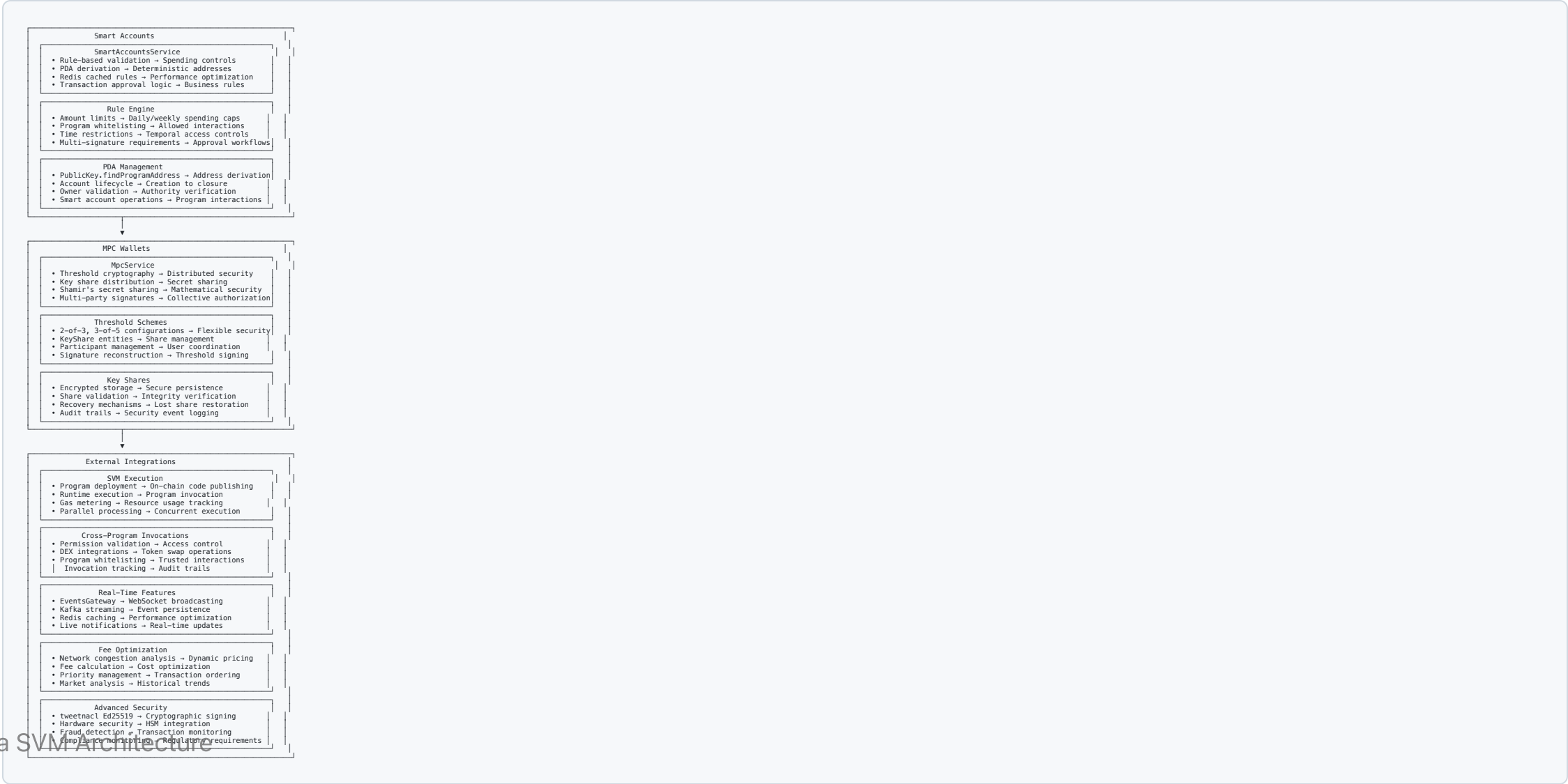
Next-Generation Capabilities

- **Smart Accounts:** Programmatic account control with validation rules
- **MPC Wallets:** Multi-party computation for enhanced security
- **SVM Execution:** Advanced program runtime with gas metering
- **Cross-Program Invocations:** Secure inter-program communication
- **Real-Time Features:** Live event streaming and notifications
- **Fee Optimization:** Dynamic pricing and cost optimization
- **Advanced Security:** Hardware security and fraud prevention

Innovation Focus

- **DeFi Integration:** Decentralized exchange operations
- **Institutional Features:** Enterprise-grade security and compliance

System Architecture



Smart Accounts Implementation

Rule-Based Validation Engine

```

@Injectable()
export class SmartAccountsService {
  constructor(
    private redis: Redis,
    private solanaConnection: Connection,
  ) {}

  async validateTransaction(
    smartAccountAddress: string,
    transaction: Transaction
  ): Promise<ValidationResult> {

    // Load account rules from cache
    const rules = await this.getAccountRules(smartAccountAddress);
    if (!rules) {
      return { valid: false, reason: 'Smart account not found' };
    }

    // Check account status
    if (rules.status !== 'ACTIVE') {
      return { valid: false, reason: 'Account is not active' };
    }

    // Validate spending limits
    const dailySpent = await this.getDailySpending(smartAccountAddress);
    const transactionAmount = this.calculateTransactionAmount(transaction);

    if (dailySpent + transactionAmount > rules.maxDailySpend) {
      return { valid: false, reason: 'Daily spending limit exceeded' };
    }

    // Check program whitelist
    const allowedPrograms = new Set(rules.allowedPrograms);
    for (const instruction of transaction.instructions) {
      if (!allowedPrograms.has(instruction.programId.toString())) {
        return { valid: false, reason: 'Program not whitelisted' };
      }
    }

    // Check time restrictions
    if (rules.timeRestrictions) {
      const now = new Date();
      if (!this.isWithinTimeWindow(now, rules.timeRestrictions)) {
        return { valid: false, reason: 'Transaction outside allowed time window' };
      }
    }

    // Multi-signature check
    if (rules.requiredSigners > 1) {
      const signatureCount = transaction.signatures.length;
      if (signatureCount < rules.requiredSigners) {
        return { valid: false, reason: 'Insufficient signatures' };
      }
    }

    return { valid: true };
  }

  private async getAccountRules(address: string): Promise<SmartAccountRules | null> {
    const cached = await this.redis.get(`smart-account:${address}:rules`);
    if (cached) {
      return JSON.parse(cached);
    }

    // Load from database if not cached
    const account = await this.smartAccountRepository.findOne({ where: { address } });
    if (account) {
      await this.redis.setex(`smart-account:${address}:rules`, 3600, JSON.stringify(account.rules));
    }
  }
}

```

MPC Wallet Implementation

Threshold Cryptography Service

```
@Injectable()
export class MpcService {
  constructor(
    private encryption: EncryptionService,
    private keySharesRepository: Repository<KeyShare>,
  ) {}

  async createMpcWallet(
    participants: string[],
    threshold: number,
    totalShares: number
  ): Promise<MpcWallet> {
    // Generate master key
    const masterKey = KeyPair.generate();

    // Split key using Shamir's secret sharing
    const shares = this.splitKey(masterKey.secretKey, totalShares, threshold);

    // Encrypt and distribute shares
    const keyShares: KeyShare[] = [];
    for (let i = 0; i < participants.length; i++) {
      const encryptedShare = await this.encryption.encrypt(
        shares[i],
        participants[i] // Encrypt with participant's public key
      );
      keyShares.push(this.keySharesRepository.create({
        walletId: masterKey.publicKey.toString(),
        participantId: participants[i],
        shareIndex: i,
        encryptedShare,
        status: 'ACTIVE'
      }));
    }

    await this.keySharesRepository.save(keyShares);

    return {
      address: masterKey.publicKey.toString(),
      threshold,
      totalShares,
      participants,
      status: 'CREATED'
    };
  },

  async signWithMpc(
    walletAddress: string,
    message: Uint8Array,
    participantSignatures: ParticipantSignature[]
  ): Promise<SignatureResult> {
    // Verify threshold met
    if (participantSignatures.length < this.threshold) {
      throw new BadRequestException('Insufficient signatures for threshold');
    }

    // Decrypt shares from signatures
    const decryptedShares: Uint8Array[] = [];
    for (const sig of participantSignatures) {
      const share = await this.keySharesRepository.findOne({
        where: {
          walletId: walletAddress,
          participantId: sig.participantId
        }
      });
      const decryptedShare = await this.encryption.decrypt(
        share.encryptedShare,
        sig.signature // Use signature as decryption key
      );
      decryptedShares.push(decryptedShare);
    }

    // Reconstruct private key
    const reconstructedKey = this.reconstructKey(decryptedShares);

    // Sign message
    const signature = nacl.sign.detached(message, reconstructedKey);

    return {
      signature: Buffer.from(signature).toString('base64'),
      publicKey: walletAddress
    };
  },

  private splitKey(secretKey: Uint8Array, n: number, t: number): Uint8Array[] {
    // Implementation of Shamir's secret sharing
    // This is a simplified version - production would use a proper crypto library
    const shares: Uint8Array[] = [];

    for (let i = 0; i < n; i++) {
      // Generate polynomial coefficients
      const coefficients = [secretKey];
      for (let j = 1; j < t; j++) {
        // Generate random coefficients
        const random = crypto.getRandomValues(new Uint8Array(32));
        coefficients.push(random);
      }

      // Evaluate polynomial at point i+1
      const share = this.evaluatePolynomial(coefficients, i + 1);
      shares.push(share);
    }
  }
}
```


SVM Execution Engine

Gas Metering and Resource Management

```

@Injectable()
export class SvmService {
  constructor(private connection: Connection) {}

  async executeProgram(params: ProgramExecutionParams): Promise<ExecutionResult> {
    const startTime = Date.now();
    let computeUnitsUsed = 0;

    try {
      // Estimate compute units
      const estimatedCU = await this.estimateComputeUnits(params.instruction);

      // Check against limits
      if (estimatedCU > MAX_COMPUTE_UNITS) {
        throw new BadRequestException('Instruction exceeds compute unit limit');
      }

      // Set compute unit limit
      const setCULimitTx = ComputeBudgetProgram.setComputeUnitLimit({
        units: estimatedCU
      });

      // Build transaction with compute budget
      const transaction = new Transaction()
        .add(setCULimitTx)
        .add(params.instruction);

      // Add accounts
      transaction.recentBlockhash = (await this.connection.getRecentBlockhash()).blockhash;
      transaction.feePayer = params.feePayer;

      // Sign and send
      const signature = await this.connection.sendAndConfirmTransaction(transaction, [params.signer]);

      // Get actual compute units used (would need program logs parsing)
      computeUnitsUsed = await this.parseComputeUnitsFromLogs(signature);

      return {
        signature,
        success: true,
        computeUnitsUsed,
        executionTime: Date.now() - startTime
      };
    } catch (error) {
      return {
        signature: null,
        success: false,
        error: error.message,
        computeUnitsUsed,
        executionTime: Date.now() - startTime
      };
    }
  }

  private async estimateComputeUnits(instruction: TransactionInstruction): Promise<number> {
    const programId = instruction.programId.toString();

    // Base overhead
    let cu = 5000;

    // Program-specific estimates
    if (programId === SystemProgram.programId.toString()) {
      cu += this.estimateSystemProgramCU(instruction);
    } else if (programId === TOKEN_PROGRAM_ID.toString()) {
      cu += this.estimateTokenProgramCU(instruction);
    } else {
      // Conservative estimate for unknown programs
      cu += 10000;
    }

    return cu;
  }

  private estimateSystemProgramCU(instruction: TransactionInstruction): number {

```

DEX Integration and CPI

Decentralized Exchange Operations

```

@Injectable()
export class DexService {
  constructor(
    private cpiService: CpiService,
    private jupiterApi: JupiterApiService,
  ) {}

  async executeTokenSwap(swapParams: TokenSwapParams): Promise<SwapResult> {
    // Get quote from Jupiter
    const quote = await this.jupiterApi.getQuote({
      inputMint: swapParams.inputMint,
      outputMint: swapParams.outputMint,
      amount: swapParams.amount,
      slippageBps: swapParams.slippage * 100, // Convert to basis points
    });

    // Validate slippage
    if (quote.priceImpactPct > swapParams.maxPriceImpact) {
      throw new BadRequestException('Price impact too high');
    }

    // Create swap instruction via CPI
    const swapInstruction = await this.createJupiterSwapInstruction(quote);

    // Execute via CPI service
    const result = await this.cpiService.executeCpi({
      callerProgramId: this.dexProgramId,
      targetProgramId: quote.programId,
      instruction: swapInstruction,
      accounts: quote.accounts,
      requiresPermission: false, // DEX swaps are typically permissionless
    });

    return {
      signature: result.transactionId,
      inputAmount: swapParams.amount,
      outputAmount: quote.outputAmount,
      priceImpact: quote.priceImpactPct,
      fee: quote.fee,
    };
  }

  async getLiquidityPools(): Promise<LiquidityPool[]> {
    // Query Jupiter for available pools
    const pools = await this.jupiterApi.getPools();

    return pools.map(pool => ({
      id: pool.id,
      tokenA: pool.tokenA,
      tokenB: pool.tokenB,
      liquidity: pool.liquidity,
      fee: pool.fee,
      volume24h: pool.volume24h
    }));
  }

  private async createJupiterSwapInstruction(quote: JupiterQuote): Promise<TransactionInstruction> {
    // This would integrate with Jupiter's instruction builder
    // Simplified for demonstration
    return new TransactionInstruction({
      programId: new PublicKey(quote.programId),
      keys: quote.accounts.map(acc => ({
        pubkey: new PublicKey(acc.pubkey),
        isSigner: acc.isSigner,
      })),
    });
  }
}

```

Real-Time Event Streaming

WebSocket Event Broadcasting

```

@Injectable()
export class RealTimeEventsService {
  constructor(
    private eventsGateway: EventsGateway,
    private kafkaProducer: KafkaProducerService,
    private redis: Redis,
  ) {}

  async broadcastTransactionEvent(event: TransactionEvent): Promise<void> {
    // Cache event for replay
    await this.redis.setex(
      `event:${event.signature}`,
      86400, // 24 hours
      JSON.stringify(event)
    );

    // Publish to Kafka for persistence
    await this.kafkaProducer.publishTransactionEvent(event);

    // Broadcast via WebSocket
    await this.eventsGateway.broadcastEvent({
      eventType: EventType.TRANSACTION_CONFIRMED,
      source: event.signature,
      data: event,
      slot: event.slot,
      signature: event.signature,
    });
  }

  async subscribeToAccount(accountAddress: string, clientId: string): Promise<void> {
    // Create subscription
    const subscription = await this.subscriptionService.createSubscription({
      clientId,
      eventTypes: [EventType.ACCOUNT_CHANGED],
      filters: {
        accountAddress,
      },
    });

    // Start monitoring account changes
    await this.connection.onAccountChange(
      new PublicKey(accountAddress),
      async (accountInfo) => {
        const event: AccountEvent = {
          address: accountAddress,
          data: accountInfo,
          slot: accountInfo.slot,
          timestamp: new Date(),
        };
        await this.broadcastAccountEvent(event);
      }
    );
  }

  async getEventHistory(
    eventType: EventType,
    startTime: Date,
    endTime: Date
  ): Promise<Event[]> {
    // Query from database with time range
    return await this.eventRepository.find({
      where: {
        eventType,
        Between(startTime, endTime)
      },
    });
  }
}

```

Fee Optimization Engine

Dynamic Fee Calculation

```
@Injectable()
export class FeeOptimizationService {
  constructor(
    private connection: Connection,
    private redis: Redis,
  ) {}

  async optimizeFee(
    transaction: Transaction,
    strategy: FeeOptimizationStrategy = 'BALANCED'
  ): Promise<OptimizedFee> {
    // Get network congestion
    const congestion = await this.analyzeNetworkCongestion();

    // Get historical fee data
    const historicalFees = await this.getHistoricalFeeData(24); // Last 24 hours

    // Calculate base fee
    const baseFee = await this.calculateBaseFee(transaction);

    // Apply optimization strategy
    let optimizedFee: number;

    switch (strategy) {
      case 'CONSERVATIVE':
        optimizedFee = this.applyConservativeStrategy(baseFee, congestion, historicalFees);
        break;
      case 'BALANCED':
        optimizedFee = this.applyBalancedStrategy(baseFee, congestion, historicalFees);
        break;
      case 'AGGRESSIVE':
        optimizedFee = this.applyAggressiveStrategy(baseFee, congestion, historicalFees);
        break;
      case 'PREDICTIVE':
        optimizedFee = await this.applyPredictiveStrategy(baseFee, historicalFees);
        break;
      default:
        optimizedFee = baseFee;
    }

    return {
      baseFee,
      optimizedFee,
      strategy,
      congestion,
      estimatedConfirmationTime: this.estimateConfirmationTime(optimizedFee, congestion),
      successProbability: this.calculateSuccessProbability(optimizedFee, historicalFees),
    };
  }

  private async analyzeNetworkCongestion(): Promise<'low' | 'medium' | 'high'> {
    const samples = await this.connection.getRecentPerformanceSamples(5);
    const avgTPS = samples.reduce((sum, s) => sum + s.numTransactions, 0) / samples.length;

    if (avgTPS > 5000) return 'high';
    if (avgTPS > 2000) return 'medium';
    return 'low';
  }

  private applyConservativeStrategy(
    baseFee: number,
    congestion: string,
    historicalFees: number[]
  ): number {
    const minHistoricalFee = Math.min(...historicalFees);
    return Math.max(baseFee, minHistoricalFee * 0.8);
  }

  private applyBalancedStrategy(
    baseFee: number,
    congestion: string,
    historicalFees: number[]
  ): number {
    const medianFee = this.calculateMedian(historicalFees);
    const congestionMultiplier = congestion === 'high' ? 2.0 :
      congestion === 'medium' ? 1.5 : 1.0;
    return medianFee * congestionMultiplier;
  }

  private applyAggressiveStrategy(
    baseFee: number,
    congestion: string,
    historicalFees: number[]
  ): number {
    const avgFee = this.calculateAverage(historicalFees, 95);
    return Math.max(baseFee * 1.5, avgFee);
  }

  private async applyPredictiveStrategy(
    baseFee: number,
    historicalFees: number[]
  ) {
    // Predictive strategy implementation
  }
}
```

Key Takeaways

Advanced Features Benefits

- **Smart Accounts:** Programmatic control with enterprise-grade security
- **MPC Wallets:** Distributed security for institutional use cases
- **SVM Execution:** High-performance parallel processing
- **DEX Integration:** Seamless token swap capabilities
- **Real-Time Events:** Live blockchain monitoring and notifications
- **Fee Optimization:** Cost-effective transaction processing

Production-Ready Capabilities

- **Scalable Architecture:** Multi-instance deployment with load balancing
- **Security First:** Comprehensive validation and fraud prevention

- **Performance Optimized:** Caching, parallel processing, and efficient algorithms

Solana Esports Platform

Monetized Matchmaking, MPC Wallets & Prize Distribution

Production-Grade Implementation

Agenda

1. **System Overview** - Architecture & Components
2. **Service Layer Architecture** - Core Services Deep Dive
3. **MPC Wallet Integration** - Secure Player Wallets
4. **Matchmaking System** - Entry Fees & Escrow
5. **Prize Distribution** - Calculations & Strategies
6. **Tournament Management** - Bracket Generation
7. **Security Practices** - Production Considerations
8. **Implementation Details** - Code Walkthrough

System Architecture Overview



Service Layer Architecture

Five Core Services



PlayerWalletService

MPC-Secured Wallet Management

```
@Injectable()
export class PlayerWalletService {
  // Creates MPC wallet with 2-of-3 threshold scheme
  async createWallet(request: CreatePlayerWalletRequest) {
    const mpcWallet = await this.mpcService.createMpcWallet({
      name: `Player Wallet - ${playerId}`,
      thresholdScheme: ThresholdScheme.TSS_2_3,
      participants: [
        { participantId: `player_${playerId}`, ... }, // Device key
        { participantId: `platform_signer`, ... },    // Platform HSM
        { participantId: `recovery_service`, ... },   // Cold storage
      ],
    });
    // Store wallet with default limits
    return this.walletRepository.create({
      playerId,
      mpcWalletId: mpcWallet.walletId,
      dailyWithdrawalLimit: DEFAULT_DAILY_LIMIT, // 10 SOL
      status: PlayerWalletStatus.ACTIVE,
    });
  }
}
```



PlayerWalletService Methods

Method	Purpose	Key Logic
<code>createWallet</code>	Initialize MPC wallet	2-of-3 threshold scheme
<code>deposit</code>	Record external deposit	Verify on-chain signature
<code>withdraw</code>	MPC-signed withdrawal	Rate limit + daily cap
<code>lockFunds</code>	Reserve for escrow	Move to <code>lockedBalance</code>
<code>unlockFunds</code>	Release from escrow	Restore to <code>availableBalance</code>
<code>creditPrize</code>	Award winnings	Direct credit + audit log

Balance Tracking

```
interface WalletBalance {
  availableBalance: string; // Spendable
  lockedBalance: string;    // In active matches
  totalDeposited: string;   // Lifetime in
  totalWithdrawn: string;   // Lifetime out
  totalWinnings: string;    // Prize earnings
}
```

EscrowService

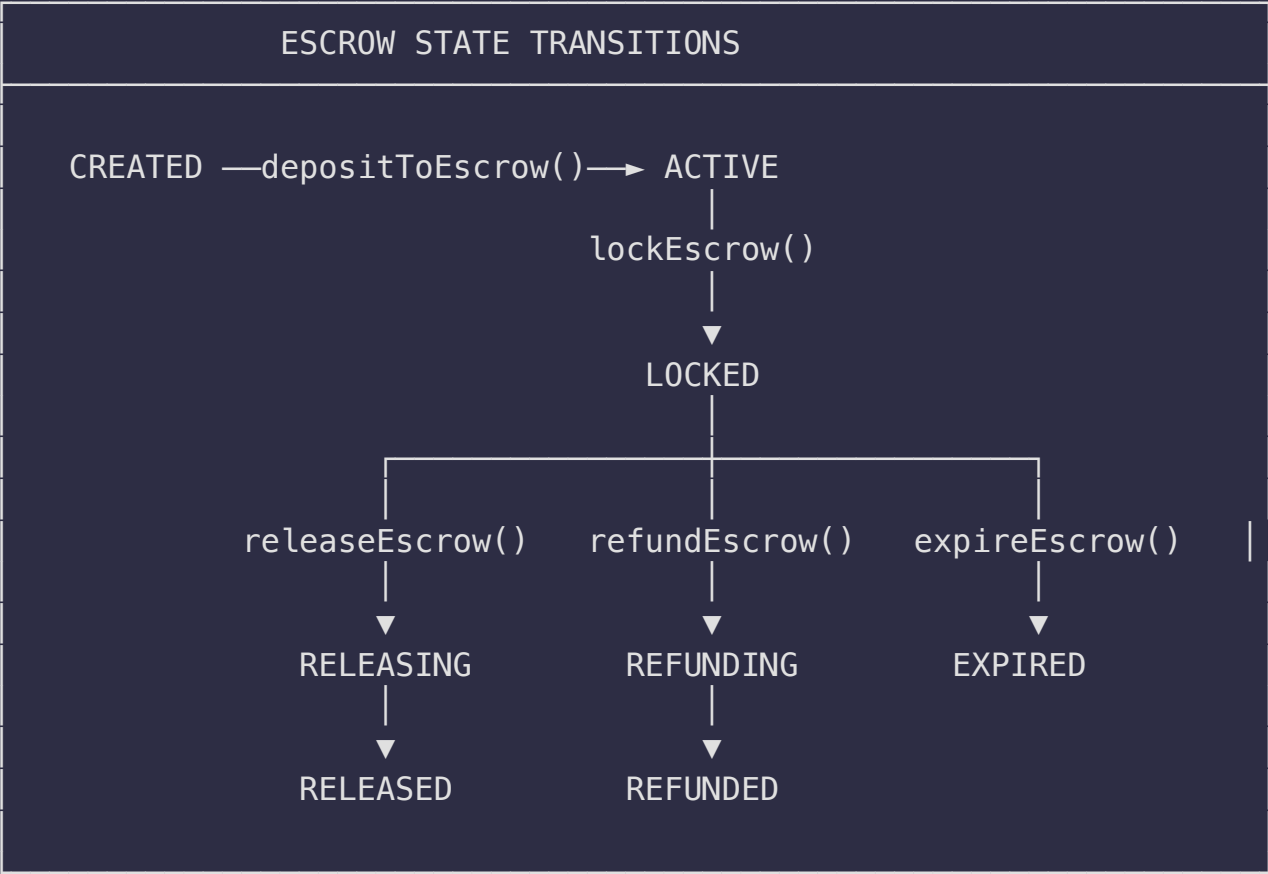
Trustless Fund Management

```
@Injectable()
export class EscrowService {
  // Generate deterministic escrow address (PDA simulation)
  private generateEscrowAddress(sourceType, sourceId): string {
    const seed = `${sourceType}:${sourceId}`;
    return createHash('sha256')
      .update(seed)
      .digest('hex')
      .slice(0, 44);
  }

  async createEscrow(request: CreateEscrowRequest) {
    const escrowAddress = this.generateEscrowAddress(
      request.sourceType,
      request.sourceId
    );
    return this.escrowRepository.create({
      escrowId: `escrow_${randomBytes(8).toString('hex')}`,
      escrowAddress,
      sourceType,           // MATCH or TOURNAMENT
      sourceId,             // match_xxx or tournament_xxx
      platformFeePercent: 5.0,
      status: EscrowStatus.CREATED,
    });
  }
}
```



EscrowService State Machine



MatchmakingService

Core Match Operations

```
@Injectable()
export class MatchmakingService {
  async createMatch(request: CreateMatchRequest): Promise<Match> {
    // 1. Validate entry fee bounds
    const minFee = BigInt(process.env.MIN_ENTRY_FEE || '1000000');
    const maxFee = BigInt(process.env.MAX_ENTRY_FEE || '100000000000');

    // 2. Create escrow account
    const escrow = await this.escrowService.createEscrow({
      sourceType: EscrowSourceType.MATCH,
      sourceId: matchId,
      platformFeePercent,
    });

    // 3. Create match entity
    return this.matchRepository.create({
      matchId,
      gameType,
      entryFee,
      status: MatchStatus.CREATED,
      svmAddress: escrow.escrowAddress,
    });
  }
}
```



MatchmakingService - Join Flow

```
async joinMatch(request: JoinMatchRequest): Promise<MatchParticipant> {  
  const match = await this.getMatchById(matchId);  
  
  // 1. Validate match is joinable  
  if (!match.isJoinable()) {  
    throw new BadRequestException('Match not accepting players');  
  }  
  
  // 2. Get player wallet and verify balance  
  const wallet = await this.playerWalletService.getWallet(playerId);  
  if (BigInt(wallet.availableBalance) < BigInt(match.entryFee)) {  
    throw new BadRequestException('Insufficient balance');  
  }  
  
  // 3. Lock entry fee in player wallet  
  await this.playerWalletService.lockFunds({  
    playerId,  
    amount: match.entryFee,  
    reference: matchId,  
  });  
  
  // 4. Deposit to escrow  
  await this.escrowService.depositToEscrow({  
    escrowId,  
    walletId: wallet.id,  
    amount: match.entryFee,  
  });  
  
  // 5. Update prize pool  
  match.prizePool = (BigInt(match.prizePool) + BigInt(entryFee)).toString();  
}
```

PrizeDistributionService

Prize Calculation Strategy

```
@Injectable()
export class PrizeDistributionService {
  async distributeMatchPrizes(match, participants): Promise<PrizeDistribution> {
    // 1. Get escrow balance
    const escrowBalance = await this.escrowService.getEscrowBalance(escrowId);
    const totalPrizePool = BigInt(escrowBalance.currentBalance);

    // 2. Calculate platform fee (basis points for precision)
    const platformFee = (totalPrizePool *
      BigInt(Math.round(match.platformFeePercent * 100))) /
      BigInt(10000);

    // 3. Calculate distributable amount
    const distributableAmount = totalPrizePool - platformFee;

    // 4. Calculate individual distributions
    const distributions = this.calculateMatchDistributions(
      match, participants, distributableAmount
    );

    // 5. Release escrow and credit wallets
    await this.escrowService.releaseEscrow({ escrowId, distributions });

    for (const dist of distributions) {
      await this.playerWalletService.creditPrize(
        dist.playerId, dist.amount, match.matchId
      );
    }
  }
}
```


Prize Calculation Methods

Match Distribution Strategies

```
private calculateMatchDistributions(  
  match: Match,  
  participants: MatchParticipant[],  
  distributableAmount: bigint  
): PrizeCalculation[] {  
  const distributions: PrizeCalculation[] = [];  
  
  // Strategy 1: Duel (1v1) – Winner Takes All  
  if (match.gameType === 'duel' && match.result?.winnerIds?.length === 1) {  
    const winner = participants.find(p => p.playerId === winnerId);  
    distributions.push({  
      walletId: winner.walletId,  
      playerId: winner.playerId,  
      placement: 1,  
      amount: distributableAmount.toString(),  
      percentage: 100,  
    });  
  }  
  
  // Strategy 2: Team/Multi-Winner – Equal Split  
  else if (match.result?.winnerIds?.length > 1) {  
    const winnerCount = match.result.winnerIds.length;  
    const prizePerWinner = distributableAmount / BigInt(winnerCount);  
    // ... distribute equally  
  }  
}
```



Tournament Prize Structure

Configurable Payout Tiers

```
private calculateTournamentDistributions(  
  tournament: Tournament,  
  registrations: TournamentRegistration[],  
  distributableAmount: bigint  
): PrizeCalculation[] {  
  const distributions: PrizeCalculation[] = [];  
  
  // Sort by final placement  
  const ranked = registrations  
    .filter(r => r.finalPlacement != null)  
    .sort((a, b) => a.finalPlacement - b.finalPlacement);  
  
  // Apply prize structure  
  for (const prizeEntry of tournament.prizeStructure) {  
    const registration = ranked.find(  
      r => r.finalPlacement === prizeEntry.place  
    );  
  
    if (registration) {  
      // Support both percentage and fixed amounts  
      const amount = prizeEntry.fixedAmount  
        ? BigInt(prizeEntry.fixedAmount)  
        : (distributableAmount * BigInt(prizeEntry.percentage)) / 100n;  
  
      distributions.push({  
        playerId: registration.playerId,  
        placement: prizeEntry.place,  
        amount: amount.toString(),  
        percentage: prizeEntry.percentage,  
      });  
    }  
  }  
}
```



Fee Calculation Deep Dive

Platform Fee with Basis Points

```
// Why basis points? Precision without floating point errors

// BAD: Floating point multiplication
const fee = totalPool * 0.05; // May have rounding errors

// GOOD: Basis points (100 basis points = 1%)
const platformFee = (totalPrizePool *
  BigInt(Math.round(platformFeePercent * 100))) /
  BigInt(10000);

// Example: 5% fee on 2 SOL (2,000,000,000 lamports)
// platformFeePercent = 5.0
// Math.round(5.0 * 100) = 500 (basis points)
// (2,000,000,000 * 500) / 10000 = 100,000,000 lamports
// = 0.1 SOL platform fee
// Winner receives: 1.9 SOL
```

Pool Size	Fee %	Platform Fee	Winner Prize
2 SOL	5%	0.1 SOL	1.9 SOL

TournamentService

Bracket Generation Algorithm

```
@Injectable()
export class TournamentService {
  async generateBracket(tournamentId: string): Promise<Tournament> {
    const tournament = await this.getTournamentById(tournamentId);
    const registrations = await this.registrationRepository.find({
      where: { tournamentId: tournament.id },
    });

    // Seed players (by skill rating or random)
    const seededPlayers = this.seedPlayers(registrations);

    // Generate bracket based on type
    let bracket: BracketNode[];
    switch (tournament.bracketType) {
      case BracketType.SINGLE_ELIMINATION:
        bracket = this.generateSingleElimination(seededPlayers);
        break;
      case BracketType.DOUBLE_ELIMINATION:
        bracket = this.generateDoubleElimination(seededPlayers);
        break;
      case BracketType.ROUND_ROBIN:
        bracket = this.generateRoundRobin(seededPlayers);
        break;
    }

    // Create match entities for each bracket slot
    await this.createBracketMatches(tournament, bracket);
  }
}
```



Single Elimination Bracket

Seeded Matchups (Standard 1v8, 2v7, etc.)

```
private generateSingleElimination(  
  players: TournamentRegistration[]  
) : BracketMatch[] {  
  const n = players.length;  
  const rounds = Math.ceil(Math.log2(n));  
  const bracket: BracketMatch[] = [];  
  
  // First round matchups (seeded)  
  // Seed 1 vs Seed 8, Seed 2 vs Seed 7, etc.  
  for (let i = 0; i < n / 2; i++) {  
    const highSeed = players[i];  
    const lowSeed = players[n - 1 - i];  
  
    bracket.push({  
      round: 1,  
      position: i,  
      player1Id: highSeed?.playerId,  
      player2Id: lowSeed?.playerId,  
      nextMatchPosition: Math.floor(i / 2),  
    });  
  }  
  
  // Generate placeholder matches for subsequent rounds  
  for (let round = 2; round <= rounds; round++) {  
    const matchesInRound = Math.pow(2, rounds - round);  
    for (let i = 0; i < matchesInRound; i++) {  
      bracket.push({ round, position: i, player1Id: null, player2Id: null });  
    }  
  }  
}
```

MPC Wallet Architecture

Multi-Party Computation (2-of-3 Threshold)





MPC Benefits for Gaming

Feature	Traditional Wallet	MPC Wallet
Single Point of Failure	✗ Yes	✓ No
Key Recovery	✗ Complex	✓ Built-in
Account Takeover Risk	✗ High	✓ Mitigated
User Experience	✗ Seed Phrases	✓ Seamless
Platform Control	✗ None	✓ Fraud Prevention

Key Advantages:

- **No seed phrase exposure** to players
- **Platform co-signing** prevents fraud
- **Recovery service** for lost devices
- **Rate limiting** on withdrawals



Player Wallet Entity

```
@Entity('player_wallets')
export class PlayerWallet {
  @PrimaryGeneratedColumn('uuid')
  id: string;

  @Column({ unique: true })
  playerId: string;

  @Column()
  mpcWalletId: string; // Link to MPC system

  @Column()
  publicKey: string; // Solana address

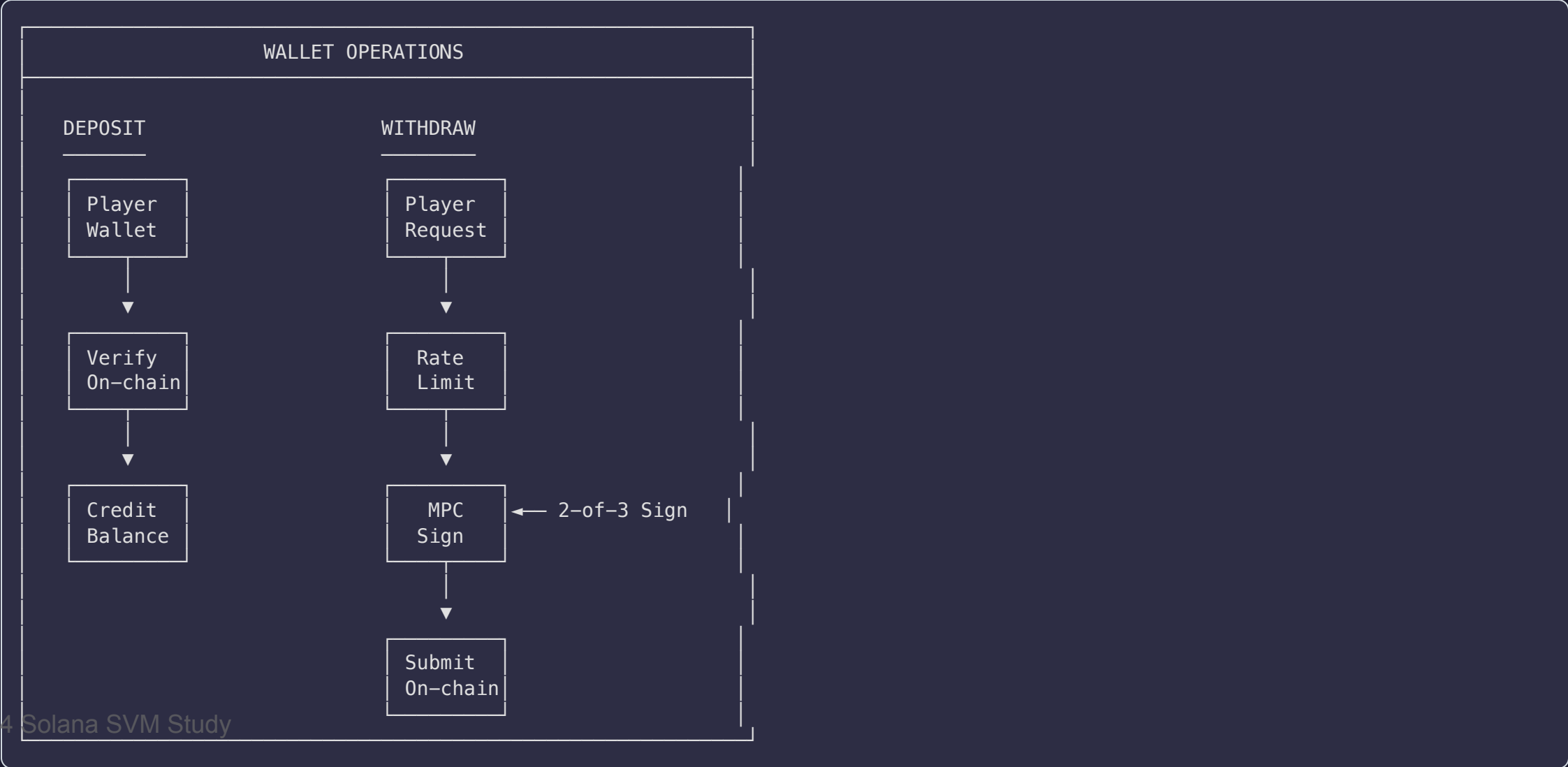
  @Column({ type: 'decimal', precision: 20, scale: 0, default: '0' })
  availableBalance: string; // Lamports

  @Column({ type: 'decimal', precision: 20, scale: 0, default: '0' })
  lockedBalance: string; // In escrow

  @Column({ type: 'decimal', precision: 20, scale: 0, default: '0' })
  dailyWithdrawalLimit: string;

  @Column({ type: 'enum', enum: PlayerWalletStatus })
  status: PlayerWalletStatus;
}
```

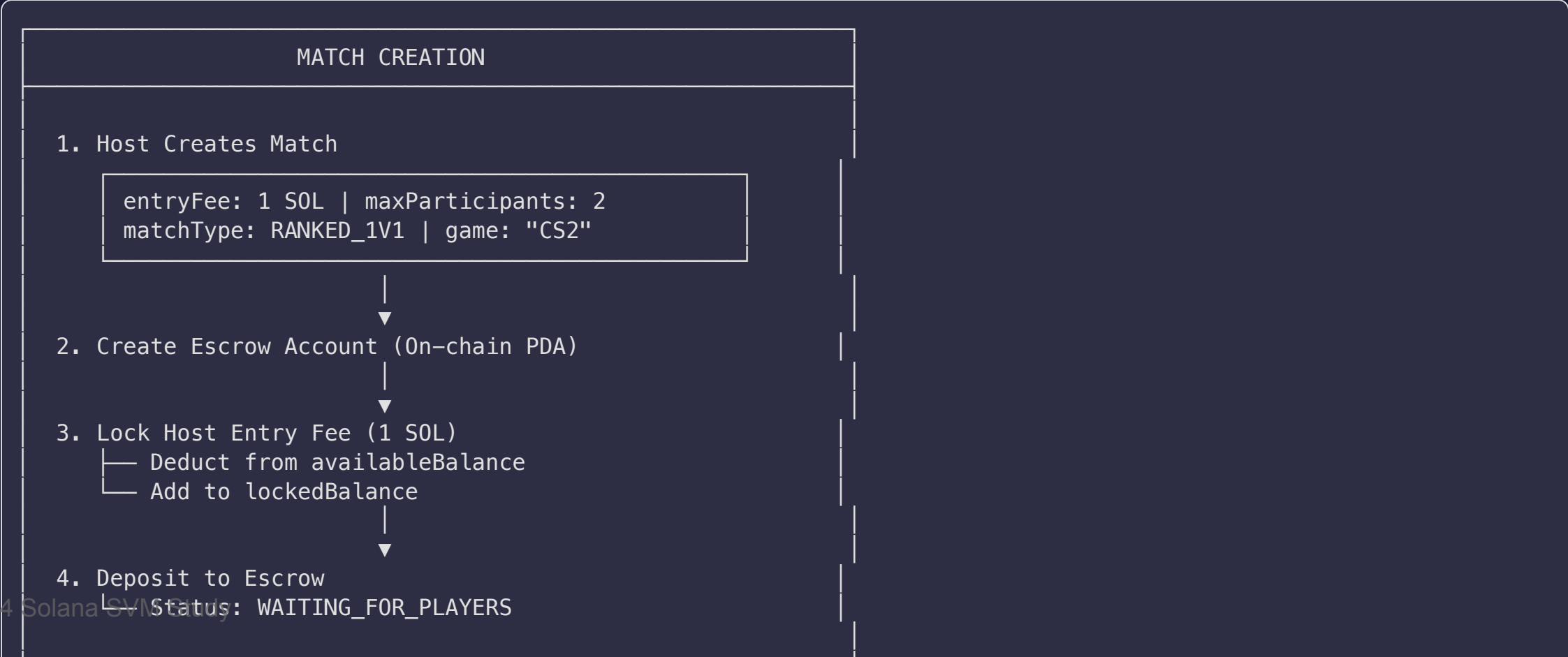

Wallet Operations Flow





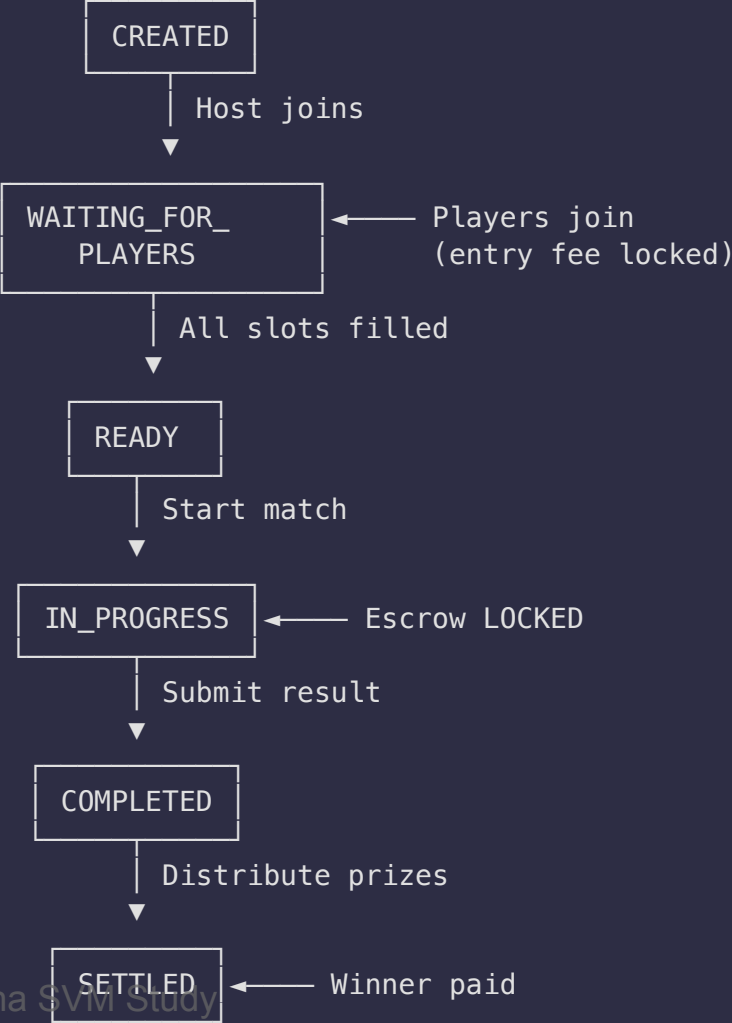
Matchmaking System

Entry Fee & Escrow Flow





Match Lifecycle



Prize Distribution Logic

Winner Takes Pool (minus platform fee)

```
async distributeMatchPrizes(matchId: string) {
  const match = await this.matchRepository.findOne({
    where: { id: matchId },
    relations: ['escrow', 'participants'],
  });

  // Calculate prize pool
  const totalPool = BigInt(match.entryFee) *
    BigInt(match.participants.length);

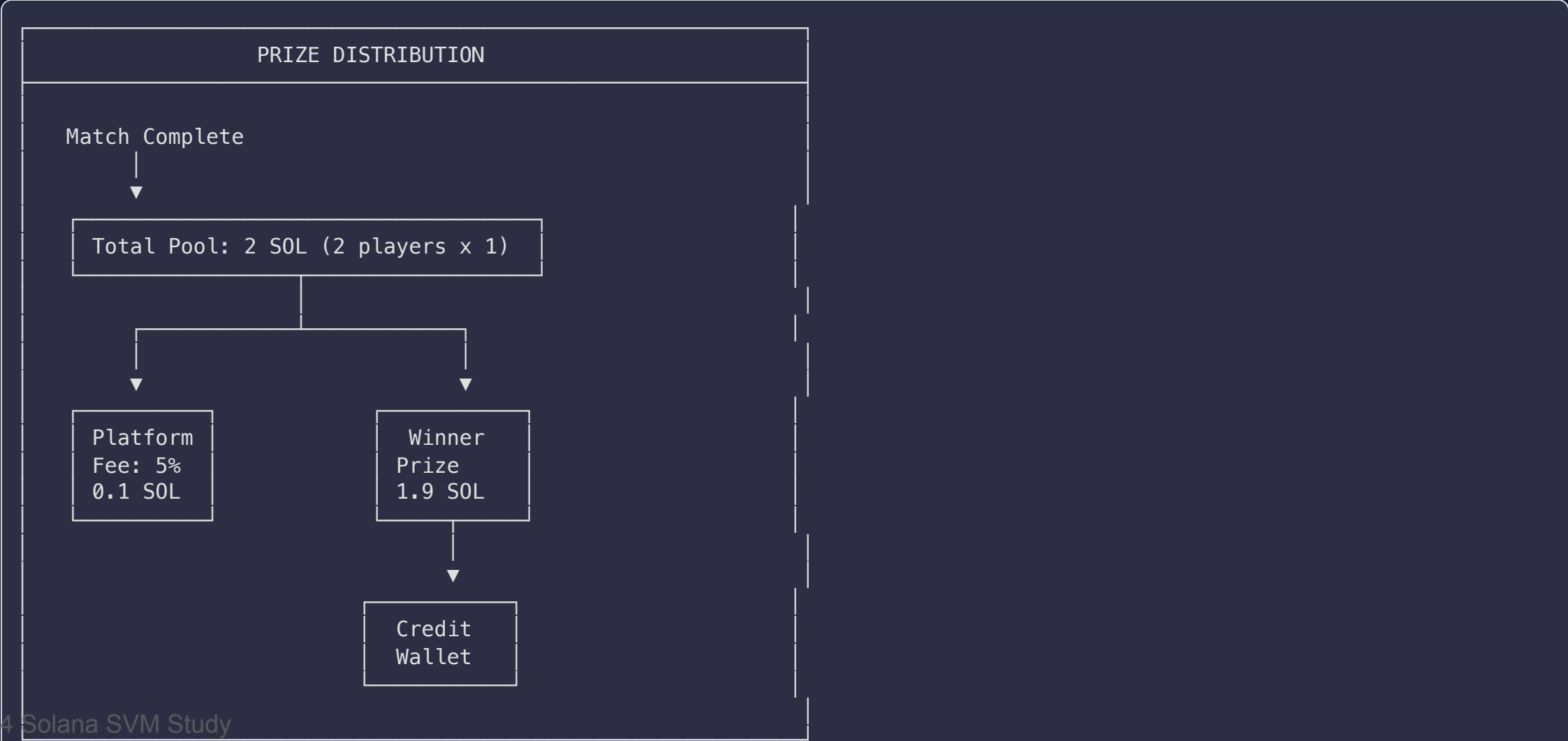
  // Deduct platform fee (e.g., 5%)
  const platformFee = totalPool * BigInt(match.platformFeePercentage) / 100n;
  const winnerPrize = totalPool - platformFee;

  // Credit winner's wallet
  await this.walletService.creditPrize(
    match.winnerId,
    winnerPrize.toString(),
    matchId
  );

  // Release escrow
  await this.escrowRepository.releaseEscrow(matchId);
}
```



Prize Distribution Flow





Tournament System

Bracket Generation

```
async generateBracket(tournamentId: string): Promise<Tournament> {
  const tournament = await this.tournamentRepository.findOne(/*...*/);
  const registrations = await this.registrationRepository.find({
    where: { tournamentId },
    order: { seed: 'ASC' },
  });

  // Single elimination: seeded matchups
  // 1 vs 8, 2 vs 7, 3 vs 6, 4 vs 5
  const bracket = this.createSingleEliminationBracket(
    registrations,
    tournament.maxParticipants
  );

  // Create match entities for each bracket slot
  const matches = await this.createBracketMatches(
    tournament,
    bracket
  );

  return this.tournamentRepository.save({
    ...tournament,
  });
}
```



Tournament Bracket Structure



Tournament Prize Structure

```
const prizeStructure = {
  1: 50, // 1st place: 50% of pool
  2: 30, // 2nd place: 30% of pool
  3: 20, // 3rd/4th: 20% split
};

// Example: 16 players x 10 SOL entry = 160 SOL pool
// Platform fee (5%): 8 SOL
// Distributable: 152 SOL

// Payouts:
// 1st: 76 SOL
// 2nd: 45.6 SOL
// 3rd: 30.4 SOL
```

Placement	Percentage	Prize (SOL)
 1st	50%	76.0
 2nd	30%	45.6
 3rd	20%	30.4

Escrow Account Entity

```
@Entity('escrow_accounts')
export class EscrowAccount {
  @PrimaryGeneratedColumn('uuid')
  id: string;

  @Column({ type: 'enum', enum: EscrowType })
  type: EscrowType; // MATCH | TOURNAMENT

  @Column()
  reference: string; // match_id or tournament_id

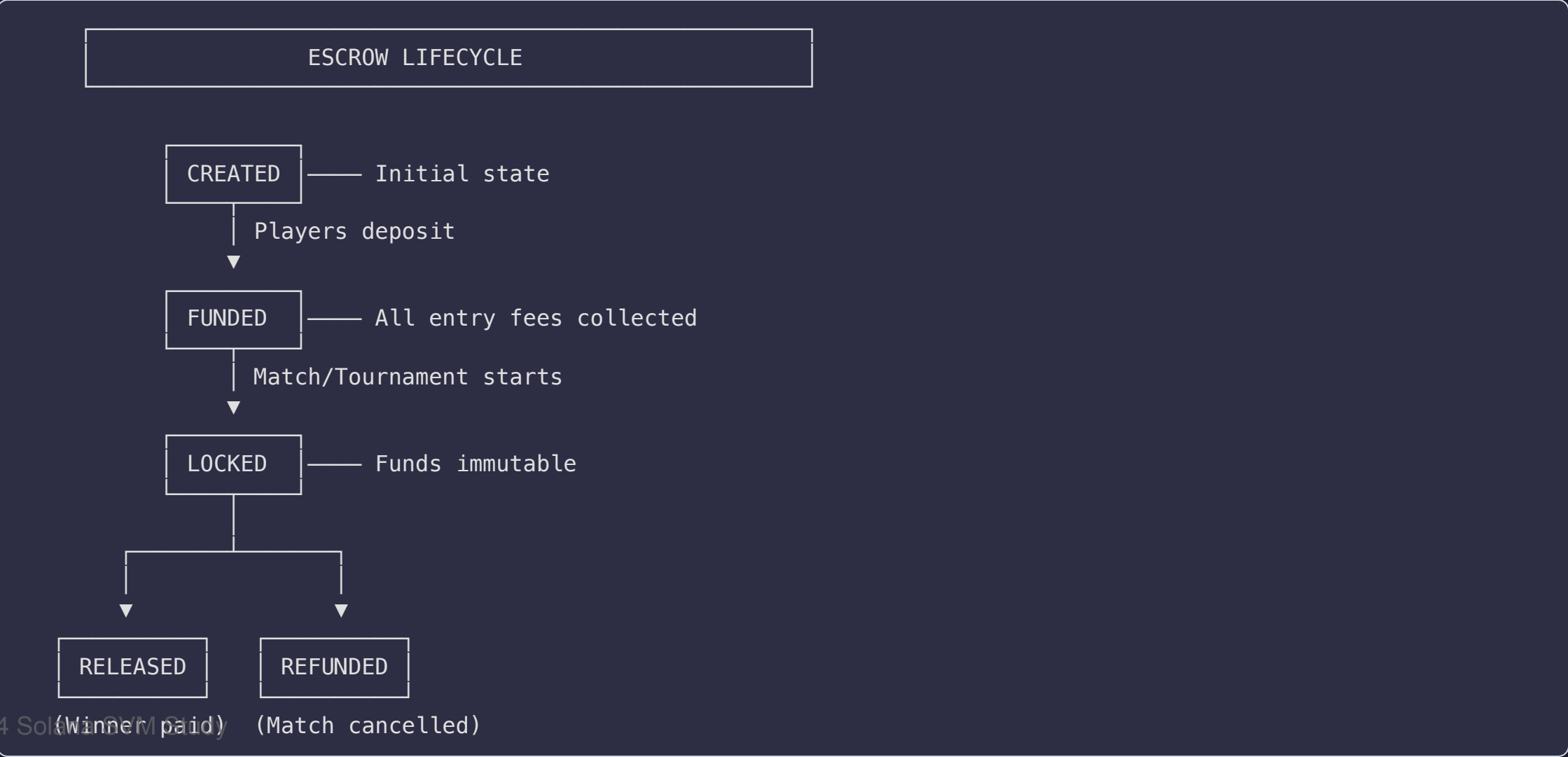
  @Column()
  escrowPda: string; // Program Derived Address

  @Column({ type: 'decimal', precision: 20, scale: 0 })
  amount: string;

  @Column({ type: 'enum', enum: EscrowStatus })
  status: EscrowStatus;
  // CREATED → FUNDED → LOCKED → RELEASED/REFUNDED
}
```



Escrow State Machine



Security Measures

Production Considerations

Wallet Security

-  MPC 2-of-3 threshold signatures
-  Daily withdrawal limits
-  Rate limiting on transactions
-  Account suspension capabilities

Escrow Security

-  On-chain PDA escrow accounts
-  Atomic state transitions
-  Immutable locked funds



Rate Limiting Implementation

```
@Entity('player_wallets')
export class PlayerWallet {
  @Column({ type: 'decimal', precision: 20, scale: 0 })
  dailyWithdrawalLimit: string;

  @Column({ type: 'decimal', precision: 20, scale: 0, default: '0' })
  dailyWithdrawalAmount: string;

  @Column({ type: 'timestamp', nullable: true })
  dailyWithdrawalResetAt: Date;

  canWithdraw(amount: bigint): boolean {
    if (this.status !== PlayerWalletStatus.ACTIVE) return false;

    const available = BigInt(this.availableBalance);
    if (amount > available) return false;

    // Check daily limit
    const dailyUsed = BigInt(this.dailyWithdrawalAmount);
    const dailyLimit = BigInt(this.dailyWithdrawalLimit);

    return (dailyUsed + amount) <= dailyLimit;
  }
}
```



Transaction Types

```
export enum WalletTransactionType {  
  // Inflows  
  DEPOSIT = 'DEPOSIT',           // External deposit  
  PRIZE_WIN = 'PRIZE_WIN',       // Match/tournament win  
  REFUND = 'REFUND',             // Cancelled match refund  
  
  // Outflows  
  WITHDRAWAL = 'WITHDRAWAL',     // External withdrawal  
  ENTRY_FEE = 'ENTRY_FEE',       // Match/tournament entry  
  
  // Internal  
  LOCK = 'LOCK',                 // Lock for escrow  
  UNLOCK = 'UNLOCK',            // Release from escrow  
}
```

Full Audit Trail

Every transaction logged with signatures and timestamps



Complete Match Flow

COMPLETE MATCH FLOW

- 1. CREATE MATCH
 - └ Host deposits entry fee → Escrow created
- 2. JOIN MATCH
 - └ Player deposits entry fee → Added to escrow
- 3. START MATCH
 - └ Escrow LOCKED → Players notified
- 4. PLAY GAME
 - └ External game server handles gameplay
- 5. SUBMIT RESULT
 - └ Winner declared → Match COMPLETED
- 6. DISTRIBUTE PRIZES
 - └ Winner wallet credited → Escrow RELEASED
- 7. SETTLEMENT
 - └ All balances updated → Match SETTLED



API Endpoints

Matchmaking

Method	Endpoint	Description
POST	/api/matches	Create match
POST	/api/matches/:id/join	Join match
POST	/api/matches/:id/start	Start match
POST	/api/matches/:id/result	Submit result
GET	/api/matches/open	List open matches

Wallets

Method	Endpoint	Description
POST	/api/wallets	Create MPC wallet
GET	/api/wallets/:playerId/balance	Get balance

API Endpoints (cont.)

Tournaments

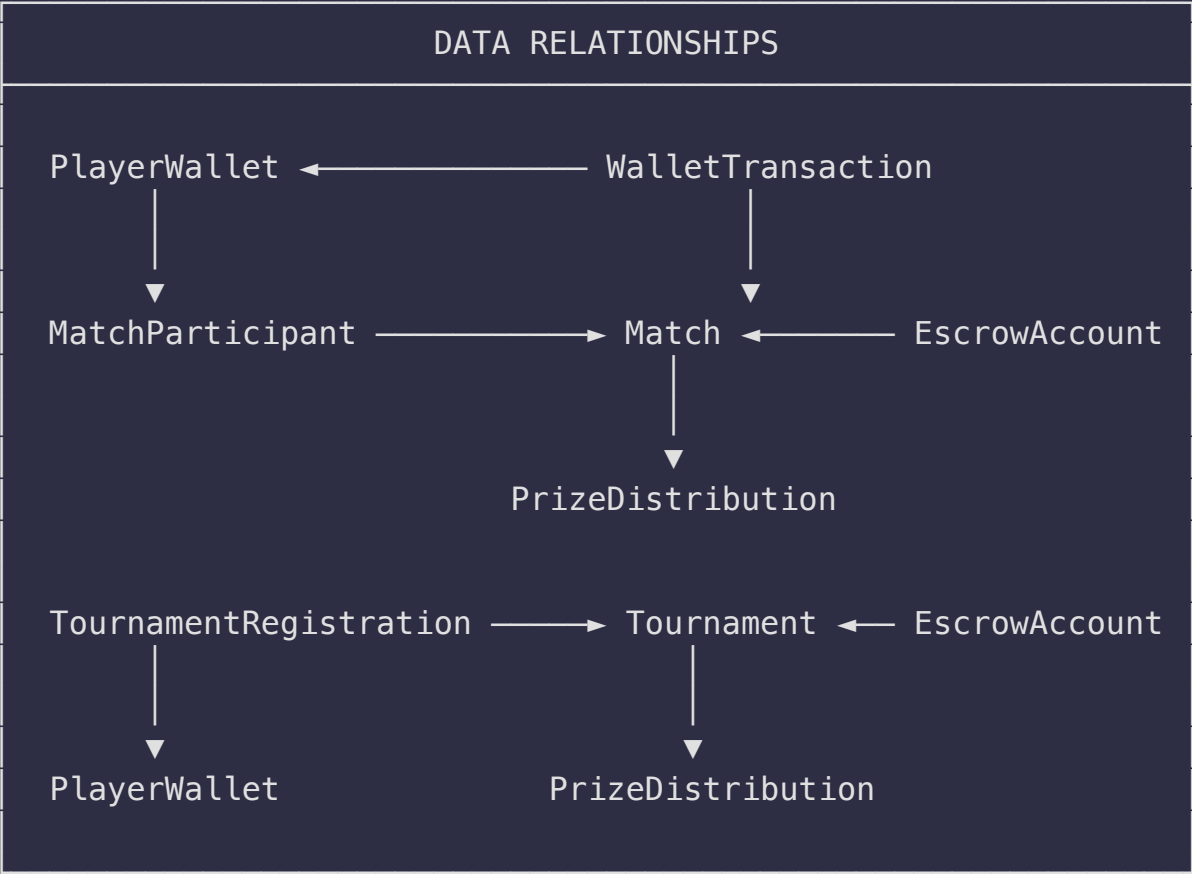
Method	Endpoint	Description
POST	/api/tournaments	Create tournament
POST	/api/tournaments/:id/register	Register player
POST	/api/tournaments/:id/bracket	Generate bracket
POST	/api/tournaments/:id/start	Start tournament
GET	/api/tournaments/:id/leaderboard	Get standings

Prizes

Method	Endpoint	Description
POST	/api/prizes/match/:id/distribute	Pay match prizes
POST	/api/prizes/tournament/:id/distribute	Pay tournament



Data Model Overview





Testing Strategy

Unit Tests

```
describe('EscrowService', () => {
  it('should create escrow for match', async () => {
    const result = await escrowService.createEscrow({
      type: EscrowType.MATCH,
      reference: 'match_123',
      tokenMint: SOL_MINT,
    });

    expect(result.status).toBe(EscrowStatus.CREATED);
    expect(result.escrowPda).toBeDefined();
  });

  it('should reject release for unlocked escrow', async () => {
    await expect(
      escrowService.releaseEscrow('escrow_unlocked')
    ).rejects.toThrow(BadRequestException);
  });
});
```



Integration Testing

```
describe('Match E2E', () => {
  it('should complete full match flow', async () => {
    // 1. Create wallets for both players
    const wallet1 = await walletService.createWallet({ playerId: 'p1' });
    const wallet2 = await walletService.createWallet({ playerId: 'p2' });

    // 2. Deposit funds
    await walletService.deposit({ playerId: 'p1', amount: '20000000000' });
    await walletService.deposit({ playerId: 'p2', amount: '20000000000' });

    // 3. Create and join match
    const match = await matchService.createMatch({
      hostPlayerId: 'p1',
      entryFee: '10000000000',
    });
    await matchService.joinMatch(match.id, 'p2');

    // 4. Start and complete
    await matchService.startMatch(match.id);
    await matchService.submitResult(match.id, { winnerId: 'p1' });

    // 5. Distribute prizes
    await prizeService.distributeMatchPrizes(match.id);

    // 6. Verify balances
    const balance1 = await walletService.getBalance('p1');
    expect(balance1.availableBalance).toBe('29000000000'); // Won
  });
});
```



Monitoring & Observability

Key Metrics to Track

```
// Custom metrics for prize distribution
@Injectable()
export class PrizeDistributionService {
  private readonly prizeDistributedCounter = new Counter({
    name: 'esports_prizes_distributed_total',
    help: 'Total prizes distributed',
    labelNames: ['type', 'status'],
  });

  private readonly prizeAmountGauge = new Gauge({
    name: 'esports_prize_amount_sol',
    help: 'Prize amount in SOL',
    labelNames: ['type'],
  });

  async distributePrize(/*...*/) {
    // ... distribution logic

    this.prizeDistributedCounter.inc({ type: 'match', status: 'success' });
    this.prizeAmountGauge.set({ type: 'match' }, prizeInSol);
  }
}
```



Key Metrics Dashboard

Metric	Description	Alert Threshold
escrow_balance_total	Total SOL in escrow	> 1000 SOL
match_completion_rate	% matches completed	< 90%
prize_distribution_latency	Time to distribute	> 30s
mpc_signing_failures	Failed MPC signs	> 0
withdrawal_rate_limit_hits	Rate limit triggers	> 100/hr

Alerts

- 🚨 Escrow balance mismatch
- 🚨 MPC signing failure rate > 1%
- 🚨 Prize distribution backlog
- 🚨 Suspicious withdrawal patterns

Best Practices Summary

1. Security First

- Always use MPC for player wallets
- Lock escrow before match starts
- Implement withdrawal limits

2. Atomic Operations

- Use database transactions
- Handle partial failures gracefully
- Implement idempotency keys

3. Auditability

- Log all financial transactions

Future Enhancements

Roadmap Items

1. Cross-Game Wallet

- Single wallet across multiple games
- Unified balance management

2. NFT Integration

- Tournament trophy NFTs
- Achievement badges

3. DAO Governance

- Community-driven prize pools
- Voting on platform fees



Advanced Calculation Patterns

BigInt Safety for Financial Operations

```
// CRITICAL: Always use BigInt for lamport calculations
// JavaScript Number.MAX_SAFE_INTEGER = 9,007,199,254,740,991
// 1 SOL = 1,000,000,000 lamports
// Max safe: ~9,007 SOL with regular Number

// BAD: Number overflow risk
const pool = 10000000000 * 2; // Potential precision loss

// GOOD: BigInt for all financial math
const pool = BigInt('10000000000') * BigInt(2);

// Division truncates (floor), handle remainder
const prizePerWinner = distributableAmount / BigInt(winnerCount);
const remainder = distributableAmount % BigInt(winnerCount);
// Option: Add remainder to 1st place winner
```




Atomic Transaction Pattern

Database + Blockchain Consistency

```
async distributeMatchPrizes(match: Match): Promise<PrizeDistribution> {
  const queryRunner = this.dataSource.createQueryRunner();
  await queryRunner.connect();
  await queryRunner.startTransaction();

  try {
    // 1. Create prize distribution record (PROCESSING)
    const prizeDistribution = await queryRunner.manager.save(
      PrizeDistribution, { status: 'PROCESSING', ... }
    );

    // 2. Release escrow (on-chain operation)
    await this.escrowService.releaseEscrow({ escrowId, distributions });

    // 3. Credit each winner's wallet
    for (const dist of distributions) {
      await this.playerWalletService.creditPrize(dist.playerId, dist.amount);

      // 4. Update distribution status individually
      dist.status = 'COMPLETED';
      dist.processedAt = new Date();
    }

    // 5. Commit all database changes
    prizeDistribution.status = 'COMPLETED';
    await queryRunner.manager.save(prizeDistribution);
    await queryRunner.commitTransaction();

    return prizeDistribution;
  } catch (error) {
    await queryRunner.rollbackTransaction();
    throw error;
  }
}
```

Error Recovery Strategies

Partial Distribution Handling

```
// Prize distribution supports partial success
for (const dist of distributions) {
  try {
    await this.playerWalletService.creditPrize(
      dist.playerId, dist.amount, sourceId
    );

    distEntry.status = 'completed';
    distEntry.processedAt = new Date();
    totalDistributed += BigInt(dist.amount);

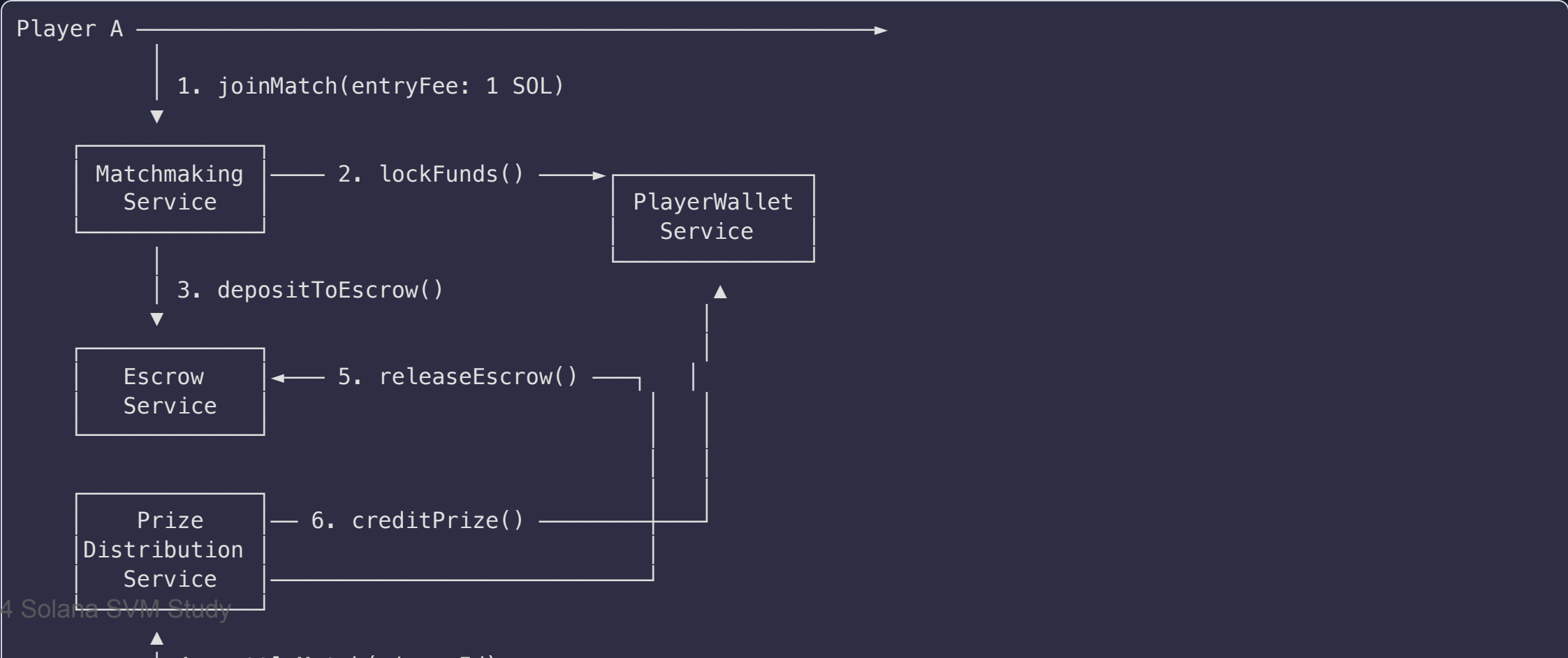
  } catch (error) {
    // Log but continue to next recipient
    this.logger.error(`Failed to credit ${dist.playerId}`, error);

    distEntry.status = 'failed';
    distEntry.failureReason = error.message;
    // Can be retried later via admin action
  }
}
```



Service Interaction Diagram

Complete Prize Distribution Flow



❖ Business Rules: Entry Fee Validation

Configurable Fee Boundaries

```
// Environment-based fee limits (lamports)
const MIN_ENTRY_FEE = BigInt(process.env.MIN_ENTRY_FEE || '1000000'); // 0.001 SOL
const MAX_ENTRY_FEE = BigInt(process.env.MAX_ENTRY_FEE || '100000000000'); // 100 SOL

// Validation rules applied at match creation
async validateEntryFee(entryFee: string, gameType: string): Promise<void> {
  const fee = BigInt(entryFee);

  // Rule 1: Minimum threshold (prevent spam)
  if (fee < MIN_ENTRY_FEE) {
    throw new BadRequestException(`Entry fee below minimum: ${MIN_ENTRY_FEE}`);
  }

  // Rule 2: Maximum cap (risk management)
  if (fee > MAX_ENTRY_FEE) {
    throw new BadRequestException(`Entry fee exceeds maximum: ${MAX_ENTRY_FEE}`);
  }

  // Rule 3: Game-specific limits
  const gameLimit = await this.getGameFeeLimit(gameType);
  if (fee > gameLimit) {
    throw new BadRequestException(`Fee exceeds game limit for ${gameType}`);
  }
}
```

Business Rules: Player Eligibility

Multi-Factor Verification

```
async verifyPlayerEligibility(playerId: string, matchId: string): Promise<void> {
  const player = await this.playerService.getPlayer(playerId);
  const wallet = await this.walletService.getWallet(playerId);
  const match = await this.matchService.getMatch(matchId);

  // Rule 1: Account status
  if (player.status !== PlayerStatus.ACTIVE) {
    throw new ForbiddenException('Account suspended or inactive');
  }

  // Rule 2: KYC verification (for high-value matches)
  if (BigInt(match.entryFee) > KYC_THRESHOLD && !player.kycVerified) {
    throw new ForbiddenException('KYC required for high-value matches');
  }

  // Rule 3: Region restrictions
  if (match.allowedRegions && !match.allowedRegions.includes(player.region)) {
    throw new ForbiddenException('Match restricted to specific regions');
  }

  // Rule 4: Skill rating bounds (prevent smurfing)
  if (match.minRating && player.skillRating < match.minRating) {
    throw new ForbiddenException(`Minimum rating required: ${match.minRating}`);
  }

  // Rule 5: Concurrent match limit
  const activeMatches = await this.matchService.getActiveMatches(playerId);
```

Business Rules: Eligibility Criteria

Player Status Requirements

Criterion	Requirement	Enforcement
Account Age	> 24 hours	Prevent bot spam
Email Verified	Required	Identity verification
Phone Verified	High-stakes only	2FA for withdrawals
KYC Level 1	Matches > 10 SOL	Regulatory compliance
KYC Level 2	Matches > 50 SOL	Enhanced due diligence
Skill Rating	Within ± 200 ELO	Fair matchmaking
Active Bans	None	Anti-cheat compliance
Pending Disputes	None	Dispute resolution first

```
© 2024 Solana SVM Study
// Eligibility flags stored on player entity
interface PlayerEligibility {
  canPlayCasual: boolean; // Basic account status
```

Business Rules: Refund Policies

Scenario-Based Refund Logic

```
enum RefundReason {  
  MATCH_CANCELLED = 'MATCH_CANCELLED',           // Full refund  
  OPPONENT_NO_SHOW = 'OPPONENT_NO_SHOW',          // Full refund + bonus  
  TECHNICAL_FAILURE = 'TECHNICAL_FAILURE',        // Full refund  
  PLAYER_DISCONNECT = 'PLAYER_DISCONNECT',         // Partial (time-based)  
  DISPUTE_RESOLVED = 'DISPUTE_RESOLVED',           // Per arbitration  
  TOURNAMENT_CANCELLED = 'TOURNAMENT_CANCELLED',   // Full refund  
}  
  
async processRefund(escrowId: string, reason: RefundReason): Promise<void> {  
  const escrow = await this.escrowService.getEscrow(escrowId);  
  
  switch (reason) {  
    case RefundReason.MATCH_CANCELLED:  
      // Rule: 100% refund to all participants  
      await this.refundAllParticipants(escrow, 100);  
      break;  
  
    case RefundReason.OPPONENT_NO_SHOW:  
      // Rule: 100% refund + 10% bonus from platform pool  
      await this.refundWithBonus(escrow, waitingPlayer, 10);  
      break;  
  
    case RefundReason.PLAYER_DISCONNECT:  
      // Rule: Partial refund based on match progress  
      const refundPercent = this.calculateDisconnectRefund(escrow);
```



Business Rules: Refund Matrix

Refund Percentage by Scenario

Scenario	Refund %	Waiting Time	Platform Action
Match cancelled (< 1 min)	100%	Immediate	Auto-refund
Match cancelled (> 1 min)	100%	5 min	Admin approval
Opponent no-show	100% + bonus	10 min wait	Auto after timeout
Technical failure	100%	24 hr review	Manual verification
Disconnect (< 25% match)	75%	48 hr	Dispute period
Disconnect (25-50% match)	50%	48 hr	Dispute period
Disconnect (> 50% match)	0%	N/A	Forfeit
Rage quit	0%	N/A	Forfeit + penalty
Tournament cancelled	100%	24 hr	Batch refund

Business Rules: Match Cancellation

Cancellation Conditions & Consequences

```
enum CancellationReason {
  HOST_CANCELLED = 'HOST_CANCELLED',
  INSUFFICIENT_PLAYERS = 'INSUFFICIENT_PLAYERS',
  MATCH_TIMEOUT = 'MATCH_TIMEOUT',
  ADMIN_CANCELLED = 'ADMIN_CANCELLED',
  SERVER_UNAVAILABLE = 'SERVER_UNAVAILABLE',
}

async cancelMatch(matchId: string, reason: CancellationReason): Promise<void> {
  const match = await this.matchService.getMatch(matchId);

  // Rule 1: Only cancel if not IN_PROGRESS or later
  if (!match.isCancellable()) {
    throw new BadRequestException('Match cannot be cancelled after start');
  }

  // Rule 2: Host penalty for frequent cancellations
  if (reason === CancellationReason.HOST_CANCELLED) {
    const recentCancels = await this.getCancellationCount(match.hostId, 24);
    if (recentCancels >= 3) {
      await this.applyHostPenalty(match.hostId); // 24hr match creation ban
    }
  }

  // Rule 3: Auto-refund all participants
  await this.escrowService.refundEscrow({
    escrowId: match.escrowId,
    reason,
    distributions: match.participants.map(p => ({
      playerId: p.playerId,
      amount: match.entryFee,
    })),
  });
}
```



Business Rules: Cancellation Penalties

Host Accountability System

Cancellations (24hr)	Penalty	Duration
1-2	Warning	N/A
3-4	24hr match creation ban	24 hours
5+	7-day ban + rating penalty	7 days
Repeat offender	Account review	Indefinite

```
// Penalty escalation logic
async applyHostPenalty(playerId: string): Promise<void> {
  const cancelHistory = await this.getCancellationHistory(playerId);
  const recent = cancelHistory.filter(c => c.age < 7 * 24 * 60 * 60 * 1000);

  if (recent.length >= 10) {
    // Severe: Account review required
    await this.flagForReview(playerId, 'EXCESSIVE_CANCELLATIONS');
    await this.suspendMatchCreation(playerId, 'INDEFINITE');
  } else if (recent.length >= 5) {
    // Major: 7-day ban + rating penalty
  }
```

Business Rules: Dispute Resolution

Multi-Tier Dispute System

```
enum DisputeStatus {
    OPENED = 'OPENED',
    EVIDENCE_COLLECTION = 'EVIDENCE_COLLECTION',
    UNDER_REVIEW = 'UNDER_REVIEW',
    ARBITRATION = 'ARBITRATION',
    RESOLVED = 'RESOLVED',
    APPEALED = 'APPEALED',
}

interface Dispute {
    disputeId: string;
    matchId: string;
    claimantId: string;    // Player filing dispute
    respondentId: string;  // Other player
    category: DisputeCategory;
    evidence: Evidence[];
    status: DisputeStatus;
    tier: DisputeTier;      // AUTO → SUPPORT → ARBITRATION
    resolution?: DisputeResolution;
}

enum DisputeCategory {
    CHEATING = 'CHEATING',
    DISCONNECT = 'DISCONNECT',
    WRONG_RESULT = 'WRONG_RESULT',
}
```

Business Rules: Dispute Tiers

Escalation Ladder



Business Rules: Dispute Evidence

Required Evidence Types

Business Rules: Timeout Handling

Match Lifecycle Timeouts

```
// Configurable timeout values
const TIMEOUTS = {
  MATCH_FILL: 30 * 60 * 1000,      // 30 min to fill match
  PLAYER_READY: 5 * 60 * 1000,     // 5 min ready check
  MATCH_START: 10 * 60 * 1000,     // 10 min to connect to game
  RESULT_SUBMIT: 30 * 60 * 1000,    // 30 min after match end
  DISPUTE_WINDOW: 24 * 60 * 60 * 1000, // 24 hr dispute window
  PRIZE_CLAIM: 30 * 24 * 60 * 60 * 1000, // 30 days to claim
};

@cron('*/*5 * * * *') // Every 5 minutes
async handleMatchTimeouts(): Promise<void> {
  // Rule 1: Cancel unfilled matches
  const unfilledMatches = await this.matchRepository.find({
    where: {
      status: MatchStatus.WAITING_FOR_PLAYERS,
      createdAt: LessThan(new Date(Date.now() - TIMEOUTS.MATCH_FILL)),
    },
  });
};
```

```
function cancelMatch of unfilledMatches) {
  await this.cancelMatch(match.id, CancellationReason.MATCH_TIMEOUT);
}
```



Business Rules: Timeout Actions

Automatic Timeout Handlers

Timeout	Trigger	Action	Notification
Match Fill (30m)	No players join	Cancel + refund	Host notified
Ready Check (5m)	Player not ready	Kick + refund	Warning sent
Game Connect (10m)	No connection	Auto-forfeit	Opponent wins
Result Submit (30m)	No result	Admin escalation	Both notified
Dispute Window (24h)	No dispute	Distribute prizes	Final settlement
Prize Claim (30d)	Unclaimed prize	Move to reserve	Last chance email

```
// Ready check timeout handling
async handleReadyTimeout(matchId: string): Promise<void> {
  const match = await this.matchService.getMatch(matchId);
  const notReady = match.participants.filter(p => !p.isReady);
  for (const player of notReady) {
    // Remove player and refund
  }
}
```

Business Rules: Tournament Registration

Registration Constraints

```
async registerForTournament(  
  tournamentId: string,  
  playerId: string  
): Promise<TournamentRegistration> {  
  const tournament = await this.getTournament(tournamentId);  
  const player = await this.playerService.getPlayer(playerId);  
  
  // Rule 1: Registration window  
  if (new Date() > tournament.registrationDeadline) {  
    throw new BadRequestException('Registration closed');  
  }  
  
  // Rule 2: Capacity check  
  const registrations = await this.getRegistrationCount(tournamentId);  
  if (registrations >= tournament.maxParticipants) {  
    // Add to waitlist if enabled  
    if (tournament.waitlistEnabled) {  
      return this.addToWaitlist(tournamentId, playerId);  
    }  
    throw new BadRequestException('Tournament full');  
  }  
  
  // Rule 3: Eligibility (skill bounds, KYC, etc.)  
  await this.verifyTournamentEligibility(player, tournament);  
  
  // Rule 4: No duplicate registration  
  const existing = await this.findRegistration(tournamentId, playerId);  
  if (existing) {  
    throw new ConflictException('Already registered');  
  }  
}
```




Business Rules: Tournament Constraints

Registration Requirements

Constraint	Rule	Exception
Registration Window	Opens 7d before, closes 1hr before	Admin override
Min Players	Tournament starts only if min reached	Cancel + refund
Max Players	First-come-first-served	Waitlist fills drops
Entry Fee Lock	Locked at registration	Refund if withdrawn early
Withdrawal Deadline	24hr before start	100% refund
Late Withdrawal	< 24hr before start	50% refund
No-Show	Not present at start	0% refund + ban

```
// Withdrawal refund calculation
calculateWithdrawalRefund(tournament: Tournament, requestTime: Date): number {
  const hoursUntilStart = (tournament.startTime - requestTime) / (60 * 60 * 1000);

  if (hoursUntilStart > 24) return 100; // Full refund
```

Business Rules: Prize Pool Guarantees

Guaranteed Prize Pools (GPP)

```
interface GuaranteedPrizePool {
  guaranteedAmount: string; // Minimum prize pool
  actualPool: string; // Entry fees collected
  overlayAmount: string; // Platform covers shortfall
  isGuaranteed: boolean;
}

async calculatePrizePool(tournament: Tournament): Promise<GuaranteedPrizePool> {
  const registrations = await this.getRegistrationCount(tournament.id);
  const actualPool = BigInt(tournament.entryFee) * BigInt(registrations);
  const guaranteedAmount = BigInt(tournament.guaranteedPrizePool || '0');

  // Platform covers shortfall (overlay)
  const overlayAmount = guaranteedAmount > actualPool
    ? guaranteedAmount - actualPool
    : BigInt(0);

  return {
    guaranteedAmount: guaranteedAmount.toString(),
    actualPool: actualPool.toString(),
    overlayAmount: overlayAmount.toString(),
    isGuaranteed: tournament.guaranteedPrizePool != null,
  };
}
```

Business Rules: GPP Economics

Guaranteed Pool Scenarios

Scenario	Entry Fee	Expected	Actual	Overlay	Result
Under-filled	10 SOL	100 players	80	200 SOL	GPP met
Exactly met	10 SOL	100 players	100	0 SOL	GPP met
Over-filled	10 SOL	100 players	120	0 SOL	+200 SOL

```
// Prize pool calculation with GPP
async finalizePrizePool(tournament: Tournament): Promise<void> {
  const { actualPool, guaranteedAmount, overlayAmount } =
    await this.calculatePrizePool(tournament);

  // If overlay required, transfer from platform reserve
  if (BigInt(overlayAmount) > 0) {
    await this.transferFromPlatformReserve(
      tournament.escrowId,
      overlayAmount
    );

    // Log overlay for accounting
    await this.logOverlay({
```

Business Rules: Anti-Collusion

Collusion Detection Mechanisms

```
interface CollusionIndicator {
  type: CollusionType;
  severity: 'LOW' | 'MEDIUM' | 'HIGH';
  confidence: number; // 0-100
  evidence: string[];
}

enum CollusionType {
  CHIP_DUMPING = 'CHIP_DUMPING', // Intentionally losing
  WIN_TRADING = 'WIN_TRADING', // Alternating wins
  MULTI_ACCOUNTING = 'MULTI_ACCOUNTING', // Same person, multiple accounts
  SOFT_PLAYING = 'SOFT_PLAYING', // Not competing when matched
  GHOSTING = 'GHOSTING', // External assistance
}

async detectCollusion(matchId: string): Promise<CollusionIndicator[]> {
  const indicators: CollusionIndicator[] = [];
  const match = await this.matchService.getMatch(matchId);

  // Check 1: Win trading (same players, alternating wins)
  const history = await this.getMatchHistory(match.participants);
  if (this.detectWinTrading(history)) {
    indicators.push({
      type: CollusionType.WIN_TRADING,
      severity: 'HIGH',
      confidence: 85,
      evidence: ['10 matches, 5-5 split, suspicious timing'],
    });
  }
}
```

Business Rules: Collusion Prevention

Detection Rules & Actions

Indicator	Detection Method	Action	Appeal
Same IP	Network fingerprint	Block match	Proof of separate identity
Device match	Hardware ID	Account link warning	Explain shared device
Win trading	Win/loss pattern	Flag for review	Match history audit
Chip dumping	Game log analysis	Suspend + investigate	Replay review
Soft playing	Performance metrics	Warning	Prove competitive play

```
// Pre-match collusion check
async validateMatchParticipants(matchId: string): Promise<void> {
  const match = await this.matchService.getMatch(matchId);
  const participants = match.participants;

  for (let i = 0; i < participants.length; i++) {
    for (let j = i + 1; j < participants.length; j++) {
      const p1 = participants[i];
      const p2 = participants[j];
```

Business Rules: Abandonment Handling

Match Abandonment Rules

```
enum AbandonmentType {
  DISCONNECT = 'DISCONNECT',    // Network issues
  QUIT = 'QUIT',                 // Voluntary exit
  AFK = 'AFK',                   // Away from keyboard
  CRASH = 'CRASH',               // Game/system crash
}

async handleAbandonment(
  matchId: string,
  playerId: string,
  type: AbandonmentType
): Promise<void> {
  const match = await this.matchService.getMatch(matchId);

  // Rule 1: Grace period for reconnection
  if (type === AbandonmentType.DISCONNECT || type === AbandonmentType.CRASH) {
    const gracePeriod = match.reconnectGracePeriod || 3 * 60 * 1000; // 3 min

    await this.startReconnectTimer(matchId, playerId, gracePeriod);
    return; // Wait for reconnect before forfeit
  }

  // Rule 2: Immediate forfeit for quit/AFK
  if (type === AbandonmentType.QUIT || type === AbandonmentType.AFK) {
    await this.forfeitPlayer(matchId, playerId);
    await this.applyAbandonmentPenalty(playerId, type);
  }
}
```

Business Rules: Abandonment Penalties

Progressive Penalty System

Abandonments (7d)	Type	Penalty	Cooldown
1st	Disconnect	Warning	None
1st	Quit	-10 rating	None
2nd	Any	-25 rating	1hr queue ban
3rd	Any	-50 rating	6hr queue ban
4th	Any	-100 rating	24hr queue ban
5+	Any	Account review	7d ban

```
async applyAbandonmentPenalty(  
  playerId: string,  
  type: AbandonmentType  
): Promise<void> {  
  const recentAbandons = await this.getAbandonments(playerId, 7 * 24 * 60 * 60);  
  const count = recentAbandons.length + 1;
```



Business Rules: Platform Fee Structure

Dynamic Fee Configuration

```
interface FeeStructure {
  baseFeePercent: number; // Default platform fee
  volumeDiscounts: VolumeDiscount[];
  promotionalRates: PromotionalRate[];
  gameSpecificFees: Map<string, number>;
}

// Volume-based discounts for high-value tournaments
const VOLUME_DISCOUNTS: VolumeDiscount[] = [
  { minPool: '0', maxPool: '10000000000', feePercent: 5.0 }, // < 100 SOL: 5%
  { minPool: '10000000000', maxPool: '100000000000', feePercent: 4.0 }, // 100-1000: 4%
  { minPool: '100000000000', maxPool: null, feePercent: 3.0 }, // > 1000 SOL: 3%
];

async calculatePlatformFee(
  prizePool: bigint,
  gameType: string,
  eventType: string
): Promise<bigint> {
  // Base fee from volume tier
  let feePercent = this.getVolumeBasedFee(prizePool);

  // Game-specific adjustment
  const gameAdjustment = this.gameSpecificFees.get(gameType) || 0;
  feePercent += gameAdjustment;

  // Promotional override (e.g., launch discount)
  const promo = await this.getActivePromotion(eventType);
  if (promo) {
    feePercent = Math.max(feePercent - promo.discountPercent, 1.0);
  }
}
```


Business Rules: Fee Examples

Platform Fee Calculation Table

Pool Size	Base Fee	Volume Discount	Promo	Final Fee	Platform Revenue
2 SOL	5.0%	None	None	5.0%	0.10 SOL
50 SOL	5.0%	None	-1% launch	4.0%	2.00 SOL
200 SOL	4.0%	-1% (>100)	None	4.0%	8.00 SOL
500 SOL	4.0%	-1% (>100)	-1% launch	3.0%	15.00 SOL
2000 SOL	3.0%	-2% (>1000)	None	3.0%	60.00 SOL

```
// Fee breakdown for transparency
interface FeeBreakdown {
  totalPool: string;
  baseFeePercent: number;
  volumeDiscount: number;
  promotionalDiscount: number;
  finalFeePercent: number;
  platformFee: string;
  distributableAmount: string;
```

Resources

Documentation

- [Solana Web3.js Docs](#)
- [SPL Token Program](#)
- [MPC Cryptography](#)

Code References

- [/src/modules/esports/](#) - Full implementation
- [/docs/diagrams/16-esports-matchmaking.md](#) - Architecture docs
- [/src/modules/mpc/](#) - MPC wallet integration

Tools

- [Anchor Framework](#) for Solana programs

? Questions?

Key Takeaways

1. **MPC wallets** provide security without UX friction
2. **Escrow accounts** ensure trustless prize distribution
3. **Atomic state machines** prevent fund loss
4. **Platform co-signing** enables fraud prevention
5. **Full audit trails** support dispute resolution

 **Thank You!**

Contact & Resources

-  Project Repository: github.com/psavelis/solana-svm-study
-  Documentation: </docs/diagrams/16-esports-matchmaking.md>
-  Tests: /src/modules/esports/__tests__/

 **Let's Build!**

Production-Ready Esports on Solana